PRACTICAL ACCOUNTING EXPLAINED WITH AI

A 30-Chapter Practical Learning Manual

Text-only edition

Prepared by VICTOR M | v2.0

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CHAPTER 1

ACCOUNTING FUNDAMENTALS AND THE ACCOUNTING CYCLE

Learning objectives

By the end of this chapter, you should be able to:

• Explain the purpose of accounting.
• Identify assets, liabilities, and equity.
• Use the accounting equation to understand basic transactions.
• Distinguish revenue from expenses.
• Recognize why every transaction must be recorded consistently.

1. What is accounting?

Accounting is a structured process for identifying, recording, organizing, summarizing, and communicating the financial effects of business activities. It helps owners, managers, lenders, investors, and other users understand what a business owns, what it owes, how it performs, and how its resources are being used.

A simple way to think about accounting is as a financial record system. It turns day-to-day events—such as buying supplies, providing services, receiving customer payments, and paying rent—into organized information that can support decisions.

2. The three building blocks

Assets

Assets are resources controlled by a business that are expected to provide future economic benefits. Examples may include cash, money owed by customers, inventory, equipment, and qualifying prepaid costs.

Liabilities

Liabilities are obligations the business owes to other parties. Examples include supplier balances, bank loans, wages payable, and certain taxes payable.

Equity

Equity is the residual interest in the business after liabilities are deducted from assets. In a simple business example, it can include the owner's contribution and accumulated results, subject to the entity's accounting framework.

3. The accounting equation

Assets = Liabilities + Equity

This equation must remain balanced in the accounting records. A transaction may change one or more components, but the overall equality should still hold when the transaction is correctly recorded.

Worked example: starting a small business

An owner puts AED 20,000 of personal funds into a newly established business bank account. For this simplified example, assume the amount is recorded as the owner's capital contribution.

Account category	Before	Change	After
Assets (cash)	AED 0	+ AED 20,000	AED 20,000
Liabilities	AED 0	AED 0	AED 0
Equity (owner contribution)	AED 0	+ AED 20,000	AED 20,000

Check: AED 20,000 in assets = AED 0 in liabilities + AED 20,000 in equity. The equation balances.

4. Revenue and expenses

Revenue is income earned from the business's ordinary activities, such as selling goods or providing services. Revenue is not always the same as cash received: a business may earn revenue before a customer pays, depending on the transaction and accounting basis used.

Expenses are costs incurred in earning revenue or operating the business, such as rent, utilities, staff costs, and supplies consumed. Paying cash is not always the same as recognizing an expense; for example, a payment made in advance may initially be recorded as an asset.

In a simplified illustration, profit is revenue minus expenses for a period. The detailed treatment depends on the applicable accounting framework and the facts of the transaction.

5. Basic transaction examples

Example A — Buying equipment with cash

The business buys a laptop for AED 3,000 and pays immediately. Cash decreases by AED 3,000 while equipment increases by AED 3,000. The total assets may remain unchanged at the transaction date, before depreciation or other subsequent accounting.

Example B — Buying supplies on credit

The business receives AED 800 of supplies from a supplier and agrees to pay later. Supplies or an appropriate expense account increases, depending on the nature and use of the items; accounts payable increases by AED 800.

Example C — Providing a service for cash

The business completes a service and receives AED 1,500. Cash increases by AED 1,500 and service revenue is recognized, assuming the service has been earned and no other conditions change the treatment.

6. Why accurate records matter

Reliable accounting records help a business monitor cash, understand profitability, track amounts due from customers and to suppliers, prepare financial reports, and support compliance obligations. The records should be supported by suitable evidence, such as invoices, receipts, contracts, bank statements, and approved internal records.

7. Knowledge check

Try answering these questions before checking the answers below.

1. A business has assets of AED 50,000 and liabilities of AED 18,000. What is its equity?
2. A business receives a bank loan of AED 10,000. Which two parts of the accounting equation change?
3. Is cash received from a customer always equal to revenue earned in that period? Briefly explain.
4. A business pays rent for the current month. What type of account is rent generally recorded as?

Answer key

1. Equity = AED 50,000 – AED 18,000 = AED 32,000.
2. Cash (an asset) increases by AED 10,000 and the loan liability increases by AED 10,000.
3. No. Timing can differ; for example, a customer may pay an amount earned in an earlier period, or revenue may be earned before payment.
4. Generally an expense for rent relating to the current month, subject to the facts and applicable accounting policy.

Important scope note

This chapter is an introductory educational resource, not professional accounting, audit, legal, or tax advice. Specific accounting treatments depend on the applicable framework, contract terms, and facts. UAE VAT and Corporate Tax guidance will be developed separately using current, verified official sources.

Originality and source note

The explanations and examples in this chapter were drafted for this project. The chapter does not reproduce text or illustrations from Accounting Explained Visually. General accounting concepts are explained in original wording; future third-party references will be checked for applicable license terms and attribution requirements.

CHAPTER 2

DOUBLE-ENTRY BOOKKEEPING AND JOURNAL ENTRIES

Learning objectives

After studying this chapter, you should be able to explain debit and credit entries, apply the basic account rules, and prepare simple balanced journal entries.

1. What do debit and credit mean?

In bookkeeping, **debit (Dr)** means an entry on the left side of an account, while **credit (Cr)** means an entry on the right side. These terms do not automatically mean increase or decrease. Their effect depends on the type of account.

A journal entry records the financial effect of a transaction. Under the double-entry system, each entry includes at least one debit and one credit, and the total debits must equal the total credits.

2. The normal balance rules

Account type	Increase recorded as	Decrease recorded as	Normal balance
Assets	Debit	Credit	Debit
Expenses	Debit	Credit	Debit
Liabilities	Credit	Debit	Credit
Equity	Credit	Debit	Credit
Revenue	Credit	Debit	Credit

> Memory aid: assets and expenses generally increase with debits; liabilities, equity, and revenue generally increase with credits. Contra accounts and special transactions may follow different patterns.

3. A repeatable method for recording a transaction

Step 1: Identify the accounts affected.
Step 2: Decide whether each account increases or decreases.
Step 3: Apply the debit and credit rules for those account types.
Step 4: Write the journal entry, including the date and a clear description.
Step 5: Check that total debits equal total credits.

4. Worked examples

Example A — Owner contributes AED 12,000 cash

Cash (asset) increases, so debit Cash AED 12,000. Owner's Capital (equity) increases, so credit Owner's Capital AED 12,000.

Account	Debit	Credit
Cash	AED 12,000	—
Owner's Capital	—	AED 12,000

Example B — Pay monthly rent of AED 2,000 in cash

Rent Expense increases, so debit Rent Expense AED 2,000. Cash decreases, so credit Cash AED 2,000.

Account	Debit	Credit
Rent Expense	AED 2,000	—
Cash	—	AED 2,000

Example C — Provide a service on credit for AED 3,500

Accounts Receivable (asset) increases, so debit Accounts Receivable AED 3,500. Service Revenue increases, so credit Service Revenue AED 3,500, assuming the service has been earned and no special conditions change the treatment.

Account	Debit	Credit
Accounts Receivable	AED 3,500	—
Service Revenue	—	AED 3,500

5. Why the totals must balance

Double-entry bookkeeping is designed so that the total debit amount in a journal entry equals the total credit amount. This balance is a useful arithmetic check, but it does not prove that the accounts chosen are correct or that a transaction has been classified properly.

6. Common mistakes to avoid

• Assuming debit always means money coming in or credit always means money going out.
• Recording only one side of a transaction.
• Choosing an account based only on the payment method instead of what the transaction represents.
• Forgetting the date, explanation, or supporting document.
• Treating a balanced entry as proof that the accounting is necessarily correct.

7. Knowledge check

1. The business buys office supplies for AED 450 in cash. Which accounts are debited and credited?
2. A customer pays AED 900 for a service already recorded as a receivable. What entry records the collection?
3. The business receives AED 5,000 from a bank loan. What are the debit and credit?
4. A journal entry has debits of AED 2,400 and credits of AED 2,100. What should be done before posting?

Answer key

1. Debit Office Supplies (or the appropriate supplies asset/expense account based on the business's policy and use) AED 450; credit Cash AED 450.
2. Debit Cash AED 900; credit Accounts Receivable AED 900.
3. Debit Cash AED 5,000; credit Loan Payable AED 5,000.
4. Find and correct the difference so total debits equal total credits, then verify the account choices and source document.

Scope and originality note

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CHAPTER 3

LEDGERS, TRIAL BALANCES AND ADJUSTMENTS

Learning objectives

After studying this chapter, you should be able to describe the role of a general ledger, post journal entries into individual accounts, calculate ending balances, prepare a simple trial balance, and explain what a balanced trial balance can and cannot prove.

1. From journal entries to the general ledger

A journal records transactions in date order. The general ledger organizes the recorded effects by account, so that a reader can see the activity and current balance for Cash, Accounts Receivable, Equipment, Accounts Payable, Capital, Revenue, Expenses, and other accounts used by the business.

Moving an amount from a journal entry to the appropriate ledger account is commonly called posting. A reliable record should preserve a traceable connection between the source document, the journal entry, and the ledger account.

2. Example: a fictional business

Consider Cedar Desk Services, a fictional small business. During its first week, it records these transactions. Amounts are illustrative and shown in AED.

Date	Transaction	Debit	Credit
1 Oct	Owner contributes cash	Cash 15,000	Owner's Capital 15,000
2 Oct	Pays office rent in cash	Rent Expense 1,500	Cash 1,500
3 Oct	Buys a laptop in cash	Equipment 3,000	Cash 3,000
4 Oct	Provides services and receives cash	Cash 2,400	Service Revenue 2,400
5 Oct	Completes service on credit	Accounts Receivable 1,200	Service Revenue 1,200
6 Oct	Pays utilities in cash	Utilities Expense 300	Cash 300

> These are simplified examples. Real transactions should be recorded based on supporting documents, the terms of the transaction, and the accounting framework that applies.

3. Posting to ledger accounts

To post, take each journal line to the account it names, keeping the amount on the same debit or credit side. For example, the Cash account receives a debit of AED 15,000 on 1 October, then credits of AED 1,500, AED 3,000, and AED 300, and a debit of AED 2,400 on 4 October.

Cash ledger movement

Date	Explanation	Debit	Credit	Running balance
1 Oct	Owner contribution	15,000	—	15,000 Dr
2 Oct	Rent paid	—	1,500	13,500 Dr
3 Oct	Laptop purchase	—	3,000	10,500 Dr
4 Oct	Cash service revenue	2,400	—	12,900 Dr
6 Oct	Utilities paid	—	300	12,600 Dr

The cash balance is AED 12,600 debit. The AED 1,200 service performed on credit does not change Cash yet; it increases Accounts Receivable instead.

4. Calculate an account's ending balance

For a basic account, compare the total debit activity with the total credit activity. The larger side determines the balance direction, and the difference is the balance amount. Asset and expense accounts commonly have debit balances; liability, equity, and revenue accounts commonly have credit balances. This is a general rule, not a substitute for checking the account's nature.

> Cash example: total debits AED 17,400 less total credits AED 4,800 equals a debit balance of AED 12,600.

5. Prepare the trial balance

A trial balance is a report that lists ledger accounts and their ending balances at a stated date. Each balance is placed in either the debit column or the credit column. The two columns are then added and compared.

For Cedar Desk Services, the ledger balances after the six transactions are:

Account	Debit (AED)	Credit (AED)
Cash	12,600	—
Accounts Receivable	1,200	—
Equipment	3,000	—
Rent Expense	1,500	—
Utilities Expense	300	—
Owner's Capital	—	15,000
Service Revenue	—	3,600
Total	**18,600**	**18,600**

The totals match at AED 18,600. This means the listed debit and credit balances are arithmetically equal.

6. What a balanced trial balance does not prove

Equal totals are a useful control, but they do not guarantee that every record is correct. For example, a transaction could be omitted entirely, posted to the wrong pair of accounts, recorded for the wrong amount on both sides, or entered in the wrong period. Such errors may leave the debit and credit totals equal.

> If the totals do not match, check arithmetic, confirm that every ledger balance was transferred to the correct column, inspect posting references, and compare the records against source documents. Do not change figures merely to force the report to balance; identify and correct the underlying error.

7. Practical review checklist

- Confirm the entity name and reporting date.
- Check that all relevant ledger accounts are included.
- Recalculate each account's ending balance.
- Place each balance in the correct debit or credit column.
- Re-add both columns independently.
- Investigate differences and retain a clear audit trail for corrections.

8. Knowledge check

1. What is the main difference between a journal and a general ledger?
2. Cedar Desk Services has cash debits of AED 9,000 and cash credits of AED 2,750. What is the ending cash balance and direction?
3. Why should the AED 1,200 service performed on credit not be added to cash yet?
4. Name two errors that could exist even when a trial balance balances.
5. What should you do if the debit and credit totals do not agree?

Answer key

1. A journal groups transactions in date order; a general ledger groups posted activity by account.
2. AED 6,250 debit balance.
3. No cash was received for that service at the time; the amount is recorded as receivable, assuming the service was earned.
4. Examples include a transaction omitted entirely, a wrong account used on both sides, or an incorrect amount entered equally on both sides.
5. Investigate the records and correct the actual error, then recalculate the report.

Scope, authorship, and originality note

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CHAPTER 4

ACCOUNTING PROCESSES AND PRACTICAL APPLICATIONS

Learning objectives

After studying this chapter, you should be able to explain why adjustments are made, identify common adjusting-entry situations, prepare simple adjusting entries, and outline the main steps in an accounting period.

1. Why adjusting entries are needed

During a reporting period, a business records transactions as they occur. At the end of the period, some amounts may need updating so the accounts reflect what has been earned, used, owed, or consumed by that date. These updates are called adjusting entries.

Adjustments are not made simply to make the numbers look better. They should reflect the underlying transaction, the evidence available, the applicable accounting framework, and the period to which the activity belongs.

2. Two useful timing ideas

Accrual: record income when it has been earned or a cost when it has been incurred, when required by the applicable accounting basis, even if cash has not yet moved.
Deferral: cash is received or paid before the related income is earned or cost is consumed, so the initial record may include a liability or an asset that is later adjusted.

3. Common adjustment scenarios

A. Prepaid expense

A business pays AED 6,000 on 1 October for six months of insurance coverage. At payment, if the coverage has not yet been used, the amount may be recorded as Prepaid Insurance. After one month of coverage, AED 1,000 is allocated to Insurance Expense, assuming straight-line allocation is appropriate.

Account	Debit	Credit
Insurance Expense	AED 1,000	—
Prepaid Insurance	—	AED 1,000

B. Accrued expense

At month-end, Cedar Desk Services owes staff AED 900 for work already performed, but the amount will be paid next month. If it has not already been recorded, the business recognizes the expense and liability in the current period.

Account	Debit	Credit
Staff Expense	AED 900	—
Staff Payable	—	AED 900

C. Accrued revenue

The business completes AED 1,800 of services before month-end, but the customer will be invoiced and pay later. If the revenue has been earned and is not already recorded, recognize a receivable and revenue.

Account	Debit	Credit
Accounts Receivable	AED 1,800	—
Service Revenue	—	AED 1,800

D. Unearned revenue

A customer pays AED 2,400 in advance for a service package. If the business has not yet delivered the service, the receipt may initially be recorded as Unearned Revenue, a liability. After AED 800 worth of service has been delivered and the amount is earned, the adjusting entry reduces the liability and recognizes revenue.

Account	Debit	Credit
Unearned Revenue	AED 800	—

Service Revenue	—	AED 800

E. Depreciation

Equipment may provide benefits over more than one reporting period. Depreciation allocates the depreciable amount over the asset's estimated useful life using a method appropriate under the applicable accounting framework. For a simplified example, if monthly depreciation is calculated as AED 250, the entry is:

Account	Debit	Credit
Depreciation Expense	AED 250	—
Accumulated Depreciation	—	AED 250

4. A practical month-end routine

1. Gather source documents and identify unrecorded activity.
2. Review prepaid items, unpaid costs, earned but unbilled income, advance receipts, and depreciation where applicable.
3. Calculate each adjustment using evidence and a documented method.
4. Prepare balanced journal entries with clear explanations.
5. Post entries to the general ledger.
6. Prepare an adjusted trial balance.
7. Use the adjusted balances to prepare the period's financial statements.
8. Review unusual movements and retain supporting schedules.

5. The accounting cycle at a glance

Step	Activity	Purpose
1	Identify and review transactions	Understand what happened and check evidence
2	Record journal entries	Capture the debit and credit effects
3	Post to the general ledger	Organize activity by account
4	Prepare an unadjusted trial balance	Check that recorded balances add equally
5	Prepare adjusting entries	Update accounts at period-end
6	Prepare adjusted trial balance	Check balances after adjustments
7	Prepare financial statements	Report position and performance
8	Close temporary accounts when required	Prepare revenue and expense accounts for the next period
9	Prepare post-closing trial balance where applicable	Check remaining permanent account balances

The exact closing process and terminology can vary with the accounting system and reporting requirements. This sequence is a general learning model.

6. Knowledge check

1. A business pays AED 3,600 for twelve months of insurance on 1 January. Assuming equal monthly allocation, what expense is recognized after one month?
2. A business owes AED 700 in electricity costs at month-end, unpaid and unrecorded. What accounts are affected?
3. A customer paid AED 1,500 in advance. By period-end, AED 600 of the related service has been delivered. What adjustment is needed if the receipt was initially recorded as unearned revenue?
4. Why is depreciation recorded even when no cash is paid at the time of the adjusting entry?
5. What is the purpose of an adjusted trial balance?

Answer key

1. AED 300 of insurance expense, assuming the policy coverage starts and one month has elapsed.
2. Debit Electricity Expense AED 700; credit Electricity Payable AED 700.
3. Debit Unearned Revenue AED 600; credit Service Revenue AED 600.
4. Depreciation allocates an asset's depreciable amount over its useful life; the expense does not require a cash payment at the same time.
5. It lists account balances after adjustments and provides a check that total debits equal total credits before preparing financial statements.

Scope, authorship, and originality note

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CHAPTER 5

FINANCIAL STATEMENTS AND FINANCIAL ANALYSIS

Chapter 5: Financial Statements and Financial Analysis

Learning objectives

By the end of this chapter, you should be able to identify the purpose of the main financial statements, connect profit to cash movement, calculate common performance ratios, and use AI as a support tool while checking calculations against source records.

1. The purpose of financial statements

Financial statements organize accounting information so that owners, managers, lenders, and other authorized readers can assess an entity's financial position and performance. The statements answer different questions; no single statement gives the complete picture.

Statement	Main question	Typical contents
Income statement (profit and loss)	Did the business earn a profit over a period?	Revenue, expenses, gains, losses, profit or loss
Statement of financial position (balance sheet)	What does the business own and owe at a date?	Assets, liabilities, equity
Cash flow statement	Where did cash come from and where did it go?	Operating, investing, financing cash flows
Statement of changes in equity	How did owners' interest change during the period?	Capital contributions, profit/loss, drawings or dividends, other movements

2. The accounting equation

The accounting equation describes the relationship between resources, obligations, and the owners' residual interest.

Assets = Liabilities + Equity

Assets are resources controlled by the business. Liabilities are obligations to other parties. Equity is the residual interest after liabilities are deducted from assets. Transactions are recorded in ways that preserve the equation, assuming entries are complete and correctly classified.

3. Income statement: a worked example

Example: Cedar Office Supplies is a fictional business. Amounts below are illustrative currency units for one month.

Item	Amount
Sales revenue	48,000
Cost of goods sold	(27,000)
Gross profit	21,000
Rent expense	(4,000)
Salaries expense	(7,000)
Utilities and other expenses	(1,500)
Profit before tax (simplified example)	8,500

Formula: Gross profit = Revenue – Cost of goods sold

Formula: Net profit = Total income – Total expenses (subject to the applicable reporting framework and tax treatment)

Gross profit shows what remains from sales after the cost assigned to goods sold. Other operating costs and other income or expenses then affect the final result. The simplified example omits finance costs, tax adjustments, and other items that may apply in real accounts.

4. Statement of financial position: a worked example

Assets	Amount	Liabilities and equity	Amount
Cash	12,000	Trade payables	8,000
Trade receivables	9,000	Bank loan	10,000
Inventory	11,000	Total liabilities	18,000
Equipment, net	16,000	Owner's equity	30,000
Total assets	48,000	Total liabilities + equity	48,000

The totals agree: assets of 48,000 equal liabilities of 18,000 plus equity of 30,000. If the totals do not agree, investigate missing entries, duplicated entries, incorrect balances, or classification errors rather than forcing a balancing figure.

5. Profit is not the same as cash

A business may report profit while having little cash available. For example, a sale made on credit can increase revenue and receivables before the customer pays. Buying inventory for cash may reduce cash now, while the cost may be recognized as an expense later when the inventory is sold. Loan repayments may use cash without being an expense in the income statement in the same way as interest.

Event	Possible profit effect	Cash effect at the time
Credit sale	Revenue and profit may increase	No cash received yet
Customer pays an old invoice	Usually no new revenue at collection	Cash increases; receivable decreases
Buy equipment for cash	Usually not the full purchase price as an immediate expense	Cash decreases
Repay loan principal	Principal repayment is not normally an income-statement expense	Cash decreases; loan liability decreases

6. Cash flow statement: the three categories

Category	Examples
Operating activities	Cash collected from customers, payments to suppliers and employees; classification depends on the applicable reporting rules
Investing activities	Purchase or sale of long-term equipment or investments
Financing activities	Owner contributions, borrowing, loan principal repayment, dividends or drawings where applicable

The cash flow statement explains changes in cash and cash equivalents during a period. A positive cash balance alone does not prove that the business is profitable or financially healthy.

7. Basic financial analysis ratios

Measure	Formula	What it can indicate
Gross profit margin	Gross profit ÷ Revenue × 100%	Share of revenue remaining after cost of goods sold
Net profit margin	Net profit ÷ Revenue × 100%	Share of revenue remaining after recorded expenses
Current ratio	Current assets ÷ Current liabilities	Short-term asset coverage of short-term obligations
Debt-to-equity ratio	Total liabilities ÷ Equity	Liabilities relative to owners' equity; definitions may vary
Inventory turnover	Cost of goods sold ÷ Average inventory	How often inventory is turned over during a period
Receivables days (approx.)	Average trade receivables ÷ Credit sales × Days in period	Approximate collection time, if credit sales data is available

Ratios are signals, not verdicts. Compare like with like: similar periods, consistent definitions, industry context, and the business's own historical results. A ratio may be distorted by seasonality, unusual transactions, estimates, or poor-quality source data.

8. Worked ratio calculations

Using Cedar Office Supplies' illustrative income statement:

Gross profit margin = 21,000 ÷ 48,000 × 100% = 43.75%

Net profit margin = 8,500 ÷ 48,000 × 100% ≈ 17.71%

Using the illustrative balance sheet: current assets = cash 12,000 + receivables 9,000 + inventory 11,000 = 32,000. If current liabilities are trade payables of 8,000, then current ratio = 32,000 ÷ 8,000 = 4.0. This assumes the bank loan is non-current; if any portion is due within 12 months, that portion should be included in current liabilities.

9. Using AI responsibly in financial analysis

AI can help explain terms, organize a draft analysis, suggest questions about unusual movements, and check arithmetic when the figures are supplied clearly. It can also misread a table, invent missing context, apply a formula incorrectly, or overlook accounting policies. Treat its output as a working aid, not as evidence or approval.

Example prompt
“Using only the figures below, calculate gross profit margin, net profit margin, and current ratio. Show each formula and arithmetic step. Do not assume missing figures. List any assumptions separately, identify information needed to confirm the result, and do not provide tax or audit assurance.”

Practical checks before relying on an AI result

• Reconcile figures to the trial balance and supporting records.
• Confirm that the period, currency, and units are consistent.
• Check whether balances are current or non-current.
• Verify formula definitions and any accounting-policy choices.
• Do not paste confidential customer, employee, banking, or company information into an AI service unless its use is authorized and appropriate.

10. Practice exercises

Exercise 1. A business reports revenue of 75,000 and cost of goods sold of 42,000. Calculate gross profit and gross profit margin.

Exercise 2. Current assets are 36,000 and current liabilities are 18,000. Calculate the current ratio.

Exercise 3. A customer pays 5,000 for an invoice that was recorded as a credit sale last month. Explain the usual effect on cash, receivables, and current-period revenue.

Exercise 4. A company has assets of 92,000 and liabilities of 57,000. Calculate equity using the accounting equation.

Exercise 5. List two reasons a profitable business might experience a cash shortage.

11. Answer key

1. Gross profit = 75,000 – 42,000 = 33,000. Gross profit margin = 33,000 ÷ 75,000 × 100% = 44%.

2. Current ratio = 36,000 ÷ 18,000 = 2.0.

3. Cash increases by 5,000 and receivables decrease by 5,000. The collection usually does not create revenue again because revenue was recognized when the credit sale was recorded, subject to the applicable accounting rules.

4. Equity = Assets – Liabilities = 92,000 – 57,000 = 35,000.

5. Examples: customers pay late; too much cash is tied up in inventory; loan principal is due; major equipment purchases occur; suppliers require earlier payment than customers make.

12. Originality and use note

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End of Chapter 5

CHAPTER 6

COST ACCOUNTING AND INVENTORY MANAGEMENT

Learning Objectives

After studying this chapter, you should be able to distinguish common cost types, calculate a simple cost of goods sold figure, apply FIFO and weighted-average costing to a small example, and estimate landed cost using clearly stated assumptions.

1. Understanding Business Costs

Cost accounting organizes the costs of products, services, and operations. It helps a business estimate prices, understand margins, manage spending, and make operational decisions. The right cost model depends on what the business wants to measure.

Cost type	Meaning	Example
Direct cost	Can be traced to a specific product, service, or job in a practical way.	Wood used to make a particular desk.
Indirect cost	Supports several products or jobs and needs a reasonable allocation method.	Workshop electricity shared across jobs.
Fixed cost	Does not change in total within a relevant activity range and period.	Monthly warehouse rent under a fixed lease.
Variable cost	Changes in total as activity or units change, assuming a stable rate.	Packaging for each unit sold.

A cost can belong to more than one category. For example, packaging may be a direct cost and a variable cost. Rent may be fixed for a period but could change when the business expands or renegotiates its lease.

2. Product Cost, Period Cost, and Cost of Goods Sold

Product costs are included in inventory until the related goods are sold, subject to the applicable accounting framework. **Period costs** are generally recognized as expenses in the period they relate to. The classification depends on the nature of the cost and the applicable rules.

For a simple trading business, the basic calculation is:

Opening inventory + Net purchases and other eligible inventory costs – Closing inventory = Cost of goods sold (COGS)

Example: opening inventory AED 4,000; purchases AED 9,500; freight-in eligible for inventory cost AED 500; closing inventory AED 3,200.

Calculation	AED
Opening inventory	4,000
Purchases	9,500
Eligible freight-in	500
Goods available for sale	14,000
Less: closing inventory	(3,200)
COGS	**10,800**

The eligibility of freight, duties, discounts, and other costs depends on the applicable accounting policy and circumstances. Do not automatically expense or capitalize a cost without checking the relevant rules.

3. Inventory Costing: FIFO

FIFO means “first in, first out.” Under this cost-flow assumption, the earliest eligible inventory costs are assigned to the units sold first, and more recent costs remain in closing inventory. This is a cost assignment method; it does not require that the physical goods always move in exactly the same order.

Example: a shop has no opening stock and buys the following units:

Purchase	Quantity	Unit cost	Total cost
Batch 1	10	AED 10	AED 100
Batch 2	8	AED 12	AED 96

If 12 units are sold, FIFO assigns 10 units × AED 10 plus 2 units × AED 12 to COGS: AED 124. Closing stock is 6 units from Batch 2 × AED 12 = AED 72. Total cost check: AED 124 + AED 72 = AED 196, equal to total purchases.

4. Inventory Costing: Weighted Average

A weighted-average method calculates a blended cost per unit from the cost and quantity of the units available. Depending on the inventory system and applicable framework, the average may be recalculated periodically or after each purchase (moving average).

Using the same batches: total cost AED 196 ÷ total units 18 = AED 10.8889 per unit (rounded). If 12 units are sold, COGS is approximately AED 130.67 and closing inventory is approximately AED 65.33. Together, they equal AED 196, subject to rounding.

FIFO and weighted average can produce different COGS and closing inventory values when purchase prices change. Choose a permitted method, apply it consistently, and follow the accounting requirements that apply to the business.

5. Landed Cost for Imported Goods

Landed cost estimates the cost of getting purchased goods to a specified destination and condition, based on the cost elements included in the model. It can support pricing and margin analysis, but a management estimate is not automatically the same as the inventory cost recognized in financial statements or the customs value used by authorities.

Illustrative import shipment: 100 units purchased for AED 5,000. Assume these additional shipment costs for this example: freight AED 600; insurance AED 100; customs duty AED 285; handling AED 115. These are fictional figures and do not state a UAE duty rate or establish which costs must be included under any particular rule.

Cost element	AED	Assumption
Supplier invoice	5,000	Purchase price for 100 units.
Freight	600	Shipment transport cost.
Insurance	100	Shipment insurance.
Customs duty	285	Illustrative amount only; verify actual classification and calculation.
Handling	115	Assumed handling charge.
Illustrative total landed cost	**6,100**	Sum of the cost elements listed here.
Illustrative landed cost per unit	**61.00**	AED 6,100 ÷ 100 units.

Formula: Total selected landed-cost elements ÷ usable units received = estimated landed cost per unit.

Before using a landed-cost model, define what it includes. Check whether recoverable VAT should be excluded from inventory cost, whether non-recoverable taxes or duties are relevant, how shared freight is allocated, and whether damaged or missing units affect the denominator. Customs valuation and import tax calculations must be checked separately against current official requirements.

6. Using AI to Check Cost Calculations

AI can help organize cost inputs, recalculate totals, compare costing scenarios, and flag missing information. It can also make mistakes or silently assume facts that were not provided. Keep the input data, formula, rounding method, and assumptions visible.

Example prompt:

“Using only the figures below, calculate COGS, FIFO inventory cost, weighted-average inventory cost, and the stated landed-cost estimate. Show each formula and arithmetic step. Do not assume any UAE customs duty rate or tax treatment. List missing inputs and clearly label assumptions. Reconcile total cost assigned to sold units plus closing inventory to total available cost.”

7. Practice Questions

1. Classify monthly office rent as fixed or variable in a period where the lease charge does not change with sales volume.

2. Opening inventory is AED 2,500, purchases are AED 7,000, eligible freight-in is AED 300, and closing inventory is AED 1,800. Calculate COGS.

3. A business buys 5 units at AED 4 each and then 5 units at AED 6 each. Under FIFO, if 6 units are sold, calculate COGS and closing inventory.

4. Using the purchases in Question 3, calculate the weighted-average unit cost and the approximate COGS for 6 units sold.

5. A shipment costs AED 8,400 under the cost elements selected for a management estimate and contains 120 usable units. Calculate estimated landed cost per unit.

6. Why should a management landed-cost estimate not automatically be treated as the official customs value or the accounting inventory cost?

Answer Key

1. Fixed cost, within the stated period and relevant range.

2. AED 2,500 + AED 7,000 + AED 300 – AED 1,800 = **AED 8,000 COGS**.

3. FIFO: 5 × AED 4 + 1 × AED 6 = **AED 26 COGS**. Closing stock: 4 × AED 6 = **AED 24**. Total = AED 50, equal to available cost.

4. Average unit cost = (AED 20 + AED 30) ÷ 10 = **AED 5**. COGS for 6 units = **AED 30**; closing inventory = AED 20.

5. AED 8,400 ÷ 120 = **AED 70 per usable unit**.

6. The models can use different definitions and rules; official customs valuation and financial reporting treatment depend on the applicable requirements and facts.

Chapter Summary

• Cost classifications help managers understand and allocate spending.
• COGS connects opening inventory, purchases and eligible costs, and closing inventory.
• FIFO and weighted average can assign different costs to sold goods and closing stock.
• Landed cost is useful only when its scope and assumptions are clear.
• AI-assisted calculations must be verified, and customs/tax conclusions require current authoritative references.

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CHAPTER 7

ACCOUNTS RECEIVABLE, ACCOUNTS PAYABLE AND WORKING CAPITAL

Chapter 7: Accounts Receivable, Accounts Payable, and Working Capital

Learning objectives

After this chapter, you should be able to explain customer receivables and supplier payables, record common transactions conceptually, estimate collection and payment timing, understand working capital, and use AI to support—but not replace—accounting checks.

1. Accounts receivable

Accounts receivable (AR) is money customers owe a business for goods or services already supplied on credit. A credit sale normally creates revenue and a receivable, subject to the relevant recognition rules. When the customer pays, cash increases and the receivable decreases.

Transaction	Typical effect
Issue invoice for a credit sale	Receivable increases; revenue is recorded when recognition criteria are met
Receive payment against invoice	Cash increases; receivable decreases
Approve a credit note	Receivable may decrease; revenue or another account may need adjustment depending on the reason
Determine an amount is uncollectible	Recognize or adjust an allowance or write-off according to the applicable accounting policy and rules

2. Example: tracking a customer invoice

A fictional business sells office supplies on credit for 6,000. Later, the customer pays 4,000 and the remaining 2,000 is still due. Ignore tax for this simplified example.

Stage	Receivable balance	Cash received from this invoice
Invoice issued	6,000	0
Partial payment received	2,000 still due	4,000

The collection does not usually create revenue a second time. It settles part of the amount already recorded as receivable. The unpaid 2,000 should remain on the customer account until paid, adjusted, disputed, or written off under an authorized process.

3. Accounts payable

Accounts payable (AP) is money a business owes suppliers for goods or services purchased on credit. Supplier invoices should be checked against purchase orders, delivery evidence, agreed prices, and approvals where those controls apply.

Transaction	Typical effect
Record valid supplier invoice	Payable increases; related asset or expense is recorded based on the purchase
Pay supplier invoice	Cash decreases; payable decreases
Receive supplier credit note	Payable may decrease; related purchase, expense, or asset balance may need adjustment
Dispute an invoice	Record and manage the dispute using documented procedures; do not silently ignore the balance

4. Example: supplier payment

A business records a supplier invoice for 3,500 and later pays 2,000. The remaining payable is 1,500. The payment normally settles the liability; it does not create the original expense or asset a second time.

Outstanding payable = Invoice amount – Payments and valid credits applied

5. Receivables and payables controls

Control	Why it matters
Customer master-data checks	Help prevent duplicate accounts and incorrect payment details
Credit limits and approval	Help manage exposure to customers who may pay late
Aged receivables review	Highlights overdue invoices for follow-up and dispute resolution
Invoice-to-order and delivery matching	Helps verify that supplier charges are supported
Payment approval and segregation of duties	Reduces unauthorized or duplicate payments
Supplier statement reconciliation	Helps identify missing invoices, unallocated payments, and differences
Audit trail and supporting documents	Makes transactions easier to review and explain

6. Aging schedules

An aging schedule groups unpaid invoices by how long they have been outstanding. Businesses often use categories such as not yet due, 1–30 days overdue, 31–60 days overdue, 61–90 days overdue, and more than 90 days overdue. The exact buckets should fit the business's policy and customer terms.

Customer	Not due	1–30 overdue	31–60 overdue	Total due
Customer A	2,000	1,000	0	3,000
Customer B	0	500	1,500	2,000
Total	2,000	1,500	1,500	5,000

This fictional schedule shows 5,000 outstanding. Customer B's 1,500 in the 31–60 day bucket may need earlier follow-up than an invoice that is not yet due. Aging alone does not prove a debt will be lost; consider disputes, payment history, credit quality, and subsequent receipts.

7. Working capital and the cash conversion cycle

Working capital is commonly measured as current assets minus current liabilities. It is a snapshot of short-term resources relative to short-term obligations. A positive amount does not automatically mean cash is available: inventory and receivables may not convert to cash immediately.

Net working capital = Current assets – Current liabilities

A simple cash conversion cycle estimates how long cash is tied up in inventory and customer credit, after allowing for supplier credit.

Cash conversion cycle = Inventory days + Receivables days – Payables days

For a simplified illustration, if inventory days are 40, receivables days are 30, and payables days are 25, the cycle is 40 + 30 – 25 = 45 days. This means the operating cycle ties up cash for about 45 days under those assumptions. The measures depend on consistent periods and suitable average balances.

8. Useful operating measures

Measure	Illustrative formula	Use
Receivables days	Average trade receivables ÷ credit sales × days in period	Estimates average collection time
Payables days	Average trade payables ÷ credit purchases × days in period	Estimates average supplier-payment timing
Inventory days	Average inventory ÷ cost of goods sold × days in period	Estimates how long stock is held
Collection rate	Cash collected against invoices ÷ amount targeted for collection × 100%	Tracks collection against a defined target

Use credit sales for receivables days and credit purchases for payables days when those figures are available. If only total sales or cost of goods sold is available, state the proxy and its limitation. Use average balances when possible, especially where balances change substantially during the period.

9. Practical workflow for an overdue invoice

1. Confirm the invoice number, amount, due date, and customer contact details.
2. Check whether the invoice was delivered and whether the customer has raised a valid dispute.
3. Review previous promises to pay and any payments not yet allocated.
4. Send a polite, factual reminder with the invoice and payment instructions.
5. Record the contact date, response, agreed next step, and owner of the follow-up.
6. Escalate according to the approved credit-control policy; do not make threats or alter records to force settlement.

10. Using AI to support AR/AP work

Example prompt for receivables aging
“Group these fictional invoice records by days past due. Show the aging bucket, invoice count, and total amount per bucket. Do not infer missing due dates or payments. Flag inconsistent dates and show the calculation method.”

Example prompt for supplier invoice review
“Compare these fictional purchase-order, delivery, and supplier-invoice lines. List exact quantity or price differences and identify which fields are missing. Do not approve payments or assume that a mismatch is fraud.”

AI output must be checked against the accounting system and source documents. Avoid submitting confidential supplier, customer, bank, or employee information unless the service is approved for that use. Payment release, write-offs, credit decisions, and changes to bank details should follow human approval controls.

11. Practice exercises

Exercise 1. A customer invoice is 8,200. The customer pays 5,000. What balance remains due?

Exercise 2. A supplier invoice is 4,750. A valid credit note of 250 and a payment of 2,000 are applied. What remains payable?

Exercise 3. Current assets are 64,000 and current liabilities are 49,000. Calculate net working capital.

Exercise 4. Inventory days are 35, receivables days are 28, and payables days are 20. Calculate the cash conversion cycle.

Exercise 5. Give two checks to perform before following up an overdue invoice.

12. Answer key

1. 8,200 – 5,000 = 3,200 remains due.

2. 4,750 – 250 – 2,000 = 2,500 remains payable.

3. 64,000 – 49,000 = 15,000 net working capital.

4. 35 + 28 – 20 = 43 days.

5. Examples: confirm the due date and amount; check whether payment has been received but not allocated; review any customer dispute; confirm that the invoice was sent to the correct contact.

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End of Chapter 7

CHAPTER 8

BUDGETING, FORECASTING AND VARIANCE ANALYSIS

Chapter 8: Budgeting, Forecasting, and Variance Analysis

Learning objectives
Learn how budgets differ from forecasts, build a simple operating budget, compare actual results with plans, calculate variances, and use AI to help investigate differences without treating its suggestions as proof.

1. Budget versus forecast

A **budget** is a documented plan for a defined period. It may express targets, expected resources, planned spending, and assumptions approved by management. A **forecast** is an updated estimate of what may happen based on the information available now. A budget often stays as the original comparison baseline, while a forecast can be revised as conditions change.

Tool	Main purpose	Typical question
Budget	Set a plan and target	What did we plan to achieve?
Forecast	Estimate the likely outcome	What do we now expect to happen?
Actual results	Record what occurred	What happened in the period?
Variance analysis	Compare actual with budget or forecast	What differs, by how much, and why?

2. Build a simple sales budget

A sales budget may estimate units sold, selling price, and revenue by month, product, or customer group. A forecast should make assumptions visible rather than hide them inside a total.

Budgeted sales revenue = Planned units sold × Planned selling price per unit

Product	Planned units	Price per unit	Budgeted revenue
Desk lamp	400	75	30,000
Office chair	120	250	30,000
Total			60,000

The example assumes all planned units are sold at the listed prices and excludes discounts, returns, and indirect taxes. Real budgets should include those factors when relevant.

3. Prepare a simple operating budget

Line item	Budget	Actual
Sales revenue	60,000	57,000
Cost of goods sold	34,000	33,000
Gross profit	26,000	24,000
Operating expenses	18,000	19,500
Operating result	8,000	4,500

The actual operating result is 3,500 lower than budget. The total difference does not explain the cause by itself. Lower sales, lower cost of goods sold, and higher operating expenses must be examined separately and in context.

4. What is a variance?

A variance is the difference between an actual result and a comparison amount, such as a budget or forecast. For income, actual revenue above budget is often described as favorable; below budget is often unfavorable. For costs, actual costs below budget are often favorable; above budget are often unfavorable. However, a favorable number is not always good—for example, spending less on maintenance may create future risk.

Revenue variance = Actual revenue – Budgeted revenue

Cost variance = Actual cost – Budgeted cost

For cost variance, the sign alone is not enough to label the result favorable or unfavorable. Interpret the amount according to the cost type and the organization's reporting convention.

5. Worked variance calculations

Using the operating budget above:

Revenue variance = 57,000 – 60,000 = –3,000. Actual revenue is 3,000 below budget, generally unfavorable.

Cost of goods sold variance = 33,000 – 34,000 = –1,000. Actual cost is 1,000 below budget, generally favorable, provided the reduction does not reflect an issue such as missing purchases or stock shortages.

Operating expense variance = 19,500 – 18,000 = +1,500. Actual operating expenses are 1,500 above budget, generally unfavorable.

Operating result variance = 4,500 – 8,000 = –3,500. Actual operating result is 3,500 below budget.

6. Flexible budgets and fair comparisons

A fixed budget uses a planned activity level. A flexible budget adjusts expected costs or revenue to the actual activity level using suitable cost behavior assumptions. It can help distinguish a difference caused by selling more or fewer units from a difference caused by price, usage, or spending.

Illustration: variable packaging is budgeted at 2 per unit. The original plan was 10,000 units, but actual output was 8,000 units. A flexible budget for packaging at actual output would be 8,000 × 2 = 16,000, before considering any price or efficiency differences.

Do not assume every cost is variable. Rent may be fixed over a relevant range; utilities may be mixed; staffing and logistics can behave differently depending on contracts, capacity, and operational choices.

7. Price and quantity variance thinking

When the data supports it, a difference can be separated into price and quantity effects. For direct materials, one common management-accounting approach is:

Materials price variance = Actual quantity purchased × (Actual price – Standard price)

Materials usage variance = Standard price × (Actual quantity used – Standard quantity allowed for actual output)

Organizations may define and present these calculations differently. Confirm the standard-cost method, units, and sign convention before comparing reports.

8. Forecasting methods and assumptions

Method	How it works	Caution
Simple run rate	Uses a recent average or period amount to estimate a future period	Can miss seasonality or one-off events
Driver-based forecast	Links results to operational drivers such as units, headcount, or customer volume	Drivers must be measured consistently
Scenario forecast	Builds alternative cases such as base, optimistic, and downside	Scenarios are possibilities, not promises
Rolling forecast	Updates the outlook regularly and extends the forecast horizon	Needs clear ownership and controlled assumptions

9. Example of a scenario forecast

A fictional business expects monthly sales of 60,000 in its base case. Management models a downside case 10% lower and an upside case 8% higher.

Downside = 60,000 × 0.90 = 54,000

Base case = 60,000

Upside = 60,000 × 1.08 = 64,800

These scenarios help planning discussions. They are not statistically reliable unless the assumptions and method are supported by appropriate data.

10. Investigating variances

A useful variance review moves from the number to a supported explanation. Check source records, timing, volume, price, mix, waste, supplier changes, staffing, one-off costs, coding, and data quality. Ask the responsible team to confirm the operational facts. Separate verified causes from hypotheses and agree on an owner and follow-up date.

11. Using AI in budgeting and variance analysis

Example prompt
“Compare the budget and actual figures below. Calculate each variance and percentage variance where the denominator is meaningful. Label revenue and cost differences separately. Do not invent causes. List plausible investigation questions in a separate section and mark them as hypotheses until verified.”

Useful safeguards
• Provide clearly labelled periods, currencies, units, and actual/budget fields.
• Verify totals against the accounting system and spreadsheets.
• Ask AI to show formulas and intermediate calculations.
• Do not confuse correlation with cause.
• Keep confidential financial data within approved systems and access controls.

12. Practice exercises

Exercise 1. Budgeted revenue is 80,000 and actual revenue is 74,000. Calculate the revenue variance and interpret it.

Exercise 2. Budgeted operating expenses are 22,000 and actual expenses are 24,500. Calculate the cost variance and interpret it.

Exercise 3. A business plans to sell 1,500 units at 40 each. Calculate budgeted revenue.

Exercise 4. A variable cost is budgeted at 3.50 per unit. Actual output is 6,000 units. Calculate the flexible-budget amount for this cost.

Exercise 5. Give two checks to perform before concluding why a variance occurred.

13. Answer key

1. 74,000 – 80,000 = –6,000. Actual revenue is 6,000 below budget, generally unfavorable.

2. 24,500 – 22,000 = +2,500. Actual cost is 2,500 above budget, generally unfavorable.

3. 1,500 × 40 = 60,000.

4. 6,000 × 3.50 = 21,000, assuming the cost behaves as variable over this activity range.

5. Examples: reconcile figures to source records; confirm period and coding; check sales volume and prices; ask the responsible team; identify one-off timing items; separate evidence from hypotheses.

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CHAPTER 9

PAYROLL ACCOUNTING, EMPLOYEE BENEFITS AND PAYROLL RECONCILIATION

Chapter 9: Payroll Accounting, Employee Benefits, and Payroll Reconciliation

Learning objectives

Understand the main parts of a payroll cycle, distinguish gross pay from net pay, follow a simplified payroll calculation, recognize common payroll accounting entries, reconcile payroll totals, and use AI carefully with sensitive payroll information.

1. What payroll accounting covers

Payroll accounting records compensation earned by employees and the related amounts withheld, accrued, or paid by an employer. The exact treatment depends on local law, employment terms, accounting policy, and the type of benefit. Payroll processing should be supported by approved employee data, attendance or time records, authorized pay changes, and review controls.

Term	Meaning
Gross pay	Employee compensation before deductions, based on the applicable pay terms
Employee deductions	Amounts withheld from gross pay, such as legally required contributions or authorized deductions
Net pay	The amount payable to the employee after applicable deductions
Employer payroll cost	Gross compensation plus employer-paid contributions and benefits recognized for the period
Payroll liability	An amount the employer owes to employees, authorities, benefit providers, or other parties

2. The payroll cycle

A controlled payroll cycle commonly includes these steps:

1. Maintain approved employee records and salary terms.
2. Collect and validate attendance, overtime, leave, commissions, and other variable-pay inputs.
3. Calculate gross pay and applicable deductions using current rules and authorized settings.
4. Review exceptions, changes, unusual amounts, and employee joiner or leaver cases.
5. Obtain approval before releasing the payroll and payment file.
6. Pay employees and settle required deductions or contributions by their due dates.
7. Post payroll journals, reconcile accounts, and securely retain supporting records.

3. Simplified payroll calculation

The following is a fictional teaching example, not a legal payroll calculation. It assumes all amounts are already determined under the employee's contract and applicable rules.

Payroll component	Amount
Basic salary	8,000
Approved overtime and other earnings	500
Gross pay	8,500
Illustrative employee deduction	(300)
Net pay	8,200

Gross pay = Basic salary + Other eligible earnings

Net pay = Gross pay − Applicable employee deductions

The example uses a fictional deduction solely to demonstrate arithmetic. Do not use the amount or deduction type as a statement of any country's legal requirements.

4. Employer cost and employee deductions are different

An employee deduction generally reduces the amount paid directly to the employee and creates an amount to be remitted or accounted for elsewhere. An employer contribution or benefit is generally an additional cost to the employer. The two should not be mixed up in reports or journal entries.

Item	Typical accounting idea
Gross compensation	Recognize payroll expense and the amount owed before employee deductions
Employee withholding	Reduce the amount payable to the employee and recognize a liability to the relevant recipient
Employer contribution	Recognize additional employer expense and a related payable when applicable
Net salary payment	Reduce the employee payroll payable when payment is made
Remittance to authority or provider	Reduce the related payroll liability when paid

The precise accounts, timing, and recognition depend on the reporting framework and local requirements. Use the organization's approved chart of accounts and payroll procedures.

5. Simplified payroll journal illustration

Suppose gross payroll is 8,500, employee deductions are 300, and net pay is 8,200. For teaching purposes, the entries can be represented conceptually as follows.

Entry	Debit	Credit
Recognize gross payroll	Payroll expense 8,500	Employee payroll payable 8,200; deduction payable 300
Pay employees	Employee payroll payable 8,200	Cash/bank 8,200
Remit deduction	Deduction payable 300	Cash/bank 300

This simplified layout assumes the deduction is withheld from the employee and owed to another recipient. Employer contributions, benefits, leave accruals, end-of-service obligations, and other items may require separate entries.

6. Payroll reconciliation

Reconciliation checks whether payroll reports agree with payment records and the general ledger. It should identify differences for investigation rather than force balances to match without evidence.

Reconciliation	Compare	Investigate
Payroll register to journal	Gross pay, deductions, employer costs, and totals	Mapping errors, omitted employees, duplicated entries, incorrect period
Net payroll to bank file	Approved employee payment total and bank file total	Rejected payments, duplicate lines, changed bank details, rounding
Payroll liabilities to settlement records	Amounts owed to authorities or benefit providers and amounts paid	Late remittances, unallocated payments, wrong period, missing accrual
Employee changes to approvals	Salary, bank details, joiner/leaver dates, and variable pay	Unauthorized changes or incomplete documentation

7. Common payroll exceptions

Examples include a leaver included after the final payable period, an employee missing from the register, duplicate overtime, a salary change applied in the wrong month, an unapproved bank-detail change, a payment returned by the bank, or a deduction that does not agree with the approved setup. Record the exception, owner, evidence, correction, and approval trail.

8. Employee benefits and accruals

Depending on the employment agreement and applicable rules, payroll-related costs may include paid leave, bonuses, commissions, insurance, retirement or pension contributions, and end-of-service or other long-term employee benefits. Some costs are recorded when earned even if payment occurs later. Recognition and measurement should be based on the applicable accounting requirements and reliable employee data.

A simple accrual illustration: if a company estimates that employees have earned a bonus of 12,000 for the period and the criteria for recognition are met, it may need to recognize an expense and a liability before cash is paid. The actual amount and timing require support from the plan terms, employee eligibility, and relevant accounting rules.

9. Confidentiality and payroll controls

Payroll data is sensitive. Restrict access to people who need it for their role. Protect salary files, identification details, bank details, and benefit information. Use approved storage and transfer methods. Separate preparation, approval, and payment responsibilities where practicable. Changes to bank details should be independently verified using an approved process.

10. Using AI responsibly in payroll

Example prompt using fictional, non-identifying data
“Check the arithmetic in this fictional payroll summary. Recalculate gross pay, deductions, and net pay for each row and in total. Flag missing values and inconsistencies. Do not infer legal deductions or claim legal compliance. Show the formulas and state any assumptions.”

Important safeguards
• Do not upload real employee payroll data to an unapproved AI tool.
• Verify calculations in the payroll system or a controlled spreadsheet.
• Do not let AI approve salary changes, payment files, or employee bank details.
• Check current official rules and qualified guidance for jurisdiction-specific payroll obligations.
• Keep an audit trail of changes and approvals.

11. Practice exercises

Exercise 1. Basic pay is 6,400 and approved additional earnings are 250. Calculate gross pay.

Exercise 2. Gross pay is 7,200 and illustrative deductions total 450. Calculate net pay.

Exercise 3. A payroll register shows net pay of 46,800, but the approved bank file totals 46,300. What is the difference, and what should happen next?

Exercise 4. Explain the difference between an employee deduction and an employer contribution.

Exercise 5. Give two controls that help protect payroll payments.

12. Answer key

1. 6,400 + 250 = 6,650 gross pay.

2. 7,200 – 450 = 6,750 net pay.

3. Difference = 500. Investigate the employee-level lines, exclusions, rejected payments, duplicates, and approvals before release; do not change the total merely to make it agree.

4. An employee deduction is withheld from the employee's gross pay and generally becomes payable to another recipient. An employer contribution is generally an additional employer cost.

5. Examples: separate payroll preparation from approval; verify bank-detail changes independently; restrict file access; compare approved totals with bank files; review exceptions before payment.

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End of Chapter 9

CHAPTER 10

FIXED ASSETS, DEPRECIATION AND ASSET DISPOSAL

Chapter 10: Fixed Assets, Depreciation, and Asset Disposal

Learning objectives

Learn how to identify common fixed assets, distinguish capital expenditure from routine expenses, calculate depreciation using simple methods, record disposal results conceptually, and reconcile the fixed-asset register to accounting records.

1. What is a fixed asset?

A fixed asset is a resource a business uses over more than one accounting period, such as equipment, furniture, vehicles, or buildings. Accounting treatment depends on the asset's purpose, expected use, cost, applicable reporting rules, and the organization's capitalization policy. Not every purchase that lasts more than a year must automatically be capitalized; materiality and policy also matter.

Example	Possible treatment to assess
Office desk used for several years	May qualify as property or equipment if recognition criteria and policy are met
Small stationery purchase	Usually treated as a period expense because it is consumed in operations
Major improvement to an existing asset	May qualify for capitalization if it creates qualifying future benefit and meets applicable criteria
Routine repair that maintains current condition	Often recognized as a repair or maintenance expense

2. Capital expenditure versus expense

Capital expenditure (CapEx) is spending that is recognized as part of an asset's cost when the relevant criteria are met. An expense is generally recognized in the period in which the related goods or services are consumed or the obligation arises. The decision should be supported by the facts and the accounting policy, not by a desire to improve reported profit.

Question	Why it matters
Will the item be used beyond the current period?	Helps assess whether it may be a long-term resource
Does the cost meet the applicable asset recognition criteria?	A long useful life alone is not enough
Is the cost material under the approved policy?	Small items may be expensed under a consistent policy
Is the amount a repair or an improvement?	Routine maintenance and qualifying improvements can have different treatment

3. Asset cost and initial records

An asset's initial cost may include the purchase price and directly attributable costs needed to bring it to the location and condition required for intended use, where the applicable rules permit. Recoverable taxes are generally treated differently from non-recoverable taxes. Financing costs, training, abnormal waste, and general overhead need careful assessment under the relevant accounting policy.

Illustration: equipment invoice 20,000, delivery 600, installation 900. If delivery and installation qualify as directly attributable costs, the illustrative initial asset cost is 20,000 + 600 + 900 = 21,500. This example excludes tax and assumes all amounts are supported and eligible for capitalization.

4. Depreciation explained

Depreciation allocates the depreciable amount of a tangible asset over its estimated useful life in a systematic way. It is not a direct measurement of market value and does not automatically set aside cash to replace the asset.

Depreciable amount = Asset cost – **Residual value**

Useful life, residual value, and method are estimates that should be reviewed when required by the applicable accounting framework and company policy. The start date is generally linked to when the asset is available for use, subject to the relevant rules.

5. Straight-line depreciation

Straight-line depreciation allocates an equal amount to each full period of the estimated useful life, assuming the inputs do not change.

Annual depreciation = (Asset cost − Residual value) ÷ Useful life in years

Example: an asset costs 21,500, has an estimated residual value of 1,500, and a useful life of 5 years.

Annual depreciation = (21,500 − 1,500) ÷ 5 = 4,000

Year	Opening carrying amount	Depreciation	Closing carrying amount
1	21,500	4,000	17,500
2	17,500	4,000	13,500
3	13,500	4,000	9,500
4	9,500	4,000	5,500
5	5,500	4,000	1,500

The closing carrying amount does not fall below the assumed residual value in this simplified schedule. For a partial first or last period, use the organization's approved time-apportionment policy.

6. Other depreciation methods

Method	General idea	Consideration
Straight-line	Equal depreciation per full period	Useful where benefit is consumed evenly
Reducing balance	A set rate is applied to the carrying amount	Produces higher depreciation earlier under common setups
Units of production	Depreciation follows measured use or output	Requires reliable activity or output data

The method should reflect the expected pattern of consumption of the asset's economic benefits, where required by the reporting framework. Do not select a method only because it gives a preferred profit result.

7. Journal entry for depreciation

Account	Debit	Credit
Depreciation expense	4,000	
Accumulated depreciation		4,000

Accumulated depreciation records depreciation recognized to date. It is commonly presented as a deduction from the related asset cost to show carrying amount. The exact ledger structure should follow the entity's chart of accounts.

8. Asset register and reconciliation

A fixed-asset register provides asset-level detail. Useful fields can include asset ID, description, location, custodian, purchase date, available-for-use date, original cost, useful life, residual value, depreciation method, accumulated depreciation, carrying amount, and disposal details.

Check	Purpose
Register total to general ledger	Confirm that asset cost and accumulated depreciation reconcile
Physical verification	Check that recorded assets exist and are in the expected location

Check	Purpose
New purchases to invoices and approvals	Verify cost, ownership, authorization, and asset classification
Disposals to approval and proceeds	Ensure assets removed from use are recorded correctly
Useful life and condition review	Identify estimates that may need review under policy

9. Asset disposal

When an asset is sold, scrapped, or otherwise disposed of, the accounting records generally need to remove its cost and accumulated depreciation, record any proceeds or receivable, and recognize the resulting gain or loss as applicable.

Carrying amount at disposal = Asset cost – Accumulated depreciation – Applicable impairment adjustments

Gain or loss on disposal = Net disposal proceeds – Carrying amount at disposal

Example: cost 21,500; accumulated depreciation 12,000; no impairment; net proceeds 8,000. Carrying amount = 21,500 – 12,000 = 9,500. Disposal result = 8,000 – 9,500 = –1,500, so the simplified example produces a loss of 1,500.

10. Using AI to support fixed-asset work

Example prompt

“Using only these fictional asset records, calculate straight-line depreciation for each asset. Show cost, residual value, useful life, annual depreciation, and carrying amount. Flag missing or inconsistent inputs. Do not invent useful lives or claim that the treatment complies with any specific accounting standard.”

Checks before relying on AI output

• Match costs to invoices, approvals, and the asset register.
• Confirm the available-for-use date, useful life, residual value, and method.
• Check arithmetic and ensure depreciation does not reduce carrying amount below residual value in the simplified model.
• Review impairment indicators and disposal approvals under the applicable policy.
• Keep confidential asset and supplier information within approved systems.

11. Practice exercises

Exercise 1. A machine costs 15,000, has a residual value of 1,000, and a useful life of 7 years. Calculate annual straight-line depreciation.

Exercise 2. An asset costs 12,000 and has accumulated depreciation of 7,500. Ignore impairment. Calculate its carrying amount.

Exercise 3. An asset with a carrying amount of 4,200 is sold for net proceeds of 3,600. Calculate the disposal gain or loss.

Exercise 4. Give two pieces of evidence that can support recording a new fixed asset.

Exercise 5. Explain why depreciation is not the same as saving cash for replacement.

12. Answer key

1. (15,000 – 1,000) ÷ 7 = 2,000 per year.

2. 12,000 – 7,500 = 4,500 carrying amount.

3. 3,600 – 4,200 = –600, a loss of 600.

4. Examples: supplier invoice, purchase order, delivery or installation evidence, approval record, and proof that the item is available for use.

5. Depreciation is an accounting allocation of asset cost. Cash may have been paid when the asset was purchased, and depreciation itself does not create a separate cash reserve.

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End of Chapter 10

CHAPTER 11

BANK RECONCILIATION, CASH CONTROLS AND FRAUD PREVENTION

Chapter 11: Bank Reconciliation, Cash Controls, and Fraud Prevention

Learning objectives

Learn how to compare bank and accounting records, identify common reconciling items, prepare a simple reconciliation, apply practical cash controls, and use AI to help organize exceptions without replacing verification or approval.

1. What is bank reconciliation?

Bank reconciliation compares the cash balance in an organization's accounting records with the balance shown by its bank statement at the same date. The balances may differ because transactions are recorded at different times, bank entries have not yet been posted in the books, or errors need investigation. A difference should be explained with evidence, not hidden by an unsupported adjustment.

2. Common reconciling items

Item	Usual explanation	Typical action
Outstanding payment	Recorded by the business but not yet shown by the bank	Check later statements to confirm it clears; investigate stale items
Deposit in transit	Recorded by the business but not yet credited by the bank	Check deposit evidence and subsequent bank activity
Bank fee	Shown by the bank but not yet recorded in the books	Verify the fee and record it in the correct period
Interest credited	Bank has added interest not yet recorded in the books	Verify and record according to the account and policy
Returned customer payment	A receipt has been reversed or rejected by the bank	Restore the receivable or investigate the appropriate account
Recording error	Amount, date, or account was entered incorrectly	Trace to source documents and post an approved correction

3. Worked bank reconciliation

Fictional example at month-end. The cash ledger shows 12,450. The bank statement shows 11,900. Investigation identifies an outstanding payment of 800 and a deposit in transit of 1,350. The bank statement also includes a fee of 100 that is not yet recorded in the ledger.

Bank-side reconciliation	Amount
Balance per bank statement	11,900
Add: deposit in transit	1,350
Less: outstanding payment	(800)
Adjusted bank balance	12,450
Book-side adjustment	**Amount**
Balance per cash ledger	12,450
Less: bank fee not recorded	(100)
Adjusted book balance before other items	12,350

The two adjusted balances do not agree in this example: 12,450 versus 12,350. That is intentional: it means another 100 item or error remains unexplained. Do not force the reconciliation to balance. Continue checking for missing bank credits, duplicated ledger entries, incorrect amounts, or an incomplete list of reconciling items. If a separate valid

bank credit of 100 is found and verified, it may explain the difference; do not assume it exists.

4. A second, fully balanced example

Suppose the bank statement balance is 9,700, a deposit in transit is 600, and outstanding payments total 300. The adjusted bank balance is 9,700 + 600 – 300 = 10,000. If the cash ledger is 10,080 and a verified bank fee of 80 has not yet been recorded, the adjusted book balance is 10,080 – 80 = 10,000. Both sides agree.

Adjusted bank balance = Bank statement balance + Deposits in transit – Outstanding payments

Adjusted book balance = Book balance + Verified unrecorded bank credits – Verified unrecorded bank debits ± Book corrections

5. How to investigate differences

1. Confirm that the bank statement and ledger cover the same account and date.
2. Match transactions by amount, date, reference, and counterparty.
3. Mark items that appear on both records.
4. List unmatched items with a clear explanation and supporting evidence.
5. Check subsequent statements for deposits and payments that clear after month-end.
6. Record valid book-side items using approved journal entries.
7. Escalate unexplained, unusual, repeated, or potentially unauthorized transactions.

6. Cash controls

Control	Practical purpose
Separate payment preparation and approval	Reduces the chance that one person can create and release an unauthorized payment
Independent bank reconciliation review	Provides a second check over cash movements and adjustments
Dual approval for defined payments	Adds oversight for higher-risk transactions
Restricted online banking access	Limits who can view accounts, create beneficiaries, or release payments
Independent verification of bank-detail changes	Helps reduce payment diversion and impersonation risks
Numbered receipts and deposit tracking	Helps account for incoming cash and identify missing deposits
Timely review of stale reconciling items	Prevents old unexplained differences from being carried forward indefinitely

7. Fraud warning signs and careful response

Potential warning signs include an unexpected change to supplier bank details, a payment request that bypasses normal approvals, pressure to act urgently, duplicate invoices with small changes, unexplained manual journals, unusual payments outside normal hours, or repeated reconciliation differences. A warning sign is not proof of fraud. Verify facts through trusted contact details and follow the organization's reporting process.

If fraud is suspected, preserve relevant records, restrict access only through authorized procedures, and escalate to the appropriate manager, finance control, compliance, or security team. Do not accuse an individual based only on an anomaly, and do not delete or alter evidence.

8. Using AI to assist reconciliation

Example prompt with fictional data

“Compare these fictional bank-statement lines with the cash-ledger lines. Match only when amount and reference are consistent, list unmatched items separately, identify possible duplicates, and show the reason for each suggested match. Do not invent transactions or declare fraud. Flag uncertain matches for human review.”

Safe-use checks

• Confirm that AI has not paired unrelated transactions simply because amounts are similar.
• Recheck all matches against the original statement and ledger.

• Do not upload bank credentials, full account numbers, or confidential transaction data to an unapproved AI service.
• Require authorized human review before posting entries or releasing payments.

9. Practice exercises

Exercise 1. Bank statement balance is 14,200. Deposits in transit are 900 and outstanding payments are 1,100. Calculate the adjusted bank balance.

Exercise 2. Cash ledger balance is 14,050. A verified bank fee of 50 has not been recorded. Calculate the adjusted book balance, assuming no other book-side items.

Exercise 3. The adjusted bank balance is 14,000 and the adjusted book balance is 14,000. What does this tell you, and what does it not prove?

Exercise 4. Give two controls that help reduce unauthorized payments.

Exercise 5. An AI tool suggests matching two transactions because both are 1,250, but the references and dates differ. What should you do?

10. Answer key

1. 14,200 + 900 – 1,100 = 14,000.

2. 14,050 – 50 = 14,000.

3. The reconciliation agrees based on the adjustments listed. It does not prove that every transaction is legitimate, correctly classified, or free from fraud; supporting evidence and controls are still required.

4. Examples: separate preparation and approval, dual authorization, restricted bank access, independent verification of supplier bank changes, and independent reconciliation review.

5. Do not accept the match automatically. Check references, dates, counterparties, and supporting records; leave it unmatched or mark it uncertain until verified.

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End of Chapter 11

CHAPTER 12

ACCOUNTING FOR LOANS, INTEREST AND FINANCING COSTS

Chapter 12: Accounting for Loans, Interest, and Financing Costs

Learning objectives
Understand how loan proceeds and repayments affect accounts, distinguish principal from interest, calculate simple interest, record common loan transactions, reconcile loan balances, and use AI safely to check calculations and organize supporting evidence.

1. The basic parts of a loan

A loan is an amount received under an agreement that normally requires repayment. The agreement may specify the principal, interest rate, payment dates, fees, security, and consequences of late payment. Accounting treatment depends on the agreement and the applicable reporting framework. This chapter uses simplified examples for learning.

Term	Plain-language meaning
Principal	The amount borrowed that remains to be repaid, before considering any special accounting adjustments
Interest	The cost charged for using borrowed money over time
Installment	A scheduled payment, which may contain both principal and interest
Loan fee	A charge related to arranging, servicing, or administering a loan; its accounting treatment depends on the facts and rules applied
Current portion	The part of a loan expected to be settled within the applicable current-liability period under the reporting framework
Covenant	A condition in the loan agreement that the borrower must meet

2. Borrowing money: the initial entry

Fictional example: a business receives 50,000 from a lender into its bank account. Ignore fees and any special measurement rules for this introductory example.

Account	Debit	Credit
Bank	50,000	—
Loan payable	—	50,000

The debit records the increase in the bank asset. The credit records the obligation to repay the lender. Receiving a loan is not normally recorded as sales revenue because the business has incurred a repayment obligation.

3. Principal versus interest

A loan payment is not necessarily all an expense. The principal portion reduces the liability; the interest portion is generally a financing expense as it is incurred, subject to the applicable accounting requirements and any qualifying capitalization rules.

Payment component	Common simplified entry effect
Principal repayment	Debit loan payable; credit bank
Interest payment or accrual	Debit interest expense or applicable interest account; credit bank or interest payable
Combined installment	Split the payment between principal and interest based on lender information and the agreement

4. Simple interest calculation

For a basic illustration where the principal and annual rate are constant for the full period:

Simple interest = Principal × Annual interest rate × Time in years

Example: principal 50,000, annual rate 6%, and a period of 3 months. Convert the period to 3/12 of a year.

Interest = 50,000 × 0.06 × 3/12 = 750

This is a simplified calculation. Actual lender calculations may use daily balances, different day-count conventions, compounding, variable rates, fees, or repayment schedules. Use the lender's verified schedule when recording a real loan.

5. Recording a payment

Assume a scheduled payment is 4,000, consisting of 3,250 principal and 750 interest. The simplified entry is:

Account	Debit	Credit
Loan payable	3,250	—
Interest expense	750	—
Bank	—	4,000

The loan liability falls by 3,250, while the 750 interest component is recorded separately. Do not split a real installment by guesswork; obtain the lender's statement or amortization schedule.

6. Interest incurred but not yet paid

If interest of 200 has been incurred by the reporting date but is payable later, a simplified accrual entry may be: debit interest expense 200 and credit interest payable 200. When paid, debit interest payable and credit bank. This illustrates timing: an expense may be recognized before cash leaves the bank. Apply the reporting framework and contract terms to the actual facts.

7. Loan fees and financing costs

Loan-related charges can include arrangement fees, legal costs, valuation charges, or recurring administration fees. Do not assume all such costs are treated identically. Depending on the applicable accounting framework, the contract, and the nature of the fee, a cost may be expensed immediately or incorporated into the measurement of a financial liability and recognized over time. Keep invoices, lender correspondence, the signed agreement, and the accounting rationale.

8. Loan reconciliation

A useful reconciliation compares the loan balance in the general ledger with a lender statement or repayment schedule at the same date. Start with the opening principal, add new drawdowns, subtract principal repayments, and investigate any remaining difference. Interest payable and fees may be tracked separately from principal, depending on the ledger design.

Illustration: opening principal 50,000; additional borrowing 5,000; principal repaid 8,000. Expected closing principal under these simplified assumptions is 50,000 + 5,000 – 8,000 = 47,000. Compare this with the lender's confirmed balance and investigate timing, fees, foreign-exchange effects, or posting errors rather than inserting a balancing figure.

9. Presentation and review checks

Before closing the period, consider whether the loan balance is supported, payments have been split correctly, interest has been recorded in the appropriate period, due dates and current/non-current classification have been reviewed, and disclosures required by the applicable framework have been considered. Check covenant requirements and upcoming maturities where relevant. Classification and disclosure can depend on contract terms and reporting-date conditions.

10. Using AI to assist loan accounting

Example prompt using fictional data

“Using the fictional loan details below, calculate simple interest for the stated period, show each formula, and separate principal from interest in the payment. Then compare the calculated closing principal with the supplied lender balance. List assumptions and differences. Do not invent missing terms, make a journal entry for an unverified amount, or claim that a treatment complies with a particular standard unless the relevant requirements have been provided and checked.”

AI safeguards

• Verify rate, period, repayment date, payment allocation, and day-count basis against the agreement or lender schedule.
• Recalculate important amounts independently.
• Avoid uploading credentials, complete account numbers, or confidential loan documents to an unapproved service.
• Obtain qualified review for complex instruments, foreign-currency loans, modifications, covenant breaches, and framework-specific accounting.

11. Practice exercises

Exercise 1. A company borrows 30,000. Prepare the simplified entry when the money reaches its bank account.

Exercise 2. Calculate simple interest on 30,000 at 8% per year for 6 months, assuming a constant principal and no compounding.

Exercise 3. A payment of 2,600 consists of 2,100 principal and 500 interest. State the debit and credit amounts for the simplified entry.

Exercise 4. Opening principal is 18,000. The company borrows another 2,000 and repays 4,500 of principal. Calculate the expected closing principal under these simplified assumptions.

Exercise 5. The ledger loan balance differs from the lender statement. Name four checks to perform before proposing an adjustment.

12. Answer key

1. Debit Bank 30,000; credit Loan Payable 30,000.

2. 30,000 × 0.08 × 6/12 = 1,200.

3. Debit Loan Payable 2,100; debit Interest Expense 500; credit Bank 2,600.

4. 18,000 + 2,000 – 4,500 = 15,500.

5. Examples: confirm the same account and date; trace drawdowns; match principal repayments; check accrued interest and fees; inspect timing differences; verify foreign-exchange effects; review posting errors; request lender clarification.

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End of Chapter 12

CHAPTER 13

INVENTORY ACCOUNTING, COST OF GOODS SOLD AND STOCK VALUATION

Chapter 13: Inventory Accounting, Cost of Goods Sold and Stock Valuation

Learning objectives
Identify inventory costs, record purchases and sales in a simplified perpetual system, calculate cost of goods sold, compare common inventory cost-flow methods, account for stock losses and returns, and use AI to support—not replace—inventory checks.

1. What inventory means

Inventory consists of goods held for sale, items being made for sale, or materials and supplies that will be used in production. The exact classification depends on the business and applicable accounting rules. A retailer may hold finished goods for customers; a manufacturer may hold raw materials, work in progress, and finished products.

Inventory type	Illustrative example
Merchandise / finished goods	Packaged goods purchased for resale or completed products ready for customers
Raw materials	Ingredients or components waiting to be used in production
Work in progress	Units that have entered production but are not yet finished
Production supplies	Materials consumed in operations; whether they qualify as inventory depends on their nature and the applicable rules

2. What costs may form part of inventory?

For a simple trading business, the purchase cost is a starting point. Depending on the applicable framework and facts, costs needed to bring inventory to its present location and condition may also be included. Examples can include inbound freight and handling. Recoverable taxes are generally treated differently from non-recoverable taxes. Discounts and supplier credits usually affect the cost calculation. Do not automatically include every expense connected with a purchase.

Fictional example: a business buys goods for 10,000, receives a 500 trade discount, and pays 300 for delivery that qualifies as an inventory cost. The simplified inventory cost is 10,000 – 500 + 300 = 9,800, before considering taxes or other contract details.

3. Perpetual and periodic systems

System	How records are updated
Perpetual	Inventory records and cost of goods sold are updated as transactions are recorded, often through each sale and receipt
Periodic	Purchases are tracked during the period and inventory/cost of goods sold are determined using a period-end count and calculation

A perpetual system can provide more timely information, but its records still need physical verification. A periodic system relies heavily on the quality of period-end counting and cut-off procedures. Neither system removes the need to investigate discrepancies.

4. Recording a purchase and a sale

Simplified perpetual-system example: inventory costing 1,200 is bought on credit. Record debit Inventory 1,200 and credit Accounts Payable 1,200. Later, goods that cost 700 are sold for 1,000 cash. The sale normally has two accounting effects in this simplified example:

Entry	Debit	Credit
Record revenue: Bank / Cash; Sales Revenue	1,000	1,000
Record cost: Cost of Goods Sold; Inventory	700	700

The first entry records the selling price. The second transfers the cost of the goods sold from inventory to expense. Gross profit for this sale is 1,000 – 700 = 300, before other expenses.

5. Cost of goods sold

For a simplified periodic calculation, use the following relationship:

> **Opening inventory + Net purchases + Other eligible inventory costs – Closing inventory = Cost of goods sold**

Example: opening inventory 8,000; purchases 24,000; purchase returns and allowances 1,000; eligible inbound freight 600; closing inventory 7,500. Net purchases are 24,000 – 1,000 = 23,000. Cost of goods sold = 8,000 + 23,000 + 600 – 7,500 = 24,100.

Check that the amounts cover the same period and that freight, taxes, discounts, returns, and other costs are treated consistently. This simplified formula is not a substitute for the detailed rules applicable to a particular business.

6. Inventory cost-flow methods

When identical or interchangeable items are purchased at different costs, the cost assigned to units sold and units remaining can vary with the cost-flow method allowed by the applicable framework. Common methods include FIFO and weighted average. The method is an accounting policy; it should not be changed casually to obtain a preferred profit figure.

Fictional example: 10 identical units are purchased at 5 each, then another 10 units at 7 each. A total of 12 units are sold. Ignore sales price and other costs.

Method	Cost of 12 units sold	Closing inventory (8 units)
FIFO	10 × 5 + 2 × 7 = 64	8 × 7 = 56
Weighted average	Average cost = (50 + 70) / 20 = 6; 12 × 6 = 72	8 × 6 = 48

The figures differ because the methods assign the total cost of 120 between sold units and remaining units differently. Under the assumptions above, cost of goods sold plus closing inventory equals 120 in both examples. The specific method permitted depends on the reporting framework and inventory type.

7. Physical counts and stock differences

A physical count may reveal shortages, damage, expired goods, mislabelled items, or unrecorded receipts and dispatches. Investigate the cause before posting an adjustment. Possible causes include timing differences, picking errors, unit-of-measure problems, theft, spoilage, duplicate entries, and incorrect item codes.

Example: the ledger shows 500 units, but a verified count shows 492. The eight-unit difference is not automatically proof of theft. Review receipts, deliveries, returns, transfers, count sheets, and system transactions. Once approved, record the supported adjustment using the account treatment required by the company's policy and applicable framework.

8. Returns, discounts and damaged goods

Supplier returns may reduce the amount owed and the inventory cost recorded. Customer returns may require reversing revenue or recognizing a refund obligation, and may also require restoring inventory if the goods are recoverable and the applicable rules permit it. Damaged or obsolete stock may need a value assessment. Document the reason, quantity, condition, approval, and supporting evidence for each adjustment.

9. Lower value and net realizable value

Inventory may lose value when selling prices fall, goods become obsolete, or completion and selling costs increase. Under frameworks that use net realizable value, the estimate generally considers the expected selling price less estimated completion costs and costs necessary to make the sale. Apply the precise standard required by the business's reporting framework; do not assume one rule covers every asset or situation.

Fictional illustration: an item has a recorded cost of 40. Its estimated selling price is 38, and the estimated costs necessary to complete and sell it are 4. Net realizable value is 38 – 4 = 34. If the applicable rule requires comparison

of cost with net realizable value, the illustrative write-down would be 40 – 34 = 6 per unit. Actual recognition and reversal rules must be checked against the applicable framework.

10. Inventory controls and reporting

Useful controls include restricted access to stock areas, documented goods-received notes, dispatch evidence, approval for write-offs, separation of ordering and receiving duties where practical, regular cycle counts, and review of unusual margins or inventory movements. Track slow-moving items, stockout frequency, inventory days, and gross margin, while checking that each metric is defined consistently.

11. Using AI to support inventory work

Example prompt using fictional figures

“Using only the fictional inventory transactions supplied, calculate net purchases, cost of goods sold, and closing inventory under FIFO and weighted average. Show formulas and intermediate steps. Identify missing information and assumptions. Do not invent quantities, prices, or policy choices. Flag any result that requires verification against the company's accounting framework.”

AI safeguards

- Verify quantities, units of measure, purchase costs, returns, freight, and period cut-off against source records.
- Reconcile system quantities with approved physical counts.
- Do not let AI select an accounting policy solely to improve reported profit.
- Protect confidential supplier, customer, and stock data.
- Have a responsible reviewer approve write-offs, valuation changes, and journal entries.

12. Practice exercises

Exercise 1. Opening inventory is 6,000; purchases are 15,000; purchase returns are 700; eligible inbound freight is 200; closing inventory is 4,500. Calculate cost of goods sold using the simplified periodic formula.

Exercise 2. A business buys 5 units at 4 each and 5 units at 6 each. It sells 6 units. Calculate cost of goods sold and closing inventory using FIFO.

Exercise 3. Use the same data as Exercise 2. Calculate the weighted-average unit cost, cost of goods sold, and closing inventory.

Exercise 4. Give four possible reasons why a physical stock count might differ from the inventory system.

Exercise 5. A product costs 25. Its estimated selling price is 24 and costs necessary to complete and sell it are 3. Calculate net realizable value and the illustrative write-down if the relevant framework requires comparison with cost.

13. Answer key

1. Net purchases = 15,000 – 700 = 14,300. Cost of goods sold = 6,000 + 14,300 + 200 – 4,500 = 16,000.

2. FIFO: 5 × 4 + 1 × 6 = 26 cost of goods sold. Closing inventory is 4 units × 6 = 24.

3. Total cost = 20 + 30 = 50; total units = 10; weighted-average unit cost = 5. Cost of goods sold = 6 × 5 = 30; closing inventory = 4 × 5 = 20.

4. Examples: unposted receipt, dispatch not recorded, returns timing, unit-of-measure error, mis-picking, spoilage, theft, incorrect item code, duplicate or missed transaction.

5. Net realizable value = 24 – 3 = 21. Illustrative write-down = 25 – 21 = 4 per unit, if required under the applicable framework.

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End of Chapter 13

CHAPTER 14

REVENUE RECOGNITION, SALES RETURNS, DISCOUNTS AND CUSTOMER ADVANCES

Chapter 14: Revenue Recognition, Sales Returns, Discounts and Customer Advances

Learning objectives
Distinguish cash receipts from earned revenue, identify common sales adjustments, record customer advances, understand cut-off and documentation, and use AI to review sales calculations without letting it invent contract terms.

1. What revenue represents

Revenue generally arises when a business transfers goods or provides services to a customer in exchange for consideration. The timing and amount depend on the arrangement and the applicable accounting framework. A bank receipt alone does not prove that revenue has been earned: it may relate to an advance, a loan, a refundable deposit, or a previous invoice.

For example, a consulting business may receive payment before the agreed service is delivered. The cash balance increases, but the business may still owe service to the customer. The accounting must reflect the substance of the arrangement and the relevant recognition requirements.

2. Separate the sale from the cash collection

Situation	Common simplified accounting effect
Goods sold on credit and revenue recognized	Debit Accounts Receivable; credit Sales Revenue
Customer pays an existing invoice	Debit Bank; credit Accounts Receivable
Customer pays before the business has fulfilled its obligation	Debit Bank; credit Customer Advances / Contract Liability, if that treatment fits the facts and framework
Goods sold for immediate cash and revenue recognized	Debit Bank / Cash; credit Sales Revenue

These are introductory patterns, not universal entries. Tax, shipping terms, warranties, consignment arrangements, returns rights, service milestones, and contract conditions may change the analysis.

3. Revenue recognition: ask what has been delivered

Before recording revenue, review the customer agreement, what was promised, what has been delivered, the amount expected in exchange, and whether any conditions remain outstanding. For services, the relevant evidence might include approved timesheets, completion certificates, milestone acceptance, or other records specified by the agreement. For goods, evidence might include dispatch and delivery records, but the contract and applicable rules determine when the transfer is recognized.

Do not use the invoice date as the only test. An invoice may be raised before delivery or after a service is completed. A reliable process links the accounting entry to evidence of the underlying transaction.

4. Sales discounts

A trade discount reduces the listed selling price before or at the point of sale. A settlement discount may depend on whether the customer pays within a specified period. The exact recording approach depends on the discount terms, the business's policy, and applicable accounting requirements.

Fictional example: listed selling price is 2,000 and a 10% discount applies to the transaction. Discount = 2,000 × 10% = 200. Amount due before any separately assessed tax or charges = 2,000 – 200 = 1,800.

If the original invoice is 1,800 and the customer later qualifies for an additional 2% settlement discount, calculate the discount using the contractually specified base. If the base is the full 1,800, the discount is 36 and the net cash received would be 1,764. Confirm whether the discount applies to tax or other charges before using this example in a real invoice.

5. Sales returns and allowances

A return occurs when a customer sends goods back. An allowance may reduce the amount charged while the customer keeps the goods. Keep the return authorization, quantity, reason, condition, credit note, and any stock inspection evidence. The accounting may require adjustment of revenue, receivables or refund obligations, tax, and inventory or cost of sales.

Fictional example: a customer is credited 300 for returned goods from a previous credit sale. A simplified entry may debit Sales Returns / Revenue Adjustments 300 and credit Accounts Receivable 300. If the goods are recoverable and the inventory requirements are met, a separate entry may restore inventory and reverse the relevant cost of goods sold. Do not assume the returned goods are saleable without checking their condition.

6. Customer advances and deposits

When a customer pays before the related goods or services are transferred, the amount may represent an obligation to deliver goods or services or refund the customer under specified circumstances. A simplified receipt entry is debit Bank and credit Customer Advances / Contract Liability. As the relevant obligation is fulfilled, the business recognizes revenue and reduces the liability to the extent required by the arrangement and applicable framework.

Example: a customer pays an advance of 5,000 for a future service. On receipt, record debit Bank 5,000 and credit Customer Advances 5,000, assuming the service has not yet been delivered and the amount is a contract-related advance. Do not automatically recognize the entire amount as revenue on receipt.

7. Credit notes, refunds and cancellations

A credit note should link to the original invoice and explain the adjustment. A refund should be supported by approval and proof of payment. Cancellations may occur before or after delivery and may carry fees or non-refundable amounts. Check the contract and applicable rules before deciding the revenue, liability, tax, and receivable effects.

A sound audit trail connects the original order, invoice, delivery or service evidence, return or cancellation approval, credit note, customer account, and any cash refund.

8. Cut-off at period end

Cut-off means assigning transactions to the correct reporting period. Around month-end or year-end, review goods in transit, deliveries close to the reporting date, unbilled services, invoices raised in advance, customer advances, returns received after period-end that relate to earlier sales, and credit notes issued shortly after closing. Subsequent information may help assess conditions existing at the reporting date, but its use depends on the applicable framework and facts.

Example: an invoice dated 31 March relates to goods delivered on 3 April. The invoice date alone is insufficient to decide whether March revenue is appropriate. Review the contract, transfer terms, delivery evidence, and applicable recognition requirements.

9. Reconcile sales records

Compare sales subledger totals with the general ledger, trace a sample of invoices to orders and delivery evidence, review gaps in invoice sequences, match credit notes to approved returns or adjustments, and reconcile customer advances. Investigate unusual margins, duplicate invoices, old unallocated receipts, and unexpected movements near period-end.

10. Using AI to review revenue transactions

Example prompt using fictional data

“Review the following fictional sales cases. For each one, list the available evidence, the unresolved questions, the possible accounting accounts affected, and the calculations that can be made from supplied figures. Do not assume revenue is earned just because an invoice or cash receipt exists. Do not invent contract clauses, delivery dates, tax rates, or accounting policy. Clearly label any conclusion that needs human review.”

AI safeguards

- Provide only data permitted by your organization's privacy and security rules.
- Verify calculations against invoices, contracts, delivery records, and approved credit notes.

• Check the applicable accounting and tax rules before posting.
• Ask AI to show assumptions and arithmetic, not merely a final answer.
• Keep a qualified person responsible for approval and final accounting treatment.

11. Practice exercises

Exercise 1. A customer pays 3,000 before a service begins. In a simplified case where the payment is an advance, identify the debit and credit at receipt.

Exercise 2. A product's listed price is 4,500. A 12% discount applies. Calculate the discount and net price before any separately assessed tax or charges.

Exercise 3. A business issues a 250 credit note for a price allowance on a previous credit sale. Give a simplified entry.

Exercise 4. An invoice is dated on the last day of the month, but the delivery record is dated in the following month. List three pieces of information to check before deciding the revenue period.

Exercise 5. Give four controls that can reduce errors in sales returns and customer refunds.

12. Answer key

1. Debit Bank 3,000; credit Customer Advances / Contract Liability 3,000, assuming the payment is an advance for an unfulfilled service.

2. Discount = 4,500 × 12% = 540. Net price = 4,500 – 540 = 3,960.

3. Debit Sales Returns / Revenue Adjustments 250; credit Accounts Receivable 250, subject to the company's chart of accounts and applicable rules.

4. Examples: contract delivery/transfer terms; proof of dispatch and receipt; customer acceptance conditions; whether control or the relevant performance obligation transferred; applicable accounting framework.

5. Examples: approved return authorization; credit note linked to original invoice; inspection of returned stock; independent refund approval; match refund to bank evidence; periodic review of unusual return rates.

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End of Chapter 14

CHAPTER 15

VAT ACCOUNTING, TAX RECONCILIATION AND TAX RETURN PREPARATION

Chapter 15: VAT Accounting, Tax Reconciliation and Tax Return Preparation

Learning objectives

Understand the basic VAT accounting cycle, distinguish output VAT from input VAT, prepare simplified VAT control reconciliations, identify common source documents, and use AI to organize checks while confirming all tax treatment against current official guidance and the facts of the transaction.

Important scope note

This is an educational chapter using simplified examples. VAT rules, rates, deadlines, recoverability, documentation requirements, and return fields depend on the jurisdiction and current law. The examples below use a generic 5% VAT illustration only; do not treat it as a complete or current tax opinion. For UAE filings, verify the applicable Federal Tax Authority (FTA) rules, current forms, and transaction-specific requirements before posting or submitting a return.

1. VAT in the accounting records

VAT is a transaction tax collected or paid by a business under the rules of the relevant jurisdiction. In a simplified VAT-registered business, VAT charged on taxable sales is often tracked as output VAT. VAT paid on purchases may be tracked as input VAT, but recovery depends on eligibility and supporting requirements. VAT collected is not automatically sales revenue, and recoverable input VAT is not automatically an expense.

Record	Illustrative treatment in a simple case
Taxable sale	Record the sale and output VAT separately
Eligible purchase with recoverable VAT	Record the expense or asset cost separately from input VAT
Purchase with non-recoverable VAT	Include the non-recoverable portion in the relevant cost or expense, subject to the applicable rules
VAT payment to tax authority	Reduce the VAT payable balance and bank
VAT refund received	Record the bank receipt against the relevant VAT receivable, if the refund is confirmed and due

2. A simple sales invoice example

Assume a fictional sale of 1,000 before VAT, with a 5% rate used only for illustration. VAT = 1,000 × 5% = 50. The invoice total is 1,050.

Account	Debit	Credit
Accounts Receivable	1,050	—
Sales Revenue	—	1,000
Output VAT Payable	—	50

The sales revenue and tax amount are shown separately in this simplified example. Whether a specific transaction is taxable, zero-rated, exempt, outside scope, or subject to another treatment must be determined from the applicable rules and facts.

3. A simple purchase invoice example

Assume a business purchases eligible supplies costing 400 before VAT. At the illustrative 5% rate, VAT is 20 and the invoice total is 420. If the VAT is fully recoverable and the supplies are an expense, the simplified entry is:

Account	Debit	Credit
Supplies Expense	400	—
Input VAT Receivable	20	—

Account	Debit	Credit
Accounts Payable	—	420

If input VAT is not recoverable or only partly recoverable, the entry changes. Do not claim recovery merely because VAT appears on an invoice.

4. Calculating a simplified net VAT position

Using the two fictional transactions above, output VAT is 50 and eligible input VAT is 20. Simplified net VAT payable = 50 – 20 = 30, assuming the input VAT is fully recoverable and there are no other adjustments.

Net VAT payable = Output VAT – Recoverable Input VAT ± applicable adjustments

The formula is a learning aid, not a complete return calculation. Adjustments may include credit notes, corrections, imports, reverse-charge transactions, partial recovery, bad debt rules, or other items defined by the jurisdiction and current return instructions.

5. Credit notes and VAT adjustments

A credit note or credit memo may document a reduction to a previously invoiced amount, such as an approved sales return, price allowance, or cancellation adjustment. The accounting effect depends on whether the note relates to sales or purchases, and VAT adjustment rules depend on local law and the original transaction. Link the credit note to the original invoice and preserve the reason, approval, amount, tax calculation, and issue date.

Simplified sales example: a valid adjustment reduces the taxable sales amount by 100. At the illustrative 5% rate, the related VAT amount would be 5 and the total adjustment 105. Whether and when the VAT amount can be adjusted must be checked against the relevant law and documentation requirements.

6. VAT control account reconciliation

A reconciliation compares the VAT amounts in accounting records with the sales and purchase ledgers, tax reports, supporting documents, and the draft return. Work by tax period and use a consistent basis. The goal is to explain differences, not force the records to match by posting an unsupported journal.

Reconciliation step	What to inspect
Sales and output VAT	Sales invoices, credit notes, tax codes, sales ledger totals, and period cut-off
Purchases and input VAT	Supplier invoices, credit notes, eligibility for recovery, expense/asset classification, and duplicate entries
Imports and special transactions	Customs records and transaction-specific documents where applicable
General ledger	Opening balances, journals, tax control accounts, payments, refunds, and prior-period adjustments
Draft return	Map ledger totals to the required return fields and investigate all differences before submission

7. Period cut-off and common errors

Common problems include duplicate invoices, incorrect tax codes, missing credit notes, supplier invoices recorded in the wrong period, unsupported input VAT claims, arithmetic errors, and a mismatch between the ledger and the return. Review transactions near period-end, verify that tax codes match the underlying transaction, and ensure that a credit note is not counted twice.

8. VAT return preparation workflow

A careful workflow can follow these steps:

1. Confirm the reporting period and filing deadline from the official tax account and applicable rules.
2. Lock or identify the accounting period being reviewed.
3. Export sales, purchase, VAT-control, credit-note, and relevant special-transaction reports.

4. Reconcile each total to source documents and investigate exceptions.
5. Check recoverability, tax treatment, adjustments, and period cut-off.
6. Map verified amounts to the current official return fields.
7. Have an authorized reviewer approve the draft.
8. Submit through the official channel, retain confirmation, and record any payment or refund.

The exact workflow, return labels, evidence requirements, and due dates must be confirmed for the relevant jurisdiction and filing period. Do not rely on an old template without checking that it remains current.

9. Using AI to support VAT checks

Example prompt using fictional data

“Using only the fictional invoice and ledger totals I provide, calculate output VAT, potentially recoverable input VAT, and the arithmetic net position. Show each formula and identify missing documents or assumptions. Do not decide that VAT is recoverable without the relevant eligibility facts. Do not invent a tax rule, filing deadline, rate, or official return field. Separate arithmetic checks from legal conclusions requiring verification.”

AI safeguards

• Verify rates, deadlines, treatment, and form fields using current official tax authority guidance.
• Confirm each input VAT claim against the actual invoice and recovery rules.
• Recalculate totals independently and keep a trace from return figures to ledger records.
• Do not upload confidential tax records to unapproved AI services.
• Require human review and authorization before submitting a return or posting adjustments.

10. Practice exercises

Exercise 1. A fictional taxable sale is 2,400 before VAT. Using an illustrative 5% rate, calculate VAT and the invoice total.

Exercise 2. Output VAT is 900 and potentially recoverable input VAT is 350. Calculate the simplified net position, assuming all 350 is eligible and there are no other adjustments.

Exercise 3. A valid sales adjustment reduces the taxable amount by 600. At an illustrative 5% rate, calculate the VAT amount and total adjustment, before considering any jurisdiction-specific rules.

Exercise 4. List four checks to perform when the VAT control account differs from the draft return.

Exercise 5. Explain why a VAT amount shown on a supplier invoice does not automatically mean that the business can recover it.

11. Answer key

1. VAT = 2,400 × 5% = 120. Invoice total = 2,520.

2. Simplified net VAT payable = 900 – 350 = 550.

3. VAT adjustment = 600 × 5% = 30. Total adjustment = 630.

4. Examples: check tax codes; match invoices and credit notes; review cut-off; inspect duplicate or missing entries; check recoverability; reconcile payments and opening balances; map totals to the correct return fields.

5. Recovery depends on applicable law, the business's status and use of the purchase, document validity, restrictions, and other conditions. The invoice is evidence, but not the only test.

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End of Chapter 15

CHAPTER 16

CREDIT NOTES AND CREDIT MEMOS: SALES, PURCHASES AND VAT

Chapter 16: Credit Notes and Credit Memos

Learning objectives

Understand the purpose of a credit note or credit memo, distinguish sales-side and purchase-side effects, prepare simplified journal entries, trace adjustments through customer and supplier accounts, reconcile credit notes to original invoices, and identify VAT checks that require confirmation under current local rules.

1. What is a credit note or credit memo?

A credit note (also called a credit memo in some businesses) records an approved reduction or correction relating to an earlier invoice. It may be issued because goods were returned, a price was reduced, a quantity was overbilled, a service was not delivered as agreed, or an invoice contained an error. The document should explain what is being adjusted and link clearly to the original transaction.

The name of the document does not determine the accounting result by itself. First identify who issued it, who received it, whether it concerns a sale or purchase, and what part of the original transaction is changing.

Document context	Usual question to ask
Seller issues a credit note to a customer	How much should the customer's receivable or amount payable be reduced?
Supplier issues a credit note to your business	How much should your payable or purchase cost be reduced?
Internal credit memo	Is it only an internal approval or does it represent a valid adjustment communicated to the counterparty?
Tax credit note	What documentation and tax adjustments are required under the applicable jurisdiction's rules?

2. Sales credit note: seller's books

Fictional example: a business previously invoiced a customer 1,000 for goods on credit. The customer returns goods worth 200, and the seller approves the return. Ignore tax for this first illustration.

Account	Debit	Credit
Sales Returns / Revenue Adjustments	200	—
Accounts Receivable	—	200

The credit note reduces the amount the customer owes. If the customer has already paid, the business may instead owe a refund or may apply the credit against a future invoice, depending on the agreement and approval. Do not credit bank unless a cash refund is actually paid.

3. Purchase credit note: buyer's books

Now assume your business is the buyer. A supplier had invoiced your business 1,000 for supplies on credit and later issues an approved credit note for 200. Ignore tax for this illustration.

Account	Debit	Credit
Accounts Payable	200	—
Purchase Returns / Relevant Expense or Inventory	—	200

The debit reduces the amount owed to the supplier. The credit account depends on what was originally purchased and how it was recorded. If the original item remains in inventory, inventory may be affected; if it was already consumed, an expense or another account may be appropriate. Follow the original entry and the applicable policy.

4. Credit note versus cash refund

A credit note documents an adjustment; a refund is a movement of money. They may happen together, but they are not the same event. If a seller issues a credit note for 200 and refunds the customer later, the refund entry may debit the relevant customer credit balance or refund liability and credit bank. The exact accounts depend on how the credit note was recorded and whether the original invoice was paid.

Example: if the customer's account has a credit balance of 200 after the credit note, a later cash refund may be recorded as debit Customer Credit / Refund Payable 200 and credit Bank 200, provided that this matches the ledger setup.

5. Price allowances and invoice corrections

Not every credit note involves returned goods. A seller may issue one to correct an overcharge, reflect an approved price allowance, or reverse a charge for a service not supplied. Record the reason accurately. If the issue is a clerical mistake, preserve the corrected invoice or supporting explanation so a reviewer can understand why the original figure changed.

Fictional example: a service invoice was 2,500, but the agreed price should have been 2,300. An approved credit note for 200 reduces the receivable and revenue adjustment by 200, before any applicable tax effect.

6. VAT treatment: a separate check

Where VAT applies, a credit note may require an adjustment to the taxable amount and associated tax. The tax calculation, required wording, issue timing, evidence, and return-period treatment depend on the current rules in the relevant jurisdiction. Never assume that a commercial credit note automatically satisfies all tax-document requirements.

Illustrative arithmetic only: if a valid taxable amount is reduced by 200 and the applicable VAT rate is 5%, the VAT component would be 10 and the total credit would be 210. This calculation does not establish whether the transaction qualifies for a VAT adjustment or which tax period should include it. Confirm current official guidance, including applicable UAE FTA requirements when dealing with UAE VAT.

If the original invoice included VAT, consider the gross amount, taxable base, tax amount, and customer balance together. Reconcile the credit note to the original invoice and make sure neither the net adjustment nor the VAT adjustment is recorded twice.

7. Reconciliation and audit trail

A practical credit-note register can include credit-note number, issue date, customer or supplier, original invoice number, reason, net amount, tax amount, gross amount, approval reference, posting date, and status of refund or account application. Use only fields relevant to the business and legal requirements.

Review the following before posting:

- Does the credit note refer to a valid original invoice or explain why it does not?
- Is the reason supported by a return record, contract amendment, service evidence, or approved correction?
- Are quantity, price, tax code, and arithmetic correct?
- Has the amount already been credited or refunded?
- Does the customer or supplier subledger agree with the general ledger?
- Is the adjustment assigned to the correct period and tax treatment?

8. Common errors to avoid

Common errors include recording a supplier credit note as a reduction of sales, reducing a receivable when the supplier account should be adjusted, posting a cash refund before it happens, failing to update inventory for returned goods, using the wrong tax code, and recording the same credit note twice. Another risk is issuing a credit note without evidence or approval.

When an error is found, determine what was posted, what the correct underlying transaction is, and whether a correcting entry or document is required. Do not make an unexplained journal solely to force the account balance to match.

9. Using AI to review credit notes

Example prompt using fictional data

“For each fictional credit note, identify whether it is issued by a seller or supplier, summarize the reason, calculate the supplied net and tax amounts, suggest the likely accounts affected, and list the evidence needed before posting. Do not infer whether VAT adjustment is legally permitted without the relevant jurisdiction rules and facts. Flag missing original invoice references, duplicate numbers, inconsistent totals, and any assumption that needs a human decision.”

AI safeguards

- Check original invoices and approvals, not just the text of the credit note.
- Verify tax treatment using current official guidance and transaction facts.
- Recalculate net, tax, and gross totals independently.
- Protect customer, supplier, banking, and tax information.
- Require an authorized reviewer to approve the document and final journal entry.

10. Practice exercises

Exercise 1. Your business sold goods on credit for 800. The customer returns goods worth 120 and the seller approves a credit note. Ignore tax. Prepare the seller's simplified entry.

Exercise 2. Your supplier issues your business a credit note for 350 relating to inventory that is still held in stock. Ignore tax. Prepare a simplified buyer-side entry.

Exercise 3. A credit note reduces a taxable amount by 600. Using an illustrative 5% VAT rate, calculate the VAT component and gross credit amount.

Exercise 4. Explain why a credit note and a cash refund should not automatically be recorded as the same transaction.

Exercise 5. List five checks to make before posting a credit note.

11. Answer key

1. Debit Sales Returns / Revenue Adjustments 120; credit Accounts Receivable 120.

2. Debit Accounts Payable 350; credit Inventory 350, assuming the credit relates directly to the cost of inventory still held and no other accounting facts change the treatment.

3. VAT component = 600 × 5% = 30. Gross credit amount = 630. This is arithmetic only; legal tax treatment must be confirmed.

4. A credit note changes the invoiced amount or customer/supplier balance. A refund is a cash payment and should be recorded when the money is actually returned.

5. Examples: match original invoice; confirm reason and approval; verify quantities and prices; check tax treatment and arithmetic; look for duplicates; verify whether refund has occurred; reconcile subledger and general ledger; check period cut-off.

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End of Chapter 16

CHAPTER 17

BANK ACCOUNTING, PETTY CASH, CASH FLOW AND INTERNAL CONTROLS

Chapter 17: Bank Accounting, Petty Cash, Cash Flow and Internal Controls

Learning objectives
Record common cash and bank transactions, manage a simple petty-cash float, prepare a bank reconciliation, understand the difference between profit and cash flow, identify basic cash-control risks, and use AI to help organize reconciliation work.

1. Cash and bank accounts

Cash and bank balances represent resources that a business can use to pay obligations. Cash records need careful control because receipts and payments occur frequently and errors can be difficult to identify after the event. Use source documents, clear approval limits, timely posting, and regular independent review.

A bank statement is evidence of transactions processed by the bank; the accounting ledger is the business's record. They may differ temporarily because of timing or because one side contains an error. The purpose of reconciliation is to explain the differences with evidence.

2. Common cash and bank entries

Transaction	Simplified entry
Customer pays an outstanding invoice	Debit Bank; credit Accounts Receivable
Business pays a supplier invoice	Debit Accounts Payable; credit Bank
Bank charges a service fee	Debit Bank Charges Expense; credit Bank
Bank interest is received	Debit Bank; credit Interest Income, subject to the facts and accounting policy
Cash is transferred from bank to petty cash	Debit Petty Cash; credit Bank

These are simplified examples. The correct accounts depend on the transaction, chart of accounts, and applicable accounting requirements. Do not record a payment twice if it has already been entered through the accounts-payable process.

3. Bank reconciliation

A bank reconciliation compares the bank statement balance with the cash-at-bank balance in the general ledger at the same date. First confirm the account and period. Match statement entries to ledger entries, identify unmatched items, and investigate errors. Timing differences should be supported and cleared when the transactions later appear.

Fictional example: the bank statement shows 9,200. A deposit of 600 has been recorded in the books but has not yet appeared on the statement. A cheque/payment of 250 has been recorded in the books but has not yet cleared. Assuming these are the only reconciling items, an adjusted statement balance is 9,200 + 600 – 250 = 9,550. The ledger should be compared to the same adjusted figure after any required book-side corrections are posted.

Do not treat every difference as a timing item. A bank fee not yet recorded in the ledger may require an entry; a duplicate payment may require investigation; an incorrect amount may require correction. Keep a clear schedule of each reconciling item, its evidence, owner, and expected clearing date.

4. Petty cash and imprest systems

Petty cash is a small amount of cash kept for approved low-value payments. Under an imprest approach, a fixed float is established, supported payments are recorded, and the float is replenished by the total of approved vouchers, subject to checks. A named custodian should be responsible for the cash and records.

Example: the approved float is 500. Vouchers show office supplies 75, local transport 40, and postage 15. Total vouchers are 130, so physical cash should be 500 – 130 = 370. To restore the float to 500, an approved replenishment of 130 is required, assuming no shortage or other item.

Petty-cash item	Amount
Opening float	500
Less: supported vouchers (75 + 40 + 15)	130
Expected cash remaining	370
Approved replenishment to restore float	130

Count the actual cash and compare it with the expected balance. A shortage or excess should be documented and investigated, not hidden by changing voucher amounts.

5. Cash-flow basics: profit is not cash

Profit is calculated using revenue and expenses under the applicable accounting basis. Cash flow tracks cash entering and leaving the business. The two can differ because a credit sale may create revenue before collection, a supplier may be paid after an expense is recognized, inventory may be purchased before it is sold, or a loan may provide cash without creating sales revenue.

Example: a business makes a credit sale of 2,000. If revenue is recognized under the applicable rules, profit may increase before the customer pays. The receivable rises, but the sale does not create an immediate bank receipt. Later collection reduces receivables and increases bank; it does not normally create the same revenue a second time.

6. Operating, investing and financing cash flows

Category	Illustrative examples
Operating	Cash collected from customers; payments to suppliers and employees
Investing	Purchase or sale of equipment or other long-term assets, subject to the applicable presentation rules
Financing	Loan proceeds, principal repayments, owner contributions, and distributions, subject to the applicable framework

Classification can depend on the applicable reporting framework and the nature of the transaction. Interest and dividends, for example, may have specific presentation choices or requirements under some frameworks. Follow the rules applicable to the entity rather than relying only on the labels above.

7. Cash forecasting

A simple cash forecast estimates when money is expected to arrive and when payments are due. Begin with opening available cash, add expected receipts, subtract expected payments, and calculate the projected closing balance. Separate confirmed amounts from estimates and use realistic collection dates.

Projected closing cash = Opening cash + Expected receipts – Expected payments

Example: opening cash 12,000; expected customer receipts 8,000; supplier and operating payments 9,500; loan principal payment 1,000. Projected closing cash = 12,000 + 8,000 – 9,500 – 1,000 = 9,500. This forecast is only as reliable as its assumptions and should be updated when expected dates or amounts change.

8. Internal controls and fraud prevention

Controls should reduce errors and make unusual activity visible. Practical measures include separate approval and payment duties where staffing allows, independent bank reconciliation, restricted online-banking access, dual approval for significant payments, verification of supplier bank-detail changes through a trusted channel, sequential payment records, and prompt review of unusual transactions.

Never rely on email alone to approve a change in supplier bank details. A fraudulent message can imitate a familiar contact. Verify the change using an independently sourced, trusted phone number or approved process, and document who verified it.

9. Reconciliation checklist

• Confirm the bank account and statement period.
• Match statement lines to ledger entries.
• Identify deposits in transit and unpresented payments.
• Record supported bank fees, interest, direct debits, and credits missing from the books.
• Investigate duplicates, unknown beneficiaries, unusual amounts, and stale reconciling items.
• Check that the adjusted balances agree.
• Obtain review approval and retain the reconciliation with supporting documents.

10. Using AI to support cash accounting

Example prompt using fictional data

“Compare these fictional bank-statement lines with the ledger list. Match likely transactions by date, amount, and reference. Show matched items, unmatched items, possible duplicates, and proposed follow-up questions. Do not assume an unmatched item is fraud or automatically post an adjustment. Show the arithmetic of the reconciliation and identify every assumption.”

AI safeguards

• Remove bank account numbers, login information, and sensitive personal details before using an unapproved tool.
• Independently verify matches and amounts against source records.
• Treat possible duplicate or suspicious payments as leads for investigation, not proof of wrongdoing.
• Require an authorized person to approve entries and payments.
• Retain the reconciliation and evidence according to company policy.

11. Practice exercises

Exercise 1. A bank statement shows 7,400. A deposit of 500 is recorded in the ledger but not yet on the statement. A payment of 200 is recorded in the ledger but has not cleared. Calculate the adjusted statement balance, assuming these are the only reconciling items.

Exercise 2. Petty-cash float is 300. Supported vouchers total 86. Calculate expected cash on hand and the replenishment needed to restore the float.

Exercise 3. Opening cash is 5,000; expected receipts are 3,500; expected payments are 4,200. Calculate projected closing cash.

Exercise 4. Explain why a credit sale can increase profit without immediately increasing cash.

Exercise 5. Name four controls that help protect bank payments.

12. Answer key

1. Adjusted statement balance = 7,400 + 500 – 200 = 7,700.

2. Expected cash = 300 – 86 = 214. Replenishment to restore the float = 86, assuming the count agrees and all vouchers are approved.

3. Projected closing cash = 5,000 + 3,500 – 4,200 = 4,300.

4. Revenue may be recognized when the relevant requirements are met even though collection occurs later. The sale creates a receivable; cash rises when the customer pays.

5. Examples: independent bank reconciliation; dual approval; restricted banking access; verification of bank-detail changes using a trusted channel; separation of duties; review of unusual payments.

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End of Chapter 17

CHAPTER 18

GENERAL LEDGER, TRIAL BALANCE, ADJUSTING ENTRIES AND MONTH-END CLOSING

Chapter 18: General Ledger, Trial Balance, Adjusting Entries and Month-End Closing

Learning objectives
Understand how transactions move from journals to ledger accounts, prepare a basic trial balance, identify why a balanced trial balance does not prove that every entry is correct, record selected period-end adjustments, and follow a structured month-end close.

1. From source document to financial report

A transaction should begin with evidence such as an approved invoice, receipt, contract, payroll record, bank advice, or other relevant document. The transaction is analyzed, recorded in a journal or accounting system, posted to ledger accounts, and summarized for reporting. Each stage should preserve a trail back to the original evidence.

A simplified process is: source evidence → transaction analysis → journal entry → general ledger → trial balance → adjustments → adjusted trial balance → financial statements. Some accounting systems perform several of these steps automatically, but review and supporting evidence remain important.

2. The general ledger

The general ledger organizes posted transactions by account. Typical accounts include bank, accounts receivable, inventory, fixed assets, accounts payable, loans, revenue, expenses, and equity. The account balance is the net effect of entries posted to that account for the period and any opening balance.

Example: a business pays office rent of 1,200 from its bank account. The simplified entry is debit Rent Expense 1,200 and credit Bank 1,200. The rent expense ledger increases by 1,200, while the bank ledger decreases by 1,200. The entry is balanced because total debits equal total credits.

3. Debit and credit logic

Account type	Usual increase	Usual decrease
Assets	Debit	Credit
Expenses	Debit	Credit
Liabilities	Credit	Debit
Equity	Credit	Debit
Revenue	Credit	Debit

“Usual” describes the normal direction of increase for these account categories. Contra accounts and unusual transactions can behave differently. Always use the account's actual nature and the entity's chart of accounts.

4. Preparing a trial balance

A trial balance lists ledger account balances at a selected date, placing debit balances in one column and credit balances in another. The totals should agree when postings are complete and the double-entry system has been applied consistently.

Fictional example:

Account	Debit	Credit
Bank	4,800	
Accounts Receivable	1,200	
Equipment	3,000	
Accounts Payable		900
Owner Capital		6,000

Account	Debit	Credit
Service Revenue		2,700
Utilities Expense	600	
Rent Expense	0	0
Total	9,600	9,600

This trial balance is intentionally compact; zero-balance accounts may be omitted in practical reports. The listed debits are 4,800 + 1,200 + 3,000 + 600 = 9,600. The listed credits are 900 + 6,000 + 2,700 = 9,600. The equality is a mathematical check, not proof that the accounts or transactions are correct.

5. What a balanced trial balance cannot prove

A trial balance can still agree when a transaction is omitted entirely, a correct amount is posted to the wrong account, two errors offset one another, or a transaction is recorded in the wrong period. A duplicated balanced journal can also leave debits equal to credits. Therefore, use source-document checks, account reconciliations, analytical review, and approval controls as well as the trial balance.

6. Period-end adjusting entries

Adjustments help assign income and expenses to the period to which they relate and update balances where required. The examples below are simplified and must be adapted to the applicable accounting framework and actual facts.

Situation	Illustrative adjustment	Purpose
Expense incurred but not yet invoiced	Debit relevant Expense; credit Accrued Expense / Payable	Recognize an obligation and related expense when required
Prepaid cost consumed during the period	Debit relevant Expense; credit Prepayment	Recognize the portion used
Depreciation for the period	Debit Depreciation Expense; credit Accumulated Depreciation	Allocate depreciable cost under the adopted policy
Service earned but not yet billed	Debit Accrued Income / Receivable; credit Revenue	Recognize earned income when applicable criteria are met

Accrual example: electricity used in September is estimated at 420, but the invoice will arrive in October. If the applicable rules and available evidence support recognizing the September expense, the illustrative September entry is debit Utilities Expense 420 and credit Accrued Expenses 420. When the invoice arrives, the accountant should clear or reclassify the accrual properly rather than recognize the same cost twice.

Prepayment example: a business paid 1,200 for a 12-month service and initially recorded it as a prepayment. If one month has been consumed and straight-line allocation is appropriate, the monthly amount is 1,200 ÷ 12 = 100. The illustrative monthly entry is debit the relevant expense 100 and credit Prepayment 100.

7. Correcting errors

When an error is found, identify the original entry, determine what should have been recorded, assess whether a reversal or correcting entry is appropriate, obtain approval, and retain an explanation and supporting evidence. Do not erase the audit trail or make an unsupported entry simply to force the trial balance to agree.

Example: office supplies of 85 were incorrectly posted to Travel Expense. If the amount and period are otherwise correct, a reclassification may be debit Office Supplies Expense 85 and credit Travel Expense 85. This changes the expense classification but not total expenses or cash.

8. A practical month-end closing sequence

1. Set the reporting cut-off date and confirm all relevant source documents have been received.
2. Post approved sales, purchases, receipts, payments, payroll, and other transactions.
3. Reconcile bank, receivables, payables, inventory, payroll, loans, and fixed-asset records as applicable.
4. Review cut-off, accruals, prepayments, depreciation, inventory adjustments, and other supported period-end entries.
5. Generate an adjusted trial balance and investigate unusual or unexpected balances.
6. Review income-statement movements against budgets, prior periods, and known business events.
7. Prepare financial reports, obtain required review or approval, and lock the period according to policy.
8. Archive reconciliations, working papers, approvals, and evidence.

9. Example: combining entries and adjustments

A small consultancy has recorded service revenue of 8,000 and expenses of 3,200 before adjustments. At month-end, an additional 500 of earned service revenue has not yet been billed, and 300 of utilities expense has been incurred but not recorded. Assume both adjustments are supported and revenue recognition criteria are met.

Adjusted revenue = 8,000 + 500 = 8,500.
Adjusted expenses = 3,200 + 300 = 3,500.
Simplified profit before other items and taxes = 8,500 – 3,500 = 5,000.

Illustrative entries:
• Debit Accrued Income / Receivable 500; credit Service Revenue 500.
• Debit Utilities Expense 300; credit Accrued Expenses 300.

The entries are not a substitute for checking the underlying contract, service completion, invoice status, tax treatment, and accounting policy.

10. Using AI during the close

Example prompt using fictional data
“Review this fictional trial balance and month-end checklist. Identify arithmetic inconsistencies, unusual balances, missing supporting documents, and questions to investigate. Do not invent transactions or automatically change account balances. Separate confirmed facts from hypotheses, show each calculation, and list proposed adjustments for a qualified person to review.”

AI safeguards
• Remove confidential customer, employee, bank, and supplier details before using an unapproved AI tool.
• Verify every suggested adjustment against original evidence and accounting policy.
• Ask AI to show calculations and assumptions, but independently recompute important totals.
• Keep human approval for journal entries, reporting judgments, and period locking.
• Preserve the audit trail and record why any adjustment was accepted or rejected.

11. Practice exercises

Exercise 1. A ledger lists debit balances of Bank 2,600, Receivables 900, and Supplies Expense 300. Credit balances are Payables 700, Capital 2,000, and Revenue 1,100. Calculate each column total and determine whether the trial balance agrees.

Exercise 2. A company has a 2,400 annual insurance prepayment. One month has expired. Assuming equal monthly allocation is appropriate, calculate the expense and give the adjusting entry.

Exercise 3. A business earned 1,250 in service revenue by month-end but has not yet billed the customer. Assuming recognition criteria are met, write the illustrative adjusting entry.

Exercise 4. Explain two types of error that can exist even when a trial balance balances.

Exercise 5. List five practical steps in a month-end close.

12. Answer key

1. Debits = 2,600 + 900 + 300 = 3,800. Credits = 700 + 2,000 + 1,100 = 3,800. The totals agree, but this does not prove every transaction is correctly recorded.

2. Monthly expense = 2,400 ÷ 12 = 200. Illustrative entry: debit Insurance Expense 200; credit Prepayment 200.

3. Debit Accrued Income / Receivable 1,250; credit Service Revenue 1,250, subject to the actual facts and applicable accounting requirements.

4. Examples: a transaction omitted entirely; posting to the wrong account; two errors offsetting each other; an incorrect period; or a balanced journal duplicated.

5. Examples: post transactions; reconcile key accounts; review cut-off; prepare supported adjustments; generate adjusted trial balance; investigate unusual balances; prepare and review reports; archive working papers and close the period.

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End of Chapter 18

CHAPTER 19

FINANCIAL STATEMENT ANALYSIS, ACCOUNTING RATIOS AND BUSINESS PERFORMANCE

Chapter 19: Financial Statement Analysis, Accounting Ratios and Business Performance

Learning objectives

Use financial statements to understand profitability, liquidity, efficiency, and financing; calculate selected ratios; interpret ratios with context; compare performance over time; and use AI as a checking and explanation aid without treating it as a substitute for evidence or professional judgment.

1. Begin with a business question

Financial analysis is most useful when it answers a specific question. Examples include: Is the business earning a reasonable profit? Can it meet near-term obligations? Are customer balances being collected promptly? Is inventory moving at a suitable pace? Is borrowing becoming harder to support? A ratio is a signal to investigate, not a verdict on its own.

Before calculating, confirm the reporting period, currency, accounting basis, whether figures are consolidated or entity-only, and whether balances are comparable. A change in accounting policy, a seasonal sales pattern, or a one-off event can make a simple comparison misleading.

2. Four useful analysis areas

Area	Question to explore	Typical evidence
Profitability	Does the business convert revenue into profit?	Revenue, cost of sales, operating expenses, profit
Liquidity	Can near-term obligations be met?	Current assets, current liabilities, cash forecasts
Efficiency	How effectively are assets and working capital used?	Receivables, inventory, payables, revenue, cost of sales
Financing and solvency	How much reliance is placed on borrowing?	Debt, equity, interest expense, cash generation

3. Fictional company figures

The examples in this chapter use a fictional trading business called Cedar Trading. Amounts are in currency units (CU). Assume the following simplified figures are prepared consistently for the same annual period.

Item	Current year	Prior year
Revenue	500,000	450,000
Cost of goods sold	320,000	297,000
Gross profit	180,000	153,000
Operating expenses	120,000	108,000
Operating profit	60,000	45,000
Interest expense	6,000	5,000
Profit before tax	54,000	40,000
Current assets at year-end	150,000	130,000
Inventory at year-end	45,000	39,000
Current liabilities at year-end	75,000	70,000
Total liabilities at year-end	125,000	115,000
Total equity at year-end	175,000	155,000

Item	Current year	Prior year
Trade receivables at year-end	65,000	58,000

4. Profitability ratios

Gross profit margin measures gross profit as a share of revenue. It can help show whether pricing and direct costs are moving in a favorable direction.

Gross profit margin = Gross profit ÷ Revenue × 100

Current year: 180,000 ÷ 500,000 × 100 = 36%. Prior year: 153,000 ÷ 450,000 × 100 = 34%. The margin improved by 2 percentage points. Possible explanations include price changes, product mix, purchasing costs, supplier terms, or stock adjustments. The figures alone do not prove which cause applies.

Operating profit margin compares operating profit with revenue before considering financing and tax.

Operating profit margin = Operating profit ÷ Revenue × 100

Current year: 60,000 ÷ 500,000 × 100 = 12%. Prior year: 45,000 ÷ 450,000 × 100 = 10%. Operating margin rose by 2 percentage points. Review both gross margin and operating costs to understand the movement.

Profit before tax margin = Profit before tax ÷ Revenue × 100. Current year: 54,000 ÷ 500,000 × 100 = 10.8%. Prior year: 40,000 ÷ 450,000 × 100 ≈ 8.9%. Financing costs and other non-operating items can affect this measure.

5. Liquidity ratios

Current ratio compares current assets with current liabilities.

Current ratio = Current assets ÷ Current liabilities

Current year: 150,000 ÷ 75,000 = 2.0. Prior year: 130,000 ÷ 70,000 ≈ 1.86. In this example, current assets are twice current liabilities at the year-end date. That does not automatically mean cash is plentiful: current assets may include stock that is not quickly sold or receivables that are overdue.

Quick ratio is a more restrictive view of short-term coverage. A common simplified version excludes inventory from current assets; some policies also exclude other less-liquid items.

Quick ratio = (Current assets – Inventory) ÷ Current liabilities

Current year: (150,000 – 45,000) ÷ 75,000 = 1.4. Prior year: (130,000 – 39,000) ÷ 70,000 = 1.3. Review the quality and timing of receivables, cash balances, and upcoming payments before drawing conclusions.

6. Efficiency and working capital

Receivables days estimates how long revenue remains uncollected. The preferred calculation uses credit sales and average trade receivables. If only year-end balances are available, label the result as an approximation.

Approximate receivables days = Year-end trade receivables ÷ Annual revenue × 365

Current year: 65,000 ÷ 500,000 × 365 ≈ 47.5 days. Prior year: 58,000 ÷ 450,000 × 365 ≈ 47.0 days. The estimate is broadly stable, but investigate ageing reports, disputes, customer concentration, and actual credit sales.

Inventory turnover can be estimated using cost of goods sold divided by average inventory. Average inventory is commonly calculated as (opening inventory + closing inventory) ÷ 2 when both balances are available.

Inventory turnover = Cost of goods sold ÷ Average inventory

For the current year, suppose opening inventory was 39,000 and closing inventory was 45,000. Average inventory = (39,000 + 45,000) ÷ 2 = 42,000. Turnover = 320,000 ÷ 42,000 ≈ 7.62 times. A higher or lower result is not automatically better; consider product type, stockouts, expiry, lead times, and service levels.

Payables days is best estimated from supplier credit purchases and average trade payables. Cost of goods sold is not always a valid substitute for purchases, so use the proper data when available.

7. Financing and solvency

Liabilities-to-equity ratio = Total liabilities ÷ Total equity. Cedar Trading current year: 125,000 ÷ 175,000 ≈ 0.71. Prior year: 115,000 ÷ 155,000 ≈ 0.74. This indicates total liabilities of about 0.71 CU for each 1 CU of equity in the current year. The ratio is not a universal pass/fail test and should be considered alongside cash flow, loan terms, asset quality, and industry norms.

Interest coverage can be estimated as operating profit ÷ interest expense when operating profit is the chosen earnings measure. Current year: 60,000 ÷ 6,000 = 10 times. Prior year: 45,000 ÷ 5,000 = 9 times. This suggests a larger operating-profit buffer over interest expense in the current year, but it does not by itself measure cash available for debt repayment.

8. Horizontal and vertical analysis

Horizontal analysis compares a figure across periods. Revenue grew from 450,000 to 500,000. Change = 50,000; percentage change = 50,000 ÷ 450,000 × 100 ≈ 11.1%.

Vertical analysis expresses each item as a share of a base figure. In an income statement, revenue is often the base. Current-year cost of goods sold is 320,000 ÷ 500,000 × 100 = 64% of revenue, while gross profit is 36%. Vertical analysis helps compare cost structure even when businesses differ in size, provided the figures are comparable.

9. Interpret trends, not isolated numbers

A sound review combines ratios with business context. Ask whether revenue growth came from volume, price, or a one-off contract; whether margin changes reflect purchasing costs or product mix; whether receivables ageing has worsened; whether stock is obsolete; and whether liabilities are due soon. Compare multiple periods and, where reliable, budget, sector, and peer information.

Watch for distortions from seasonality, year-end timing, acquisitions, changes in accounting estimates, unusual transactions, inflation, foreign exchange, and reclassification. A year-end ratio is a snapshot and may not represent the average position throughout the year.

10. Using AI for financial analysis

Example prompt

“Using only the fictional figures supplied below, calculate gross margin, operating margin, current ratio, quick ratio, approximate receivables days, and liabilities-to-equity. Show each formula and calculation. Compare current year with prior year, identify changes in percentage points versus percent changes, and list possible explanations as hypotheses rather than facts. Flag missing data and do not invent industry benchmarks.”

Good practice

- Check formulas and arithmetic independently.
- Provide definitions for every ratio because conventions vary.
- Do not ask AI to fabricate peer benchmarks or explain causes without evidence.
- Remove confidential company and customer data unless the tool is approved for that use.
- Treat outputs as draft analysis for human review, not as an audit opinion or investment recommendation.

11. Practice exercises

Exercise 1. A company reports revenue of 240,000 and gross profit of 84,000. Calculate gross profit margin.

Exercise 2. Current assets are 96,000, inventory is 21,000, and current liabilities are 50,000. Calculate the current ratio and the simplified quick ratio.

Exercise 3. Trade receivables at year-end are 36,000 and annual credit sales are 288,000. Estimate receivables days using 365 days.

Exercise 4. Operating profit is 42,000 and interest expense is 7,000. Calculate interest coverage.

Exercise 5. Revenue increased from 300,000 to 330,000. Calculate the percentage increase.

Exercise 6. Give three reasons a ratio might be misleading if viewed without context.

12. Answer key

1. Gross profit margin = 84,000 ÷ 240,000 × 100 = 35%.

2. Current ratio = 96,000 ÷ 50,000 = 1.92. Quick ratio = (96,000 – 21,000) ÷ 50,000 = 1.5.

3. Receivables days = 36,000 ÷ 288,000 × 365 = 45.625, or about 45.6 days. This estimate assumes the sales figure is a suitable credit-sales denominator.

4. Interest coverage = 42,000 ÷ 7,000 = 6 times.

5. Increase = 30,000. Percentage increase = 30,000 ÷ 300,000 × 100 = 10%.

6. Examples: seasonality; one-off events; year-end timing; different accounting policies; poor-quality receivables; obsolete inventory; incomparable periods; or a missing industry context.

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End of Chapter 19

CHAPTER 20

CASH FLOW ANALYSIS, CASH FLOW STATEMENTS AND CASH MANAGEMENT

Chapter 20: Cash Flow Analysis, Cash Flow Statements and Cash Management

Learning objectives

Explain why profit and cash are different, group cash movements into operating, investing, and financing activities, prepare a simplified cash flow statement using the indirect method, interpret cash flow patterns, and apply practical cash controls.

1. Why cash flow matters

A business may report a profit and still struggle to pay suppliers, wages, rent, or loan instalments. Profit is measured under accounting rules, while cash flow tracks cash received and cash paid during a period. Credit sales can increase revenue before customers pay; depreciation can reduce profit without using cash in the current period; and purchasing equipment can consume cash even though the cost may be recognized as an asset and expensed over time.

Cash flow analysis asks when cash enters, when it leaves, why it changes, and whether the timing supports the business's obligations. It complements rather than replaces the income statement and statement of financial position.

2. Three categories of cash flow

Category	What it generally captures	Examples
Operating activities	Cash flows associated with the entity's principal revenue-producing activities and other activities not classified as investing or financing	Customer receipts, supplier payments, wages, operating expenses
Investing activities	Cash flows involving long-term assets and investments	Buying or selling equipment, property, or certain investments
Financing activities	Cash flows that change the entity's borrowings or contributed equity	Loan proceeds, loan principal repayments, share issues, owner contributions or distributions where applicable

The exact classification of particular items depends on the applicable accounting framework and the entity's circumstances. Interest, dividends, taxes, and certain specialized transactions can require policy-based treatment. Apply one consistent, permitted policy and document it.

3. Profit is not the same as cash

Example A: credit sale. A company provides services worth 5,000 on credit. Revenue may be recognized when the relevant recognition requirements are met, but cash is not received until the customer pays. Accounts receivable increases in the meantime.

Example B: depreciation. Equipment depreciation of 800 is recorded for the period. The expense reduces accounting profit, but the depreciation entry itself does not pay cash in that period.

Example C: equipment purchase. A business pays 6,000 cash for equipment. Cash decreases immediately. The purchase is generally not treated as an ordinary operating expense in full at the purchase date when it qualifies for asset recognition; instead, its cost is accounted for under the applicable asset policy.

4. A simplified cash flow statement

The indirect method starts with a profit measure and adjusts it for non-cash items, changes in operating assets and liabilities, and other items that need to be classified outside operating activities. The starting profit measure and presentation details depend on the applicable framework.

Fictional example for one month; amounts in currency units (CU):

Item	CU
Profit before tax	12,000

Item	CU
Add: depreciation expense	1,500
Increase in trade receivables	(2,000)
Increase in inventory	(1,200)
Increase in trade payables	900
Illustrative cash generated before tax and interest classification	11,200
Cash paid for equipment	(4,000)
Loan proceeds received	5,000
Loan principal repaid	(1,000)
Net increase in cash from listed items	11,200

Calculation: 12,000 + 1,500 – 2,000 – 1,200 + 900 = 11,200 of illustrative operating cash generated before tax and any interest items not shown. Investing cash flow is –4,000. Financing cash flow is 5,000 – 1,000 = 4,000. Net increase in cash from the listed items is 11,200 – 4,000 + 4,000 = 11,200. The example omits opening cash and other possible flows; it is not a complete statutory statement.

Why adjustments work: depreciation is added back because it reduced profit without a current-period cash payment. An increase in receivables means some recognized revenue has not yet been collected, so it reduces cash generated relative to profit. An increase in inventory uses cash or supplier credit. An increase in trade payables means some recognized purchases or costs remain unpaid, so it increases cash retained in the period.

5. Working capital and cash timing

Working capital commonly refers to current assets less current liabilities. Its composition and quality matter. A business may have positive working capital but still face a cash shortage if receivables are overdue, inventory is slow-moving, or major payments fall due before customers pay.

A practical cash-timing review compares customer collection dates, supplier due dates, payroll dates, tax deadlines, rent, loan payments, and planned capital purchases. Avoid assuming that every invoice will be paid on its due date; use evidence-based expected dates and update the forecast as information changes.

6. Preparing a short-term cash forecast

A rolling cash forecast estimates opening cash, expected receipts, expected payments, and closing cash for each week or month. A short weekly forecast can help identify a near-term gap earlier than a monthly report.

Forecast line	Illustrative amount (CU)
Opening cash	18,000
Expected customer receipts	9,500
Supplier payments	(7,000)
Payroll and benefits	(4,200)
Rent and utilities	(1,300)
Loan payment	(1,000)
Forecast closing cash	14,000

Closing cash = 18,000 + 9,500 – 7,000 – 4,200 – 1,300 – 1,000 = 14,000. This is only as reliable as its assumptions. Label uncertain receipts, include known commitments, and prepare a downside scenario for delayed customer payments or unexpected costs.

7. Cash controls and reconciliation

Good cash management combines planning with controls. Reconcile bank statements to the ledger regularly; investigate unexplained items; separate payment preparation from approval where feasible; verify changes to supplier bank details through a trusted independent channel; restrict access to banking credentials; retain invoices and approvals; and review unusual, duplicate, or out-of-pattern payments.

Petty cash should have a named custodian, a documented float, supported vouchers, clear approval limits, periodic counts, and reconciliation between cash on hand plus valid vouchers and the authorized float. Any shortage or overage should be investigated and documented rather than quietly adjusted.

8. Cash flow indicators and questions

Positive operating cash flow over time can indicate that core activities are generating cash, but one positive period may reflect temporary delays in supplier payments or collections from earlier sales. Negative operating cash flow can occur during growth or seasonal periods, yet repeated negative results need investigation.

Ask: Is cash from operations consistently positive? Are receivables rising faster than revenue? Is inventory accumulating? Are suppliers being paid later than agreed? Does the business depend on new borrowing to cover routine costs? Are capital purchases affordable after essential operating payments? Do forecasts match actual cash results, and are differences explained?

9. Using AI to support cash analysis

Example prompt using fictional figures
“Build a simple 8-week cash forecast from the fictional opening balance, dated expected receipts, and planned payments I provide. Show weekly opening cash, total receipts, total payments, and closing cash. Flag any week below my stated minimum balance. Do not assume uncertain receipts are guaranteed. Separate facts from assumptions, explain calculations, and suggest questions for human review rather than making payments or changing accounting records.”

AI safeguards
• Never share online banking passwords, full account credentials, or unapproved confidential data.
• Validate dates, formulas, opening balances, and duplicate transactions.
• Distinguish confirmed receipts from forecasts and estimates.
• Keep approval and payment execution under the company's authorized control process.
• Use scenario analysis to explore uncertainty, not to present predictions as facts.

10. Practice exercises

Exercise 1. A business has profit before adjustments of 7,500, depreciation of 600, an increase in receivables of 1,100, an increase in inventory of 400, and an increase in payables of 250. Using the simplified indirect approach, calculate illustrative cash generated before other items.

Exercise 2. Opening cash is 8,000. Expected receipts are 5,000. Payments are supplier payments 2,700, wages 1,800, rent 900, and loan principal 500. Calculate closing cash.

Exercise 3. Classify these cash movements in a basic illustration: customer receipts, purchase of equipment, loan proceeds, and repayment of loan principal.

Exercise 4. Explain why depreciation is added back in an indirect cash flow reconciliation, while an increase in receivables is deducted.

Exercise 5. List four practical cash controls.

11. Answer key

1. 7,500 + 600 – 1,100 – 400 + 250 = 6,850 of illustrative cash generated before other items.

2. Closing cash = 8,000 + 5,000 – 2,700 – 1,800 – 900 – 500 = 7,100.

3. Customer receipts: generally operating. Equipment purchase: generally investing. Loan proceeds: financing. Loan principal repayment: financing. Check the applicable framework for any specific classification questions.

4. Depreciation reduced accounting profit without a cash payment in the period, so it is added back in the indirect reconciliation. An increase in receivables generally means recognized revenue has not yet been collected, so it reduces cash relative to profit.

5. Examples: regular bank reconciliation; independent approval of payments; independent verification of supplier bank-detail changes; secure access controls; supported petty-cash vouchers and counts; duplicate-payment checks; and documented review of unusual transactions.

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End of Chapter 20

CHAPTER 21

LOANS, INTEREST, DEBT REPAYMENT AND FINANCIAL PLANNING

Chapter 21: Loans, Interest, Debt Repayment and Financial Planning

Learning objectives

Understand the basic accounting for borrowing, distinguish loan principal from interest, calculate simple interest and repayment allocations, record selected loan transactions, reconcile a loan balance, and assess repayment affordability using a simple cash plan.

1. Separate principal from interest

A loan creates an obligation to repay money under agreed terms. The amount borrowed and still owed is called the principal balance. Interest is the financing cost charged under the agreement. A scheduled instalment may contain both principal repayment and interest, so the entire instalment should not automatically be posted to loan expense.

Example: a company pays an instalment of CU 1,050, consisting of CU 900 principal and CU 150 interest. The illustrative entry is debit Loan Payable CU 900, debit Interest Expense CU 150, and credit Bank CU 1,050. The liability decreases by CU 900; the interest expense is CU 150; cash decreases by CU 1,050.

2. Common borrowing arrangements

Arrangement	Basic feature	Accounting attention
Term loan	A defined amount is borrowed and repaid according to a schedule	Track principal, interest, fees, maturity, and current/non-current portions
Revolving credit facility	Borrowing can be drawn and repaid within an agreed limit	Reconcile drawings, repayments, fees, available limit, and covenants
Asset finance	Financing is linked to an asset or purchase	Review contract terms and applicable asset and liability requirements
Related-party loan	Lender and borrower have a related relationship	Document terms, approvals, disclosures, and any special tax or legal requirements

Actual accounting depends on the signed contract, applicable reporting framework, and any relevant regulatory or tax rules. Do not assume every fee, interest amount, or arrangement has the same treatment.

3. Calculate simple interest

For a basic illustration with a constant principal balance and a simple annual rate:

Interest = Principal × Annual interest rate × Time fraction

Suppose CU 20,000 is outstanding for 6 months at a simple annual rate of 6%, with no principal repayments during that period. Interest = 20,000 × 0.06 × 6/12 = CU 600.

This is a teaching calculation, not a universal lender calculation. Actual agreements may use daily balances, different day-count conventions, compounding, variable rates, fees, or other terms. Use the lender's contractual calculation and statement for real postings.

4. How a repayment changes the balance

Assume an opening loan balance of CU 12,000. During the month, the lender charges CU 120 interest and the business pays CU 1,000. If the full payment is allocated first to the stated interest and the remainder to principal, the principal reduction is CU 1,000 – CU 120 = CU 880. Closing principal = CU 12,000 – CU 880 = CU 11,120.

Movement	CU
Opening principal	12,000
Principal portion of payment	(880)
Closing principal	11,120

Movement	CU
Interest expense for the month	120
Total cash instalment	1,000

This illustration assumes the CU 1,000 payment covers both interest and principal and there are no other fees, arrears, or adjustments. Follow the lender's actual allocation.

5. Journal entries for common loan events

Event	Illustrative entry
Loan funds received	Debit Bank; credit Loan Payable
Interest accrued but unpaid, when required	Debit Interest Expense; credit Interest Payable
Interest paid	Debit Interest Payable or Interest Expense, as applicable; credit Bank
Principal repaid	Debit Loan Payable; credit Bank
Eligible borrowing costs	Record according to the applicable accounting policy and framework; do not automatically expense or capitalize without analysis

The exact entry depends on whether interest was already accrued, how the accounting system records the instalment, and the relevant reporting requirements. Avoid recording the same interest twice.

6. Current and non-current loan balances

At a reporting date, the amount due within the next twelve months is commonly assessed for current-liability presentation, with the remaining amount potentially classified as non-current. The actual classification must follow the applicable framework, contract terms, and facts at the reporting date. Do not simply divide the original loan amount by the number of years if the repayment schedule is uneven or circumstances have changed.

Keep the repayment schedule, lender statement, signed agreement, amendments, and relevant correspondence together. Reconcile the ledger to the lender's records and explain timing differences, accrued interest, fees, and foreign-currency movements where applicable.

7. Loan reconciliation checklist

1. Confirm the opening principal agrees with the previous closing balance.
2. Match each new drawdown to bank evidence and lender documentation.
3. Match principal repayments to the contractual schedule and bank transactions.
4. Recalculate or verify interest using the contract and lender statement.
5. Check fees, overdue amounts, rate changes, foreign exchange, and amendments.
6. Reconcile the closing liability to lender evidence and investigate differences.
7. Review current/non-current presentation and required disclosures.
8. Obtain review and retain supporting schedules.

8. Assess repayment affordability

A loan may appear manageable on paper but still create pressure if customer receipts arrive late or operating costs rise. Compare expected cash available with scheduled debt payments, essential operating payments, and a reasonable minimum cash reserve. Use more than one scenario rather than relying only on the most optimistic forecast.

Illustrative monthly plan: forecast operating cash available before debt payments is CU 6,000; scheduled principal and interest payments are CU 2,000; and planned essential equipment spending is CU 1,500. Remaining forecast cash after these items is CU 6,000 – CU 2,000 – CU 1,500 = CU 2,500, before other unlisted cash movements. This is a planning estimate, not proof that the business can safely borrow more.

9. Useful questions before taking or changing a loan

• What is the effective cost under the actual agreement, including applicable fees?
• Is the rate fixed, variable, or subject to review?
• What are the payment dates, maturity date, security, and guarantee terms?
• Are there early repayment charges or limits on additional borrowing?
• What happens if a payment is late or a covenant is breached?
• Does the cash forecast remain workable if sales fall or collections are delayed?
• Are approvals, legal review, accounting treatment, and disclosures complete?

10. Using AI to review loan schedules

Example prompt using fictional data

“Review this fictional loan schedule. Recalculate each payment's stated principal and interest allocation, roll the opening principal forward, and compare the calculated closing balance with the schedule. Show the formula for each check. Flag missing interest rates, dates, day-count assumptions, fees, and unclear allocations. Do not invent contract terms or make a borrowing recommendation without stating the limitations.”

AI safeguards

• Do not upload confidential agreements or account information to an unapproved tool.
• Check calculations against the signed contract and lender statement.
• Treat any AI-generated interpretation of legal, tax, or accounting treatment as a question for qualified review.
• Do not let AI initiate payments, amend a loan ledger, or contact a lender without authorized human control.

11. Practice exercises

Exercise 1. A company borrows CU 15,000. Under a simplified assumption, it pays 5% simple annual interest for 4 months with no principal repayment. Calculate the interest.

Exercise 2. Opening principal is CU 8,500. The monthly payment is CU 750, including CU 85 interest. Assuming no other movements, calculate the principal repaid and closing principal.

Exercise 3. A business receives CU 10,000 from a lender into its bank account. Give the illustrative journal entry.

Exercise 4. Explain why the full monthly instalment should not automatically be posted to interest expense.

Exercise 5. List four documents or checks useful for a loan reconciliation.

Exercise 6. A forecast shows CU 4,800 cash available before debt payments, scheduled debt payments of CU 1,600, and essential planned capital spending of CU 900. Calculate the amount remaining before other cash movements.

12. Answer key

1. Interest = 15,000 × 0.05 × 4/12 = CU 250.

2. Principal repaid = 750 – 85 = CU 665. Closing principal = 8,500 – 665 = CU 7,835.

3. Debit Bank CU 10,000; credit Loan Payable CU 10,000.

4. The instalment may include both principal and interest. Principal repayment reduces the liability, while interest is a financing cost; recording all cash paid as interest would misstate both expense and the liability.

5. Examples: signed loan agreement, lender statement, repayment schedule, bank statement, interest calculation, prior-period reconciliation, and approval records.

6. CU 4,800 – CU 1,600 – CU 900 = CU 2,300 remaining before other cash movements.

13. Originality and use note

This chapter was drafted independently for educational use with original explanations, fictional examples, calculations, exercises, and answer keys. It was not intentionally copied from third-party books, websites, or authors' statements. No guarantee is made that every phrase is globally unique. Real loan accounting depends on the signed contract, actual transaction details, applicable accounting framework, and relevant legal or tax requirements.

End of Chapter 21

CHAPTER 22

ACCOUNTS RECEIVABLE AGING, CREDIT CONTROL, BAD DEBTS AND EXPECTED CREDIT LOSSES

Chapter 22: Accounts Receivable Aging, Credit Control, Bad Debts and Expected Credit Losses

Learning objectives

Prepare and interpret a receivables aging schedule, establish practical credit-control steps, record selected bad-debt events, distinguish a specific write-off from an estimate of expected losses, and use AI to organize collection work without replacing judgment or policy.

1. Why receivables need active management

A credit sale can create revenue and a receivable before the customer pays. Until collection occurs, the business must manage timing, disputes, customer credit risk, and the possibility that some amounts will not be recovered. A growing sales figure does not by itself prove that cash collection is healthy.

A practical receivables process connects the sales order or contract, delivery or service evidence, invoice, customer account, due date, collection activity, dispute resolution, receipts, and reconciliation. Gaps between these records can delay payment or conceal errors.

2. Build an aging schedule

An aging schedule groups outstanding invoices by how long they have been overdue, or by age since invoice date according to the chosen policy. Use one clear basis consistently and label the report so readers know what the buckets mean. The following fictional schedule uses days past due.

Customer	Current / not overdue	1–30 days overdue	31–60 days overdue	Over 60 days overdue	Total
Cedar Retail	4,000	1,200	0	0	5,200
Northline Services	2,500	0	1,000	500	4,000
Palm Gate Trading	1,000	800	700	1,300	3,800
Total	7,500	2,000	1,700	1,800	13,000

Check: 7,500 + 2,000 + 1,700 + 1,800 = CU 13,000. The total should reconcile to the receivables control account after accounting for timing items and valid reconciling differences. An aging report is only useful when customer balances and invoice due dates are accurate.

3. How to read the aging pattern

Look beyond the total. A large overdue balance concentrated in one customer can create more risk than the same amount spread across many customers. Review the amount, days overdue, payment history, credit limit, dispute status, customer concentration, subsequent receipts, and any credible information about financial difficulty.

Aging is an indicator, not a certainty. A recent invoice may be disputed or unlikely to be paid; an older balance may be supported by a confirmed payment plan. Use specific evidence alongside aging buckets and the entity's approved methodology.

4. Credit control from order to collection

A practical control cycle can include:

1. Set documented credit-approval levels and customer limits.
2. Verify customer details and required contract or purchase-order information.
3. Check available credit before accepting new orders when policy requires it.
4. Issue accurate invoices promptly and send them to the correct contact.
5. Monitor due dates and send proportionate reminders.
6. Record calls, promises to pay, disputes, and agreed actions.
7. Escalate unresolved disputes and overdue balances under policy.
8. Match receipts to invoices and investigate unidentified cash.
9. Review credit holds, payment plans, and limit changes with authorized staff.

10. Reconcile the subledger to the general ledger regularly.

Clear, respectful communication often resolves practical causes of delay, such as missing purchase-order references, incorrect billing details, incomplete delivery evidence, or an invoice sent to the wrong department. Keep customer communications factual and consistent with the contract and company policy.

5. Collection prioritization example

Account	Overdue amount	Age	Suggested review priority
Northline Services	1,500	31–90 days	High: confirm payment promise and investigate the oldest item
Palm Gate Trading	1,300	Over 60 days	High: review history, disputes, credit exposure, and escalation policy
Cedar Retail	1,200	1–30 days	Routine: send a due-date reminder and check invoice delivery

This priority is illustrative only. A real decision should also consider customer risk, contract terms, dispute evidence, relationship context, and the cost of collection. Do not use age alone to threaten customers or suspend services.

6. Bad debts and write-offs

A write-off removes a receivable balance that the entity determines should no longer remain recognized under its accounting policy and applicable framework. The timing and evidence required depend on the circumstances. A write-off is not a substitute for collection efforts, proper approval, or required reporting.

Under a simplified allowance approach, if a specific CU 400 balance has already been covered by an allowance, a write-off may debit the allowance and credit Accounts Receivable for CU 400. If no allowance exists, the appropriate entry depends on the framework and prior accounting. Follow the entity's approved policy rather than assuming one entry fits every case.

7. Estimating expected credit losses

An estimate of expected credit losses is intended to reflect the credit loss exposure required by the applicable reporting framework. The method, time horizon, forward-looking information, and treatment of collateral or other credit enhancements depend on the applicable rules and facts. This chapter provides a simplified teaching illustration, not a complete implementation of any accounting standard.

Illustrative provision matrix:

Aging group	Receivable balance	Illustrative loss rate	Estimated loss
Not overdue	7,500	1%	75
1–30 days overdue	2,000	3%	60
31–60 days overdue	1,700	10%	170
Over 60 days overdue	1,800	30%	540
Total	13,000		845

Calculation: 75 + 60 + 170 + 540 = CU 845 estimated loss. The rates are invented solely for this example. Real rates should be supported by appropriate historical information, current conditions, reasonable forward-looking evidence, and the method required by the applicable framework. Customer-specific evidence may require a separate assessment.

If the required closing allowance is CU 845 and the existing allowance balance is a credit of CU 600, the illustrative additional allowance is CU 245. A simplified entry would debit Credit Loss Expense CU 245 and credit Allowance for Credit Losses CU 245. If the existing allowance exceeds the required closing balance, the adjustment may need to reduce it instead.

8. Distinguish the allowance from the receivable

The customer receivable records the amount due from the customer. The allowance is a separate contra-asset account used to present the receivable balance after the required loss estimate. The allowance does not mean the business has collected cash or that a particular customer invoice has been legally cancelled.

A later receipt, revised estimate, write-off, recovery, or change in customer circumstances may require further accounting. Maintain a trail showing the original invoice, collection history, estimate method, approvals, write-off evidence, and subsequent events.

9. Reconciliation and review checklist

- Reconcile the total receivables subledger to the general ledger.
- Investigate unapplied receipts, credit balances, duplicate invoices, and unexplained differences.
- Check invoice dates, due dates, credit notes, and customer allocations.
- Review large, old, disputed, related-party, or unusual balances individually where appropriate.
- Compare aging reports with subsequent receipts and documented payment promises.
- Reassess loss estimates under the approved method and current evidence.
- Confirm write-offs and credit-limit changes have required approval.
- Retain supporting schedules and a record of review.

10. Using AI for receivables work

Example prompt using fictional or appropriately anonymized data

“Organize these receivable records into the stated aging buckets, total each bucket, and identify arithmetic or date inconsistencies. Create a collection follow-up list that includes amount, days overdue, dispute status, and next action. Do not infer a customer's financial condition from age alone, invent contact details, send messages, or decide write-offs. Mark missing information and propose items for human review.”

AI safeguards

- Do not expose personal data, confidential invoices, or customer financial information to an unapproved tool.
- Verify dates, balances, aging calculations, and customer matching against the accounting system.
- Have authorized staff approve collection actions, credit holds, loss estimates, and write-offs.
- Use neutral, respectful wording and follow applicable privacy, contract, and collection rules.

11. Practice exercises

Exercise 1. A receivables report contains CU 5,200 not overdue, CU 1,600 overdue 1–30 days, CU 900 overdue 31–60 days, and CU 1,300 overdue over 60 days. Calculate total receivables.

Exercise 2. Using these fictional balances and loss rates, calculate an illustrative estimated loss: not overdue CU 6,000 at 1%; 1–30 days CU 2,000 at 4%; 31–60 days CU 1,000 at 12%; over 60 days CU 1,500 at 25%.

Exercise 3. The required closing allowance is CU 720 and the current allowance is a credit of CU 500. Calculate the additional allowance under the simplified illustration.

Exercise 4. Give four items to review before deciding that an overdue account needs escalation.

Exercise 5. Explain the difference between a receivable write-off and an allowance for expected credit losses.

12. Answer key

1. Total = 5,200 + 1,600 + 900 + 1,300 = CU 9,000.

2. Estimated loss = 6,000 × 1% + 2,000 × 4% + 1,000 × 12% + 1,500 × 25% = 60 + 80 + 120 + 375 = CU 635.

3. Additional allowance = 720 – 500 = CU 220, assuming the balances are measured on the same basis and the simplified approach applies.

4. Examples: amount overdue, invoice and delivery evidence, dispute status, customer payment history, payment promise, customer concentration, subsequent receipts, credit terms, and escalation policy.

5. A write-off removes a specific receivable when the required criteria are met. An allowance estimates credit losses across the relevant exposure under the chosen method; it does not itself cancel a customer invoice.

13. Originality and use note

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End of Chapter 22

CHAPTER 23

ACCOUNTS PAYABLE MANAGEMENT, SUPPLIER RECONCILIATION, PAYMENT CONTROLS AND FRAUD PREVENTION

Learning Objectives

By the end of this chapter, you should be able to:

- Explain the accounts payable process from purchase request to settlement.
- Match supplier invoices with purchase orders and evidence of receipt.
- Reconcile a supplier statement with the accounts payable ledger.
- Apply practical approval and payment controls.
- Recognize warning signs of duplicate invoices, false supplier details and suspicious payment requests.
- Use AI as a review assistant while keeping final decisions with an authorized person.

1. What Accounts Payable Represents

Accounts payable (AP) records amounts a business owes suppliers for goods or services already received on credit. When a valid supplier invoice is recognized, the business generally records an expense or asset and a liability. The exact account depends on what was purchased and the accounting policy.

Example: A business receives office supplies costing AED 2,400 on credit. If the supplies are treated as an expense when received, the entry is:

Debit Office Supplies Expense AED 2,400
Credit Accounts Payable AED 2,400

When the invoice is paid, the liability is reduced and cash at bank decreases:

Debit Accounts Payable AED 2,400
Credit Bank AED 2,400

Recording the invoice and recording its payment are separate events. Paying an invoice does not create the original expense a second time; it settles the existing liability.

2. The Accounts Payable Cycle

1. Purchase request

A department explains what it needs, why it is needed, the estimated cost and the budget owner.

2. Purchase order

An authorized buyer issues a purchase order (PO) stating the supplier, items or services, quantities, prices and agreed terms.

3. Receipt confirmation

A receiving employee or service owner confirms what arrived or what work was completed.

4. Invoice capture

AP records the supplier invoice, supplier identity, invoice number, date, due date, tax details and relevant coding.

5. Matching and review

The invoice is checked against the PO and receipt evidence, with differences investigated.

6. Approval and posting

The designated approver confirms business purpose, coding, budget and exceptions before posting or release.

7. Payment preparation

Invoices due for payment are selected, cash availability is checked and a payment batch is prepared.

8. Authorization and settlement

An authorized signatory releases the payment through the approved banking process.

9. Reconciliation and filing

The payment is matched to the bank record and supplier account; supporting documents are retained.

3. Three-Way Matching

Three-way matching compares three records before an invoice is approved for payment:

- **Purchase order:** what the business authorized to buy.
- **Receipt record:** what was delivered or completed.
- **Supplier invoice:** what the supplier is charging.

A match is not merely a check that totals look similar. Review quantities, unit prices, item descriptions, delivery dates, tax treatment, currency, freight and contractual terms. Service invoices may need an approved service-entry sheet, timesheet or completion certificate instead of a goods receipt.

Worked example: quantity difference

A PO authorizes 100 units at AED 35 each. The warehouse records receipt of 90 units. The supplier invoice bills 100 units.

PO value: 100 × AED 35 = AED 3,500
Received value: 90 × AED 35 = AED 3,150
Potential disputed amount: 10 × AED 35 = AED 350

Do not automatically approve the full invoice. Confirm whether the remaining 10 units were delivered separately, whether the receipt record is incomplete, or whether the supplier billed too much. Follow the company's documented tolerance and exception process.

4. Invoice Coding, Approval and Cut-Off

Invoice coding assigns the cost to the correct general-ledger account, department, project, location, tax code and accounting period. A low-value invoice can still be misclassified, so review the nature of the purchase rather than relying only on the supplier name.

Approval should be performed by someone with suitable authority who can confirm the purchase was legitimate and received. Where practical, separate supplier setup, invoice entry, approval, payment-file preparation and bank release among different people.

Period-end cut-off

If goods or services were received before period-end but the invoice has not arrived, the business may need to recognize an accrual, based on its accounting policy and available evidence. When the invoice later arrives, the accrual must be cleared or adjusted to avoid recording the cost twice.

Illustration: Services of AED 6,000 were completed in March, but the invoice arrives in April. If the March accounts require the cost to be recognized in March:

March: Debit Relevant Expense AED 6,000
March: Credit Accrued Expenses AED 6,000

When the invoice is received in April, apply the company's accrual-reversal or clearing procedure. Do not credit accounts payable and leave the original accrual untouched if that would duplicate the liability.

5. Supplier Statement Reconciliation

A supplier statement summarizes the supplier's view of invoices, credit notes, payments and outstanding balances. Reconcile it to the business's supplier ledger because the two records can differ due to timing, missing documents, allocation errors or disputed items.

A practical reconciliation method

- Confirm the supplier account and statement date.
- Compare each invoice and credit note by number, date and amount.
- Match payments to bank evidence and the supplier's allocation.
- Investigate documents appearing on only one side.
- Check whether a credit note was omitted or applied to the wrong invoice.
- Confirm the closing difference and document the explanation and owner.

Worked reconciliation

The supplier statement shows AED 18,700 due. The company's ledger shows AED 16,200. Review identifies a supplier invoice of AED 2,000 recorded by the supplier but not yet entered by the company, and a payment of AED 500 recorded by the company but not yet allocated by the supplier.

Supplier statement balance: AED 18,700
Less payment not yet allocated by supplier: AED 500
Adjusted supplier-side balance: AED 18,200
Company ledger balance: AED 16,200
Add missing invoice: AED 2,000
Adjusted company-side balance: AED 18,200

After the missing invoice is validated and recorded and the supplier allocates the payment, the balances agree at AED 18,200. This example assumes the payment relates to this supplier and the invoice is valid and belongs in the period.

6. Payment Controls and Cash Planning

A payment run is a controlled selection of approved invoices due for settlement. It should not be treated as a routine button-clicking task.

- Select invoices using approved due-date and payment-term rules.
- Remove items on hold, under dispute or already paid.
- Check invoice references, amounts, currencies and bank details.
- Review unusual changes to supplier bank accounts using an independent verification channel already on file.
- Compare the payment batch total with the approved report.
- Require authorization consistent with the company's limits.
- Reconcile the released payment to the bank statement and supplier ledger.

Cash planning should consider due dates, available funds, early-payment discounts, late-payment consequences, payroll, tax obligations and other critical payments. A discount is beneficial only when the savings justify the timing and cash impact.

Discount calculation

A supplier offers a 2% discount on an eligible AED 10,000 invoice if paid within the agreed discount window.

Discount = AED 10,000 × 2% = AED 200
Payment after discount = AED 10,000 − AED 200 = AED 9,800

Confirm the contract, tax treatment, eligibility and payment date before using the discount. The calculation alone does not authorize early payment.

7. Fraud and Error Warning Signs

A warning sign is a reason to verify, not proof that fraud has occurred. Common risks include:

- The same invoice number and amount appear more than once.
- An invoice has no credible PO, receipt or service-completion evidence.
- Supplier bank details change shortly before a large payment.
- An urgent request asks staff to bypass ordinary approvals.
- A supplier's email address or payment instructions differ subtly from established records.
- Invoices are split into smaller amounts that sit below approval limits.
- A payment beneficiary does not match the approved supplier information.
- A credit note or payment is posted to an unrelated supplier account.

Use a trusted, independently sourced contact method to confirm sensitive changes. Do not rely solely on a phone number or link contained in the change request itself. Preserve the request, verification evidence and approval trail, and escalate suspected incidents through the organization's process.

8. Supplier Master Data and Segregation of Duties

Supplier master data commonly includes the legal name, address, tax registration details where relevant, payment terms, currency and bank information. Incorrect or unauthorized changes can redirect payments or create duplicate supplier records.

- Require documented support and approval for new suppliers and material changes.
- Check for possible duplicate supplier records using names, addresses, tax identifiers and bank details where lawfully available.
- Restrict who can create suppliers and who can approve payments.
- Review change logs and unusual activity.
- Reconfirm details using established contact information, especially for bank changes.

In a small business, one person may have to perform several tasks. If full separation is not practical, introduce compensating checks such as independent review of the supplier change report and payment batch by an owner or manager.

9. Useful Accounts Payable Measures

Days Payable Outstanding (DPO)

DPO estimates the average number of days a business takes to pay suppliers. A commonly used approximation is:

DPO = Average Accounts Payable ÷ Credit Purchases × Number of Days

Use a consistent period and a suitable credit-purchases measure. If credit purchases are unavailable, some analyses use cost of goods sold as a proxy, but that choice should be disclosed because it may change the result.

Example

Average accounts payable is AED 120,000. Credit purchases during a 90-day period are AED 540,000.

DPO = AED 120,000 ÷ AED 540,000 × 90 = 20 days

A higher DPO is not automatically good or bad. It may reflect negotiated terms, deliberate cash management, or overdue invoices. Interpret it alongside supplier terms, overdue balances, cash flow and supplier relationships.

Other useful measures

- **Invoice exception rate:** invoices requiring correction or investigation divided by invoices processed.
- **On-time payment rate:** invoices paid by the agreed due date divided by invoices due.
- **Duplicate-payment rate:** confirmed duplicate payments divided by payments processed.
- **Unmatched receipt value:** value of received goods or services awaiting invoice matching.

10. Using AI as an Accounts Payable Assistant

AI can help organize information and identify items for human review. It should not independently authorize payments or replace checks against original records.

Example prompts

- **Invoice review:** “Compare these invoice fields with the PO and receipt details. List mismatched quantities, prices, dates, currencies and tax fields. Do not assume missing information.”
- **Statement reconciliation:** “Compare these two transaction lists by reference and amount. Separate exact matches, possible matches, items appearing only on one list and unresolved differences.”
- **Duplicate screening:** “Flag records with matching or similar supplier names, invoice numbers, dates and amounts. Explain why each item needs review; do not label it confirmed fraud.”
- **Payment preparation:** “Create a review checklist for this proposed payment batch, highlighting duplicate references, overdue items, unusual amounts and missing approvals.”

Before sharing records with an AI tool, follow company confidentiality rules and applicable privacy requirements. Mask bank details and personal information when they are not needed. Validate AI output against the original documents and keep a person accountable for approvals.

11. Practice Exercises

Exercise 1: Three-way match

A PO authorizes 75 units at AED 48 each. The receipt record confirms 70 units. The invoice bills 75 units at AED 48 each. Calculate the PO value, received value and amount requiring investigation.

Exercise 2: Supplier statement

A supplier statement shows AED 9,450 due. The company ledger shows AED 8,950. A valid supplier credit note of AED 600 appears in the company ledger but not on the supplier statement. The company also has an unallocated payment of AED 100 that the supplier has not yet shown. Reconcile the balances, assuming all items relate to the same account and period.

Exercise 3: Payment discount

An eligible invoice is AED 7,500. The supplier offers a 1.5% discount if the invoice is paid within the agreed window. Calculate the discount and net payment.

Exercise 4: DPO

Average accounts payable is AED 84,000. Credit purchases over 60 days are AED 336,000. Calculate approximate DPO.

Exercise 5: Control decision

An email requests an immediate change to a supplier's bank account and says the CEO has approved it. The request arrives from an unfamiliar address. List at least four safe actions before payment.

12. Answer Key and Explanations

Answer 1

PO value = 75 × AED 48 = AED 3,600
Received value = 70 × AED 48 = AED 3,360
Amount to investigate = 5 × AED 48 = AED 240

Check for a second delivery or incomplete receipt entry before deciding whether the invoice should be corrected.

Answer 2

The supplier statement is AED 9,450. Because the valid credit note has not appeared on the supplier statement, subtract AED 600 to reach AED 8,850. The company ledger is AED 8,950; subtract the AED 100 payment that the supplier has not yet allocated to reach AED 8,850. Both adjusted balances agree at AED 8,850.

Answer 3

Discount = AED 7,500 × 1.5% = AED 112.50
Net payment = AED 7,500 – AED 112.50 = AED 7,387.50

Answer 4

DPO = AED 84,000 ÷ AED 336,000 × 60 = 15 days

Answer 5

- Do not change the bank details or release payment based on the email alone.
- Use established supplier contact details already held in approved records to verify the request.
- Check the documented approval and supplier-change process.
- Have an authorized independent person review the evidence and change log.
- Retain the request and verification records, and escalate suspicious activity.

13. Practical Month-End AP Checklist

- Reconcile supplier statements for material and high-risk suppliers.
- Review overdue, disputed and debit-balance supplier accounts.
- Investigate invoices received but not posted and receipts awaiting invoices.
- Assess whether goods or services received before period-end require accruals.
- Check that credit notes and supplier payments are posted to the correct accounts.
- Review duplicate invoice alerts and unusual supplier master changes.
- Tie the AP subledger to the general ledger and investigate differences.
- Retain evidence of reconciliations, approvals and unresolved items.

Key Takeaways

- Accounts payable is both a liability-recording process and a cash-control process.
- Three-way matching helps confirm that purchases were authorized, received and billed correctly.
- Supplier statement differences should be explained and documented, not simply forced to zero.
- Payment controls work best when supplier setup, invoice approval and bank release are not all controlled by one person.
- AI can help prioritize reviews, but source documents, policy and human authorization remain essential.

Originality and Learning Note

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CHAPTER 24

PURCHASE ORDERS, GOODS RECEIVED NOTES, SUPPLIER INVOICES AND THREE-WAY MATCHING

Learning Objectives

After studying this chapter, you should be able to:

- Explain the purpose of a purchase order (PO), goods received note (GRN) and supplier invoice.
- Describe how documents move through a controlled purchasing process.
- Perform a basic three-way match and calculate common differences.
- Handle partial deliveries, price variances, damaged goods and service purchases.
- Identify exceptions that need approval rather than automatic processing.
- Use AI to organize checks without treating its output as authorization.

1. The Three Core Documents

Purchase order (PO)

A purchase order is a document issued by the buyer to describe an approved purchase. It commonly records the supplier, item or service, quantity, agreed price, delivery location, requested date, currency, payment terms and relevant approval reference. A PO helps communicate what the business intended to buy; by itself, it does not prove that the goods arrived or that the supplier's invoice is correct.

Goods received note (GRN)

A goods received note records the goods physically received and checked by the receiving team. It may include the PO reference, delivery date, item codes, quantities accepted, quantities rejected, condition notes and the receiver's identity. A GRN is evidence of receipt, not evidence that the supplier's price or tax calculation is correct.

Supplier invoice

A supplier invoice requests payment for goods or services. It generally includes the supplier's legal details, invoice number and date, description, quantity, price, tax details where applicable, total, currency, and payment terms. The invoice should be checked against the purchase authorization and evidence of receipt or service completion.

2. Why Three-Way Matching Matters

Three-way matching compares the PO, GRN or other receipt evidence, and supplier invoice. The purpose is to determine whether the purchase was authorized, the goods or services were received, and the amount billed is consistent with the agreed terms and what was delivered.

- **Authorization:** Was the purchase approved and within the permitted scope?
- **Receipt:** Did the business receive the quantity or service being billed?
- **Price and terms:** Do unit prices, discounts, freight and other charges agree with the order or an approved change?
- **Invoice integrity:** Is the invoice unique, complete and assigned to the correct supplier?
- **Tax and coding:** Are the tax fields and accounting codes appropriate for the transaction?

A match can be exact or can fall within a documented tolerance. Tolerances must be approved by the organization and should not be used to conceal repeated or material errors.

3. A Simple Three-Way Match

Example: A PO authorizes 40 boxes at AED 125 per box. The GRN confirms 40 boxes were accepted. The invoice bills 40 boxes at AED 125 each.

PO amount = 40 × AED 125 = AED 5,000
GRN quantity value = 40 × AED 125 = AED 5,000
Invoice amount before any additional charges = AED 5,000

The quantity and unit price agree. The reviewer should still confirm the supplier identity, invoice reference, tax treatment, additional charges and approval requirements before releasing the invoice.

4. Common Matching Exceptions

A. Quantity mismatch

A PO authorizes 120 units, the GRN records 100 units accepted, and the invoice bills 120 units. If the agreed unit price is AED 18:

Ordered value = 120 × AED 18 = AED 2,160
Accepted value = 100 × AED 18 = AED 1,800
Value relating to 20 units = AED 360

Investigate whether the remaining units are on a separate delivery, the GRN is incomplete, or the invoice includes goods not yet received. Do not automatically approve the unsupported quantity.

B. Price mismatch

A PO lists 25 units at AED 80 each, but the invoice uses AED 84 each. If 25 units were received:

PO value = 25 × AED 80 = AED 2,000
Invoice value = 25 × AED 84 = AED 2,100
Difference = AED 100

Check for an approved price amendment, a contract change, a supplier error or an incorrect PO price. Follow the formal change process; do not edit the PO merely to make the invoice match unless the change is valid and approved.

C. Damaged or rejected goods

A delivery can contain fewer accepted units than delivered units. The receiving record should distinguish accepted, rejected and pending-inspection quantities. A supplier may issue a replacement or credit note. Keep the evidence connected to the invoice so the payable amount reflects the approved outcome.

D. Freight and other charges

Freight, handling, customs-related costs or service charges may be valid even if not shown as a unit price. Check whether the PO or contract permits the charge, whether it has been calculated correctly, and whether it should be allocated to inventory, an expense or another account under the applicable accounting policy.

E. Service purchases

Services may not produce a physical GRN. Suitable evidence can include a signed service acceptance, approved timesheet, milestone certificate, project completion record or other authorized confirmation. The evidence should show what was completed and for which period.

5. Partial Deliveries and Open Purchase Orders

A PO may be fulfilled through multiple deliveries. The AP reviewer should compare the invoice quantity with the total quantity accepted to date and identify any open balance.

Example: A PO covers 200 units at AED 12.50 each. The first GRN records 120 units and the second records 60 units. The supplier invoices 180 units.

Total accepted = 120 + 60 = 180 units
Invoiced value = 180 × AED 12.50 = AED 2,250
Remaining open quantity = 200 − 180 = 20 units

The invoice may be supported for 180 units if the prices and other terms agree. The remaining 20 units stay open until delivered, cancelled or otherwise resolved under the purchasing process. A later invoice must be checked against the remaining quantity and earlier invoices to avoid overbilling.

6. Document Flow and Responsibilities

Requester

Defines the business need and confirms the requested specification.

Budget owner or approver

Confirms the need, budget and approval level.

Purchasing team

Selects or engages the supplier and issues the approved PO.

Receiving or service owner

Confirms what arrived or what work was completed, including exceptions.

Accounts payable

Checks invoice completeness, matches documents, codes and records the liability.

Payment approver

Reviews the proposed payment batch under delegated authority.

Finance reconciliation owner

Reviews supplier balances, unmatched items and period-end liabilities.

The same person may perform multiple roles in a small organization, but high-risk steps should receive independent review where possible. The person who creates a supplier should not be the only person validating new bank details and releasing payment.

7. What to Do When Documents Are Missing

- Missing PO: check the approved non-PO process and obtain documented authorization where required.
- Missing receipt: contact the receiving or service owner and obtain credible evidence before approving the billed quantity.
- Missing invoice detail: request a corrected invoice or supporting schedule from the supplier.
- Conflicting quantities: preserve the records and ask the responsible team to resolve the difference.
- Unclear tax treatment: refer the item to the designated tax or finance reviewer instead of guessing.
- Possible duplicate invoice: compare supplier, invoice number, date, amount, currency and prior payment status.

An exception should have an owner, a documented reason, a target resolution date and an outcome. Avoid informal workarounds that leave no audit trail.

8. Accounting Entries: Receipt and Invoice

The accounting entries depend on the accounting system and the organization's policy. A common inventory purchasing workflow uses a receipt or goods-received/invoice-received clearing account while waiting for the supplier invoice.

Illustration: inventory received before invoice

Goods costing AED 4,000 are received and accepted, but the invoice has not arrived. Under a system that recognizes inventory at receipt:

Debit Inventory AED 4,000
Credit Goods Received / Invoice Received Clearing AED 4,000

When the valid supplier invoice for AED 4,000 is recorded, the system may clear the receipt liability and establish the supplier payable:

Debit Goods Received / Invoice Received Clearing AED 4,000
Credit Accounts Payable AED 4,000

This is an illustrative workflow, not a universal posting rule. Some systems use different clearing accounts or recognize the liability at another point. Follow the entity's accounting framework and configured process, and ensure the same cost is not recognized twice.

9. AI-Assisted Matching

AI can help extract fields, compare lists, explain differences and draft exception notes. It may misread scanned documents, confuse similar invoice references, overlook context or infer information that is not present. Treat AI results as a review aid.

Prompt: compare three documents

“Compare the purchase order, receipt record and supplier invoice provided. Create a table showing item, PO quantity, accepted quantity, invoice quantity, PO unit price, invoice unit price, tax fields and differences. Mark missing fields as ‘not shown’. Do not invent values or approve the invoice.”

Prompt: exception summary

“Summarize each mismatch, calculate the amount involved using the figures shown, identify the document that needs confirmation, and draft a neutral question for the responsible team. Separate confirmed facts from assumptions.”

Prompt: duplicate screening

“Compare this invoice with the supplied invoice register. Flag exact and near matches by supplier, invoice number, date, currency and amount. Provide reasons for review; do not conclude fraud from a similarity alone.”

Use only AI tools approved for the information being processed. Avoid uploading confidential commercial or personal data to unapproved services. A human reviewer should verify extracted values against source documents and retain the approval record.

10. Practice Exercises

Exercise 1: Quantity and price

A PO authorizes 60 units at AED 32 each. The GRN confirms 54 units accepted. The invoice bills 60 units at AED 32. Calculate the PO value, accepted value and value needing investigation.

Exercise 2: Price variance

The PO price is AED 145 per unit for 16 units. The invoice price is AED 150 per unit for the same quantity. Calculate both totals and the difference.

Exercise 3: Partial deliveries

A PO covers 300 units. Three GRNs show 100, 85 and 75 accepted units. The invoice bills 260 units. How many units have been accepted, how many are invoiced, and what quantity remains unreceived under the PO?

Exercise 4: Clearing account

A company records inventory receipt of AED 2,750 before the invoice arrives. Write the illustrative receipt entry and the later entry to transfer the amount to accounts payable.

Exercise 5: Exception judgment

A supplier invoice agrees with the PO price but bills goods for which no receipt evidence is available. What should AP do before payment? Give at least three actions.

11. Answer Key

Answer 1

PO value = 60 × AED 32 = AED 1,920
Accepted value = 54 × AED 32 = AED 1,728
Value needing investigation = 6 × AED 32 = AED 192

Check for a later delivery or incomplete receipt record before deciding whether to dispute the invoice.

Answer 2

PO total = 16 × AED 145 = AED 2,320
Invoice total = 16 × AED 150 = AED 2,400
Difference = AED 80

The difference requires an approved explanation, such as a valid contract amendment, before it can be accepted.

Answer 3

Accepted units = 100 + 85 + 75 = 260
Invoiced units = 260
Remaining unreceived quantity = 300 − 260 = 40 units

The invoice quantity agrees with accepted quantity, assuming all records relate to the same PO and no prior invoice has already billed those units.

Answer 4

At receipt: Debit Inventory AED 2,750; Credit Goods Received / Invoice Received Clearing AED 2,750.
At invoice recognition: Debit Goods Received / Invoice Received Clearing AED 2,750; Credit Accounts Payable AED 2,750.

Answer 5

- Place the invoice on hold while the missing receipt evidence is investigated.
- Ask the receiving or service owner to confirm delivery or completion using an approved record.
- Check for a partial delivery, a separate receipt or a system posting delay.
- Document the outcome and obtain the required approval before releasing payment.

12. Purchasing and AP Checklist

- PO has valid approval and identifies the correct supplier.
- Receipt or service completion is evidenced by an authorized person.
- Invoice supplier, reference, date, currency and totals are checked.
- Quantities, prices, discounts and permitted extra charges agree or have approved exceptions.
- Tax fields and accounting coding are reviewed as appropriate.
- Duplicate checks and prior payment status are completed.
- Unresolved exceptions are held, assigned and documented.
- The posted liability agrees with supporting documents and later payment records.

Key Takeaways

- A PO shows what was authorized; a GRN shows what was received; an invoice shows what the supplier is charging.

- Three-way matching tests authorization, receipt and billing consistency.
- Partial deliveries and exceptions need careful tracking to avoid overpayment or duplicate billing.
- Missing documents should be resolved through a documented process, not guessed around.
- AI can accelerate comparisons, but source evidence and authorized human review remain essential.

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CHAPTER 25

ACCRUALS, PREPAYMENTS AND ACCOUNTING ADJUSTMENTS

Learning Objectives

By the end of this chapter, you should be able to:

- Explain why period-end adjustments may be needed before financial statements are prepared.
- Distinguish accrued expenses, prepaid expenses, accrued income and income received in advance.
- Prepare basic adjusting journal entries and calculate the amount relating to a reporting period.
- Understand reversing entries and how to avoid recording a cost or income twice.
- Use a practical month-end checklist and AI-assisted review prompts.

1. Why Accounting Adjustments Are Needed

Business activity and cash movement do not always happen at the same time. A business may use electricity in March but receive the bill in April, pay insurance before the coverage period begins, earn service income before collecting cash, or collect a customer advance before delivering the service. Adjustments help assign income and expenses to the appropriate reporting period and present assets and liabilities more accurately.

An adjustment is not a way to make results look better. It should reflect the underlying event, contract, evidence and applicable accounting policy. Estimates should have a reasonable basis and be reviewed when better information becomes available.

2. The Four Common Period-End Adjustments

A. Accrued expense

An accrued expense is a cost that has been incurred by the end of the reporting period but has not yet been invoiced or paid. Examples can include utilities consumed, professional services received or wages earned but not yet paid.

Example: At 31 March, a company estimates that it has used AED 3,600 of electricity, but the supplier's invoice has not arrived. If the estimate is supported and the cost belongs in March:

Debit Utilities Expense AED 3,600
Credit Accrued Expenses AED 3,600

When the invoice arrives, compare it with the estimate and adjust the accrual so the total cost is recorded once and in the correct period.

B. Prepaid expense

A prepaid expense occurs when a business pays for goods or services that will benefit future periods. The unexpired portion is generally treated as an asset until the benefit is used, subject to the relevant accounting policy.

Example: On 1 January, a company pays AED 12,000 for 12 months of insurance. Assuming coverage is even each month:

Monthly insurance cost = AED 12,000 ÷ 12 = AED 1,000

If the full payment was initially recorded as a prepaid asset, the March month-end adjustment for three months of coverage is:

Debit Insurance Expense AED 3,000
Credit Prepaid Insurance AED 3,000

After the adjustment, AED 3,000 has been recognized as expense and AED 9,000 remains as a prepaid asset for April through December.

C. Accrued income

Accrued income is income earned by the reporting date but not yet billed or collected, where recognition criteria have been met.

Example: A consultant completed approved work worth AED 5,000 by 31 March. The invoice will be issued in April. If the income is earned and measurable in March:

Debit Accrued Income / Contract Asset AED 5,000
Credit Service Revenue AED 5,000

The exact asset account depends on the contract and applicable accounting framework. An unconditional right to payment may be presented as a receivable; a conditional right may require a different presentation.

D. Income received in advance

A customer may pay before the business has delivered the goods or services. The amount is generally a liability until the relevant performance or delivery requirement has been satisfied.

Example: A customer pays AED 9,000 on 1 March for a three-month service covering March, April and May. If service is provided evenly and the entire receipt was initially recorded as a liability:

Monthly revenue = AED 9,000 ÷ 3 = AED 3,000

At 31 March, recognize the portion earned:

Debit Unearned Revenue / Customer Advance AED 3,000
Credit Service Revenue AED 3,000

The remaining AED 6,000 stays as a liability for the future service periods, assuming no other contract changes.

3. Summary Table

Adjustment type	What has happened?	Typical month-end direction
Accrued expense	Cost incurred; invoice/payment pending	Dr Expense; Cr Accrual
Prepaid expense	Cash paid; future benefit remains	Dr Expense; Cr Prepayment
Accrued income	Income earned; billing/collection pending	Dr Accrued asset; Cr Income
Income received in advance	Cash received before earning income	Dr Liability; Cr Income

4. Adjustments for Expenses Paid in Advance

A practical method

- Confirm what period the payment covers.
- Calculate the amount relating to the period already used.
- Compare the amount already expensed with the correct expense for the period.
- Post only the required adjustment, with evidence and a clear calculation.
- Reconcile the remaining prepaid balance to the supporting schedule.

Example: annual software subscription

A business pays AED 6,000 on 1 October for 12 months of software access. It records the payment initially as a prepaid asset. By 31 December, three months have elapsed.

Monthly cost = AED 6,000 ÷ 12 = AED 500
Expense for October–December = 3 × AED 500 = AED 1,500
Prepaid balance at 31 December = AED 6,000 – AED 1,500 = AED 4,500

The same method can be used for rent, insurance, subscriptions and maintenance contracts when the benefit is consumed evenly. If usage is uneven or the contract terms differ, use a method that reflects the actual benefit

received.

5. Accrual Estimates and Supporting Evidence

An accrual is often estimated because the final invoice is not available. The estimate should be reasonable, traceable and based on evidence such as a contract, purchase order, usage report, approved timesheet, service confirmation, historical pattern or supplier communication.

- Document the source and assumptions behind the estimate.
- Use the best information available at the reporting date.
- Avoid creating accruals simply to smooth profit or meet a target.
- Review the estimate when the invoice or actual amount becomes known.
- Reverse or clear the accrual under the approved process to prevent duplication.

If the estimate is materially uncertain, escalate it for review rather than presenting it as an exact amount.

6. Reversing Entries and Duplicate Expense Risks

Some accounting systems reverse selected accruals at the beginning of the next period. When the invoice is later posted through the ordinary AP process, the reversal helps prevent the expense from being recorded twice. Other systems clear the accrual directly when the invoice is posted. Follow one documented method consistently.

Illustration

March accrual for an unbilled service is AED 2,200.

31 March accrual: Debit Service Expense AED 2,200; Credit Accrued Expenses AED 2,200.

If the company reverses this entry on 1 April:

1 April reversal: Debit Accrued Expenses AED 2,200; Credit Service Expense AED 2,200.

When the actual April invoice of AED 2,250 is recorded:

Debit Service Expense AED 2,250; Credit Accounts Payable AED 2,250.

The net expense across the two periods reflects AED 2,200 in March and AED 50 additional cost in April. This illustration assumes the full service belongs to March and the reversal is processed correctly. If the invoice relates to a different period, the posting should reflect the actual service period.

7. Month-End Review of Adjustments

- Review open purchase orders and goods or services received but not invoiced.
- Review prepaid schedules and calculate the current-period expense.
- Identify income earned but not yet billed where recognition criteria are met.
- Review customer advances and release only the portion earned.
- Check recurring accruals against contracts, usage reports and later invoices.
- Review manual journals for support, correct period, account coding and approval.
- Reconcile adjustment schedules to the general ledger.
- Check that reversals, clearing entries and later invoices do not duplicate amounts.

8. Using AI to Assist with Adjustments

AI can help organize schedules, check arithmetic, summarize evidence and identify missing support. It should not invent an accrual, decide accounting treatment without context or post journals without authorized controls.

Prompt: prepaid schedule

“Using the payment date, total payment, coverage start date and coverage end date supplied, calculate the amount consumed by the reporting date and the remaining prepaid balance. Show the assumptions and arithmetic. If any date or value is missing, ask for it rather than guessing.”

Prompt: accrual review

“Review this proposed accrual schedule. Identify the supporting document, service period, estimate basis, journal entry, reversal or clearing plan, and any possible duplicate with posted invoices. Separate verified facts from items needing confirmation.”

Prompt: customer advances

“Compare these customer advances with the service-delivery records provided. Calculate the amount supported as earned by the reporting date and the amount remaining unearned. Do not infer that a service was delivered without evidence.”

Protect confidential financial data, use only approved AI tools, and verify every output against source records and the entity's accounting policy.

9. Practice Exercises

Exercise 1: Accrued expense

At 31 May, a company estimates that cleaning services worth AED 2,850 were received but not invoiced. Prepare the adjusting entry.

Exercise 2: Prepaid insurance

On 1 July, a business pays AED 18,000 for 12 months of insurance and initially records the full amount as a prepaid asset. Calculate the expense and prepaid balance at 30 September.

Exercise 3: Accrued income

A business completed approved services worth AED 4,400 by 31 December but will invoice the customer in January. Assuming the income is earned and measurable, prepare the adjusting entry.

Exercise 4: Customer advance

On 1 November, a customer pays AED 12,000 for a four-month service from November through February. The receipt was initially recorded as unearned revenue. Assuming service is delivered evenly, calculate the revenue earned and liability remaining at 31 December.

Exercise 5: Accrual reversal

A company accrues AED 1,700 for a December service. It reverses the accrual on 1 January and records the actual supplier invoice of AED 1,760 in January. Explain the expense effect across December and January.

10. Answer Key

Answer 1

Debit Cleaning Expense AED 2,850
Credit Accrued Expenses AED 2,850

Answer 2

Monthly insurance = AED 18,000 ÷ 12 = AED 1,500
Three months expense = 3 × AED 1,500 = AED 4,500
Prepaid balance = AED 18,000 – AED 4,500 = AED 13,500

Answer 3

Debit Accrued Income / Appropriate Receivable AED 4,400
Credit Service Revenue AED 4,400

Choose the asset account based on whether the right to payment is unconditional and on the applicable accounting framework.

Answer 4

Monthly revenue = AED 12,000 ÷ 4 = AED 3,000
November–December revenue = 2 × AED 3,000 = AED 6,000
Unearned liability at 31 December = AED 12,000 – AED 6,000 = AED 6,000

Answer 5

December expense is AED 1,700 through the accrual. The January reversal credits expense by AED 1,700, and the January invoice debits expense by AED 1,760. The net January expense effect is AED 60. Across both periods, AED 1,700 is assigned to December and AED 60 additional cost appears in January.

Key Takeaways

- Adjustments align recorded income, expenses, assets and liabilities with the relevant reporting period.
- Accrued expenses and accrued income relate to activity already incurred or earned but not yet invoiced or collected.
- Prepayments and customer advances involve cash movements that precede the related expense or revenue recognition.
- Estimates need evidence, consistent methods and later review.
- Reversals and invoice processing must be coordinated to avoid duplicate or omitted amounts.

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CHAPTER 26

FOREIGN CURRENCY TRANSACTIONS AND EXCHANGE DIFFERENCES

Learning Objectives

By the end of this chapter, you should be able to:

- Explain why foreign currency transactions must be translated into an entity's functional currency.
- Distinguish the transaction-date rate, closing rate and settlement-date rate.
- Calculate exchange gains and losses on receivables and payables.
- Understand how foreign-currency monetary balances are reviewed at period-end.
- Recognize the difference between a foreign currency and a foreign operation.
- Use AI to check arithmetic and organize exchange-rate evidence without replacing accounting judgment.

1. Basic Concepts

Foreign currency

A foreign currency is a currency other than the currency used for the relevant accounting measurement. A company may sell in euros, purchase equipment in US dollars, or pay a supplier in another currency while keeping its main accounts in UAE dirhams.

Functional currency

The functional currency is the currency of the primary economic environment in which an entity operates. It is determined from the entity's circumstances and applicable accounting requirements; it is not automatically the currency that management prefers or the currency used for every invoice.

Presentation currency

The presentation currency is the currency in which financial statements are presented. It may be the same as the functional currency or, where permitted, different. Translating an individual transaction and translating the financial statements of a foreign operation are related but distinct tasks.

Exchange rate

An exchange rate expresses the value of one currency in terms of another. For the examples in this chapter, rates are written as AED per one unit of foreign currency. Always confirm the quote direction before calculating.

2. The Main Exchange Rates Used

- **Transaction-date rate:** the rate at the date a transaction first qualifies for recognition. A practical approximation, such as a weekly or monthly average, may be suitable only when it reasonably approximates actual rates and rates have not fluctuated significantly.
- **Closing rate:** the exchange rate at the reporting date, commonly used to translate foreign-currency monetary items at period-end.
- **Settlement-date rate:** the rate when a receivable is collected or a payable is paid. Comparing this rate with the rate used to record the balance can produce an exchange difference.

Use a rate source and method that the entity has approved and can document. Keep the date, currency pair, quote direction, source and any approved conversion calculation with the accounting support.

3. Initial Recognition of a Foreign-Currency Transaction

A transaction denominated in a foreign currency is generally recorded in the entity's functional currency using the exchange rate at the transaction date, subject to the applicable accounting framework.

Example: A UAE company purchases materials for USD 2,000 when the approved rate is AED 3.67 per USD.

Functional-currency amount = USD 2,000 × AED 3.67 = AED 7,340

If the materials are purchased on credit, a simplified initial entry is:

Debit Inventory or Relevant Expense AED 7,340
Credit Accounts Payable AED 7,340

The debit account depends on whether the purchase is inventory, an asset or an expense. The example assumes the transaction qualifies for recognition at that date and excludes any separate tax or freight considerations.

4. Exchange Difference on a Supplier Payable

Suppose the USD 2,000 payable in the example above remains unpaid at the reporting date and the closing rate becomes AED 3.70 per USD.

Original payable = USD 2,000 × AED 3.67 = AED 7,340
Closing payable = USD 2,000 × AED 3.70 = AED 7,400
Increase in liability = AED 60

The liability has increased by AED 60. In this simplified case, the exchange difference is a loss:

Debit Foreign Exchange Loss AED 60
Credit Accounts Payable AED 60

The payable is now measured at AED 7,400 before settlement. The exact presentation and any exceptions depend on the applicable accounting framework.

5. Exchange Difference on a Customer Receivable

A receivable may produce the opposite direction of gain or loss. A company invoices a customer EUR 5,000 at AED 4.00 per EUR.

Initial receivable = EUR 5,000 × AED 4.00 = AED 20,000

At period-end, the closing rate is AED 3.95 per EUR:

Closing receivable = EUR 5,000 × AED 3.95 = AED 19,750
Decrease in receivable = AED 250

The receivable has fallen in functional-currency value, so the simplified entry records an exchange loss:

Debit Foreign Exchange Loss AED 250
Credit Accounts Receivable AED 250

For a foreign-currency receivable, a stronger foreign currency generally increases the functional-currency value of the receivable; a weaker foreign currency generally decreases it. For a payable, the direction is usually the reverse.

6. Settlement: Final Exchange Gain or Loss

When the balance is settled, compare the cash amount translated at the settlement-date rate with the carrying amount of the receivable or payable immediately before settlement.

Supplier payable settlement

A USD 2,000 payable is carried at AED 7,400. On payment, the rate is AED 3.68 per USD.

Cash paid = USD 2,000 × AED 3.68 = AED 7,360
Carrying payable = AED 7,400
Reduction in settlement cost = AED 40

The company pays AED 40 less than the liability's carrying amount. In this simplified example, it records an exchange gain:

Debit Accounts Payable AED 7,400
Credit Bank AED 7,360

Credit Foreign Exchange Gain AED 40

If the payable had not previously been remeasured at a reporting date, calculate the difference against its actual carrying amount instead. Do not count the same exchange movement twice.

7. Period-End Review of Monetary Items

Foreign-currency monetary items commonly include cash, receivables, payables, loans and other balances to be received or paid in a fixed or determinable number of currency units. Under common financial-reporting requirements, these balances are generally translated at the closing rate at each reporting date, with exchange differences usually recognized in profit or loss unless a specific rule requires different treatment.

Non-monetary items measured at historical cost are generally kept at the exchange rate on the transaction date. Non-monetary items measured at fair value use the rate at the date the fair value was measured. Confirm the applicable accounting standard and any exceptions before posting.

Period-end checklist

- Identify foreign-currency bank accounts, receivables, payables and loans.
- Confirm the original currency balances agree to subledgers and supporting records.
- Obtain the approved closing rate for each relevant currency.
- Verify the rate quote direction and calculate the functional-currency amount.
- Compare the new translated amount with the current carrying amount.
- Review and approve exchange gains or losses and reconcile the updated balance.
- Check that the next-period settlement does not duplicate an already recognized difference.

8. Worked Example: One Invoice Across Three Dates

A business receives an invoice for GBP 3,000. The transaction-date rate is AED 4.65 per GBP. At the reporting date, the rate is AED 4.70. The invoice is later paid when the rate is AED 4.68.

Initial payable = GBP 3,000 × AED 4.65 = AED 13,950
Closing payable = GBP 3,000 × AED 4.70 = AED 14,100
Period-end exchange loss = AED 150

At settlement:

Cash paid = GBP 3,000 × AED 4.68 = AED 14,040
Carrying payable before settlement = AED 14,100
Settlement exchange gain = AED 60

The net exchange loss over the transaction's life is AED 90: the AED 150 period-end loss is partly offset by the AED 60 gain on settlement. This is a simplified example with no fees, tax or other adjustments.

9. Common Errors to Avoid

- Multiplying by the exchange rate when the rate is actually quoted in the opposite direction.
- Using the invoice date for every transaction without considering when recognition criteria were met.
- Leaving foreign-currency monetary balances at an outdated rate at reporting date.
- Treating every exchange movement as a cash flow; remeasurement can be non-cash until settlement.
- Posting the settlement difference against the original invoice amount rather than the balance's current carrying amount.
- Using an average rate during a period of significant exchange-rate fluctuation without checking whether it is a reasonable approximation.

- Assuming all exchange differences receive identical accounting treatment in every circumstance.

10. Using AI to Assist with Foreign Currency Accounting

AI can help verify arithmetic, compare exchange-rate tables and prepare a reconciliation. It should not choose a rate source without instruction, infer a missing quote direction or decide complex accounting treatment without human review.

Prompt: exchange calculation

“For each transaction, identify the foreign-currency amount, exchange rate, quote direction, date and functional-currency amount. Show the formula. If the rate direction or date is missing, flag it rather than guessing.”

Prompt: period-end reconciliation

“Compare the foreign-currency ledger balances with the closing-rate schedule. Calculate the translated amount and exchange difference for each item, separate receivables from payables, and list records needing review. Do not post journals.”

Prompt: audit trail

“Prepare a concise support note listing the source balance, original rate, closing rate, translated amount, exchange difference, proposed entry and source of each rate. Mark assumptions clearly.”

Use approved tools, protect confidential financial information, and verify all calculations and accounting conclusions against original records and policy.

11. Practice Exercises

Exercise 1: Initial recognition

A company buys goods on credit for USD 1,500. The transaction-date rate is AED 3.66 per USD. Calculate the initial payable in AED.

Exercise 2: Payable remeasurement

The USD 1,500 payable from Exercise 1 remains unpaid. The closing rate is AED 3.70 per USD. Calculate the closing payable and the exchange gain or loss.

Exercise 3: Receivable remeasurement

A company has a receivable of EUR 2,400 initially recorded at AED 4.02 per EUR. The closing rate is AED 3.98 per EUR. Calculate the closing receivable and the exchange difference.

Exercise 4: Settlement

A foreign-currency payable is carried at AED 9,250 immediately before payment. The actual payment translates to AED 9,310. Calculate the exchange gain or loss and describe the direction of the journal entry.

Exercise 5: Rate control

An invoice shows JPY 100,000. A rate sheet says “0.024 AED per JPY 1,” but another spreadsheet says “JPY per AED.” What should the accountant verify before calculating the AED value?

12. Answer Key

Answer 1

USD 1,500 × AED 3.66 = AED 5,490

Answer 2

Closing payable = USD 1,500 × AED 3.70 = AED 5,550
Increase in liability = AED 5,550 − AED 5,490 = AED 60 loss

Simplified entry: Debit Foreign Exchange Loss AED 60; Credit Accounts Payable AED 60.

Answer 3

Initial receivable = EUR 2,400 × AED 4.02 = AED 9,648
Closing receivable = EUR 2,400 × AED 3.98 = AED 9,552
Decrease = AED 96 loss

Simplified entry: Debit Foreign Exchange Loss AED 96; Credit Accounts Receivable AED 96.

Answer 4

The business pays AED 9,310 to settle a liability carried at AED 9,250, so the extra settlement cost is AED 60. This is an exchange loss. Simplified entry: Debit Accounts Payable AED 9,250; Debit Foreign Exchange Loss AED 60; Credit Bank AED 9,310.

Answer 5

Confirm the quote direction, the date the rate applies to, the currency pair, the source and whether the rate is approved for the accounting purpose. If 0.024 AED per JPY is the correct rate, JPY 100,000 would translate to AED 2,400. Do not use the conflicting spreadsheet until its quote convention is confirmed.

Key Takeaways

- Translate foreign-currency transactions into the entity's functional currency using a suitable transaction-date rate.
- Review foreign-currency monetary balances at reporting date using the applicable closing rate.
- Exchange gains and losses depend on whether the balance is a receivable or payable and how the rate changes.
- Settlement calculations should begin with the balance's current carrying amount.
- Rate sources, quote direction, calculations and journal approvals should be documented.
- AI can help check and organize the work, but the accountant remains responsible for verification.

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CHAPTER 27

INTERCOMPANY TRANSACTIONS AND CONSOLIDATION BASICS

Learning Objectives

By the end of this chapter, you should be able to:

- Explain why group companies may transact with one another.
- Record basic intercompany sales, purchases, loans and service charges.
- Understand why group financial statements remove internal balances and transactions.
- Calculate basic unrealized profit in inventory held within a group.
- Recognize common reconciliation differences between related entities.
- Use AI to compare intercompany schedules while keeping accounting judgments under human control.

1. What Is an Intercompany Transaction?

An intercompany transaction takes place between entities that belong to the same corporate group or are otherwise related under the relevant reporting rules. Examples include one group company selling inventory to another, lending cash, charging for shared staff or IT services, renting premises, or paying an expense on behalf of another entity.

Each legal entity may need to record its own transaction in its own books. If the entities prepare consolidated financial statements, the group then considers which internal balances and results must be eliminated under the applicable accounting framework.

Illustrative group: ParentCo owns all of SubCo. ParentCo sells goods to SubCo for AED 10,000. ParentCo records a sale and a receivable; SubCo records a purchase or inventory and a payable. Those entries are appropriate in the separate books, but the group has not sold goods to an outside customer merely because the goods moved between its own entities.

2. Separate-Entity Entries

Example A: Intercompany sale on credit

ParentCo sells inventory to SubCo for AED 10,000. Ignore tax and cost of goods sold for this first illustration.

ParentCo:

Debit Intercompany Receivable AED 10,000
Credit Intercompany Sales AED 10,000

SubCo:

Debit Inventory or Purchases AED 10,000
Credit Intercompany Payable AED 10,000

The precise debit account in SubCo depends on whether the goods remain in inventory or have been sold or consumed, and on the accounting system used.

Example B: Intercompany service charge

ParentCo charges SubCo AED 3,000 for approved shared IT support. In ParentCo's books, it may record a receivable and service income; in SubCo's books, it may record a payable and an IT expense or another appropriate cost.

ParentCo: Dr Intercompany Receivable AED 3,000; Cr Service Income AED 3,000
SubCo: Dr IT Expense AED 3,000; Cr Intercompany Payable AED 3,000

The group treatment may differ from the separate-company treatment because the service charge is internal to the group.

3. Why Consolidation Eliminations Are Needed

Consolidated financial statements present the parent and controlled subsidiaries as one economic group. Amounts arising only from transactions between group members are generally removed so the group does not report internal activity as if it were activity with an outside party.

- Intercompany receivables and payables are eliminated against each other when they relate to the same amount and period.
- Intercompany sales and purchases or related expenses are eliminated so internal turnover is not counted as external group revenue or expense.
- Intercompany dividends are generally eliminated in consolidation, subject to the relevant circumstances and accounting rules.
- Profit still included in inventory or another asset held within the group may need to be eliminated until the asset is sold outside the group or consumed, depending on the applicable rules.

Eliminations are consolidation adjustments. They do not ordinarily mean that either legal entity should erase a valid transaction from its own ledger.

4. Eliminating an Intercompany Balance

At period-end, ParentCo shows an intercompany receivable of AED 10,000 and SubCo shows a payable of AED 10,000. If the balances match and qualify for elimination, a simplified consolidation entry is:

Debit Intercompany Payable AED 10,000
Credit Intercompany Receivable AED 10,000

This removes both the internal asset and internal liability from the consolidated statement of financial position. If the balances do not match, investigate the difference before finalizing the elimination.

Common causes of differences

- One entity recorded the invoice while the other has not yet posted it.
- The entities used different cut-off dates or accounting periods.
- A payment is recorded by one entity but has not reached the other entity's books.
- The invoice amount, currency, tax treatment or exchange rate differs.
- A credit note, debit note or allocation was posted by only one entity.
- One entity used an incorrect related-party or intercompany account.

Prepare a reconciliation by counterparty, document reference, currency, transaction date and amount. Assign each difference an owner and a resolution date.

5. Eliminating Internal Sales and Purchases

ParentCo sells goods to SubCo for AED 10,000. In a simplified example, the goods have all been sold by SubCo to external customers by period-end. The group should not report the internal sale as group revenue.

Simplified consolidation elimination:
Debit Intercompany Sales AED 10,000
Credit Purchases / Cost of Sales AED 10,000

The exact consolidation accounts and entries depend on the group's accounting system and how the receiving entity recorded the goods. The objective is to remove the internal revenue and corresponding internal purchase or cost effect, while preserving genuine transactions with external parties.

6. Unrealized Profit in Inventory

A group member may sell inventory to another group member at a profit. If the receiving company still holds those goods at reporting date, some or all of the internal profit may remain inside the group's inventory value. From the group's perspective, that profit has not yet been earned through a sale to an external customer.

Worked example

ParentCo sells goods to SubCo for AED 10,000. The goods cost ParentCo AED 7,000. SubCo still holds all the goods at period-end.

Internal selling price = AED 10,000
Original group cost = AED 7,000
Internal profit = AED 10,000 − AED 7,000 = AED 3,000

The group inventory should not include the AED 3,000 internal profit while the goods remain within the group. A simplified consolidation adjustment removes the unrealized profit from inventory and the relevant group profit measure. The exact debit and credit depend on the inventory and profit accounts used and on the reporting framework.

If only part of the goods remains

Suppose 40% of the goods remain in SubCo's inventory and the units are uniform in cost and margin.

Unrealized profit = AED 3,000 × 40% = AED 1,200

The consolidation adjustment is based on the portion still held inside the group, not the portion already sold to external customers. If the goods are not uniform, calculate using the actual units or cost layers remaining.

7. Intercompany Loans and Interest

Group companies may lend money to each other. The lender records a receivable or loan asset and interest income; the borrower records a loan liability and interest expense. The group generally eliminates the internal loan balance and related internal interest income and expense on consolidation, subject to applicable accounting requirements.

Example: ParentCo lends SubCo AED 50,000. The simplified entries at inception are:

ParentCo: Debit Intercompany Loan Receivable AED 50,000; Credit Bank AED 50,000
SubCo: Debit Bank AED 50,000; Credit Intercompany Loan Payable AED 50,000

If interest of AED 1,000 is accrued by period-end:

ParentCo: Debit Interest Receivable AED 1,000; Credit Interest Income AED 1,000
SubCo: Debit Interest Expense AED 1,000; Credit Interest Payable AED 1,000

The internal balances and income/expense generally require matching and elimination for consolidation. Check the loan agreement, currency, interest terms, legal-entity records and any relevant tax or transfer-pricing requirements separately.

8. Intercompany Reconciliation Process

- Confirm the legal entity and counterparty pair.
- Agree the reporting date, currency and account mapping.
- Exchange or extract both entities' intercompany transaction listings.
- Match invoices, credit notes, payments, loans, interest and service charges by reference.
- Separate exact matches from timing differences, disputed items and unexplained differences.
- Confirm foreign-currency balances and exchange-rate treatment where relevant.
- Obtain confirmation from both entities for material balances.

- Resolve or document open differences before consolidation sign-off.

A net balance alone can hide offsetting errors. Where practical, match individual transactions and confirm the nature of material items rather than comparing only total debits and credits.

9. Using AI to Support Intercompany Accounting

AI can help compare transaction lists, find likely matching references, summarize differences and draft reconciliation notes. It should not automatically decide which entity is correct, create unsupported entries or approve a consolidation adjustment.

Prompt: reconcile two entity schedules

“Compare the ParentCo and SubCo intercompany schedules. Match by counterparty, currency, invoice reference, date and amount. Show exact matches, likely matches, items found on one side only, and amount differences. Do not force matches when references or values are ambiguous.”

Prompt: unrealized profit

“Using the transfer price, original group cost and quantity still held within the group, calculate the unrealized internal profit. Show each formula and identify assumptions that need confirmation.”

Prompt: consolidation checklist

“Create a checklist of intercompany balances, sales, purchases, loans, interest and dividends that may require elimination. Separate items supported by the data from items needing review. Do not generate final journal entries without the group's approved accounting policy.”

Use only approved tools for confidential group information. Verify AI suggestions against the ledgers, contracts and consolidation policy.

10. Practice Exercises

Exercise 1: Balance elimination

ParentCo records an intercompany receivable of AED 8,600. SubCo records the matching payable of AED 8,600. Write the simplified consolidation elimination.

Exercise 2: Internal sales

ParentCo sells goods to SubCo for AED 15,000. All goods are sold by SubCo to outside customers before period-end. What internal amounts should be considered for elimination in the consolidated results?

Exercise 3: Unrealized profit

Goods cost ParentCo AED 9,000 and are sold to SubCo for AED 12,000. At period-end, 25% of the goods remain unsold outside the group. Calculate the internal profit and the unrealized portion.

Exercise 4: Intercompany interest

ParentCo records AED 2,400 interest income due from SubCo. SubCo records AED 2,400 interest expense and an equal payable. What should happen to these matching internal amounts in consolidation, subject to applicable rules?

Exercise 5: Reconciliation difference

ParentCo records an invoice for AED 4,750, but SubCo has no matching entry. List four checks before deciding how to resolve the difference.

11. Answer Key

Answer 1

Debit Intercompany Payable AED 8,600
Credit Intercompany Receivable AED 8,600

Answer 2

Consider eliminating the AED 15,000 internal sales and the corresponding internal purchase or cost amount recorded by SubCo. Because the goods have all been sold externally, no internal profit remains in ending inventory for these goods, assuming no other group-held asset remains.

Answer 3

Internal profit = AED 12,000 − AED 9,000 = AED 3,000
Unrealized profit = AED 3,000 × 25% = AED 750

The AED 750 internal profit remains in group-held inventory and is subject to a consolidation adjustment under the applicable framework.

Answer 4

Eliminate the matching internal interest income and expense, and the related internal interest receivable and payable if those balances remain outstanding and qualify for elimination. Reconcile them first.

Answer 5

- Check whether SubCo received the invoice and whether it is awaiting approval or posting.
- Compare invoice number, date, amount, currency and tax fields.
- Check cut-off, delivery or service evidence and whether a credit note exists.
- Review payment timing, account mapping and whether the invoice belongs to the correct entity.
- Document the outcome and obtain confirmation from both entities.

Key Takeaways

- Separate legal entities record their own valid transactions, while consolidation presents the group as one economic entity.
- Matching intercompany receivables and payables are generally eliminated in consolidation.
- Internal sales and related purchases or expenses are generally removed from consolidated results.
- Internal profit remaining in group-held inventory may need to be eliminated until realized through an external sale.
- Reconciliation quality depends on transaction-level matching, clear ownership and documented resolution.
- AI can accelerate matching and exception summaries, but accounting policy and human review remain essential.

Originality and Learning Note

This chapter was drafted independently for this learning series. Its explanations, fictional group examples, calculations, exercises and answer keys were created for this chapter rather than intentionally copied from a named author, book or website. It uses established accounting concepts and standard terminology, so familiar terms and general methods may naturally resemble material elsewhere. No claim is made that every phrase or idea is globally unique. Consolidation requirements can be complex; apply the accounting framework relevant to the group and obtain qualified review for material or unusual transactions.

CHAPTER 28

FINANCIAL ACCOUNTING FOR SMALL BUSINESSES AND MONTH-END REPORTING

Learning Objectives

After completing this chapter, you should be able to:

- Organize routine accounting records for a small business.
- Distinguish cash movement from income and expense recognition.
- Prepare a practical month-end close checklist.
- Identify common accruals, prepayments, depreciation and inventory adjustments.
- Review basic financial reports and investigate unusual movements.
- Use AI to organize and review accounting information without treating its output as final approval.

1. A Simple Accounting Structure for a Small Business

A small business does not need a complicated chart of accounts to begin keeping useful records. It needs a consistent structure that reflects how it earns revenue, incurs costs, owns assets and settles obligations. The chart of accounts should be detailed enough for decisions and reporting, but not so detailed that similar transactions are classified differently each month.

Typical account groups

- **Assets:** bank, petty cash, trade receivables, inventory, deposits, equipment and other resources.
- **Liabilities:** supplier payables, accrued expenses, taxes payable, payroll liabilities and borrowings.
- **Equity:** owner contributions, retained earnings and drawings where applicable.
- **Income:** sales, service revenue and other earned income.
- **Expenses:** rent, salaries, utilities, delivery, software, repairs, insurance and depreciation.

Use separate accounts when the distinction helps management, tax compliance or financial reporting. Avoid creating a new account for every supplier when supplier-level detail belongs in the accounts payable subledger.

2. Source Documents and Transaction Discipline

Reliable reports begin with reliable source records. Each transaction should have enough evidence to explain what happened, who was involved, when it occurred, how much it was for and why it belongs to the business.

- Sales invoices, receipts and approved credit notes support sales activity.
- Supplier invoices, purchase orders and receiving records support purchases and costs.
- Bank statements and payment confirmations support cash movements.
- Payroll summaries support salary and related liability entries.
- Contracts, lease schedules and loan agreements support recurring or financing entries.
- Approvals and explanations should be retained for unusual, manual or material journal entries.

A document is not automatically correct because it exists. Check the entity, date, amount, currency, business purpose, approval and accounting period. Follow the organization's retention, privacy and access-control rules.

3. Cash Movement Is Not the Same as Profit

Cash accounting and accrual accounting can produce different results in the same month. Under accrual accounting, revenue is generally recorded when earned and expenses when incurred, subject to the applicable accounting framework. Cash may be received or paid earlier or later.

Example: customer pays in advance

A customer pays AED 6,000 in December for services to be delivered in January. If the service has not yet been provided, the December receipt may initially be recorded as a liability for advance consideration rather than December revenue.

December receipt: Debit Bank AED 6,000
Credit Customer Advances / Contract Liability AED 6,000

When the service is provided in January, recognize revenue in accordance with the applicable policy and evidence of performance.

Example: unpaid December utility bill

The business uses utilities in December but receives the invoice in January. If the amount can be reasonably estimated and recognition criteria are met, an accrual may be needed in December.

December adjustment: Debit Utilities Expense AED 900
Credit Accrued Expenses AED 900

The estimate should be supported by available information and reviewed when the final invoice arrives.

4. A Practical Month-End Close

Month-end closing turns daily bookkeeping into a set of reviewed financial reports. A consistent calendar, assigned responsibilities and documented evidence help reduce late adjustments and recurring errors.

- Collect invoices, receipts, bank records, payroll data and approved expense claims.
- Confirm all sales, purchases, receipts and payments are recorded in the correct period.
- Reconcile each bank account and petty-cash balance.
- Reconcile customer balances, supplier balances and other material subledgers to the general ledger.
- Review inventory quantities, valuation and unusual stock movements where relevant.
- Update fixed-asset additions, disposals and depreciation.
- Review accruals, prepayments, customer advances, supplier advances and deferred items.
- Reconcile loans, interest, payroll liabilities and applicable tax control accounts.
- Review intercompany balances if the business belongs to a group.
- Inspect the trial balance for unusual balances, duplicates, missing entries and unexpected movements.
- Prepare profit and loss, statement of financial position and cash-flow information as required.
- Document review, post approved adjustments and lock the period under the business's controls.

Not every small business needs every step every month. Tailor the checklist to its activity, materiality, reporting obligations and systems, but document why a step is not applicable.

5. Worked Example: Month-End Adjustments

A small service company has the following items to review at 31 March:

- Rent of AED 4,000 was paid on 1 March for March only.
- A software subscription of AED 1,200 covers April through June and was paid on 1 April.
- Estimated utilities used in March but not invoiced are AED 650.
- Monthly depreciation for office equipment is AED 500.

How to think through the items

The March rent is a March expense if it relates entirely to March. The software payment on 1 April is normally recorded in April, with a prepayment allocation only if the payment was actually made or recognized before the reporting date. The March utilities may require an accrual. Depreciation is recorded for March if the equipment is available for use and the business's depreciation policy requires it.

Utilities accrual: Debit Utilities Expense AED 650; Credit Accrued Expenses AED 650
Depreciation: Debit Depreciation Expense AED 500; Credit Accumulated Depreciation AED 500

This example illustrates period matching, not a substitute for reviewing contracts, invoice dates, service periods and the business's accounting policy.

6. Reconciliation and Review

Reconciliation compares two records that should agree, such as a bank statement and the cash ledger, a customer statement and the receivables ledger, or an asset register and the general ledger.

A good reconciliation explains

- The opening balance, activity and closing balance on each side.
- Timing differences that are expected to clear.
- Errors, missing postings, duplicates or incorrect classifications.
- Unusual items, stale reconciling items and amounts requiring follow-up.
- Who prepared and reviewed the reconciliation, and when.

Do not force two balances to agree by posting an unexplained adjustment. Investigate the underlying records and retain evidence for any correcting entry.

7. Reviewing the Small-Business Reports

Profit and loss

Compare revenue, gross profit, operating expenses and net profit with the prior month, budget and a relevant prior-year period. Investigate changes rather than assuming that a higher sales figure automatically means stronger performance.

Statement of financial position

Review cash, receivables, inventory, payables, taxes payable, borrowings and equity. Look for negative balances that do not make sense, old receivables, unusual suspense balances and liabilities that may have been omitted.

Cash-flow view

Ask whether the business can meet near-term commitments. Profit may be positive while cash is tight because customers have not paid, inventory has increased, suppliers require faster payment or loan principal is due.

Simple measures

Gross margin % = Gross Profit ÷ Revenue × 100
Current ratio = Current Assets ÷ Current Liabilities
Receivables days (approx.) = Average Trade Receivables ÷ Credit Sales × Days in Period

Use consistent periods and definitions when comparing ratios. A ratio is a signal for investigation, not a conclusion on its own.

8. Common Month-End Problems

- Posting a transaction based only on the bank date without checking when the underlying goods or service relate to.
- Recording the same supplier invoice from both an email attachment and an accounts-payable import.
- Leaving old customer advances or supplier advances unreconciled.
- Using suspense accounts without an owner or resolution deadline.
- Failing to accrue material costs because the invoice has not arrived.
- Posting a manual journal without clear support, approval or a description.
- Changing account mappings without checking how reports are affected.
- Treating AI-generated classifications or summaries as verified accounting records.

9. AI as a Month-End Assistant

AI can help draft checklists, classify transactions for review, summarize variances, identify possible duplicates and turn reconciliation notes into an action list. It should not replace evidence, authorized approvals, accounting policy or a responsible review.

Prompt: variance review

“Compare the current month and prior month by account. Calculate the absolute and percentage movement where meaningful. Rank material changes and propose possible questions to investigate. Do not invent explanations when the data does not support them.”

Prompt: transaction coding

“For each transaction, suggest a candidate account based only on the supplied description and chart of accounts. Show the reason, confidence and missing information. Flag uncertain items for human review rather than forcing a classification.”

Prompt: close checklist

“Create a month-end checklist from these accounts and business activities. Include evidence needed, preparer, reviewer, due date, status and unresolved issue. Mark unknown information as ‘to be confirmed’.”

Remove unnecessary personal, bank, payroll and customer information before using an AI service. Follow company policies and applicable privacy obligations.

10. Practice Exercises

Exercise 1: Advance receipt

A customer pays AED 4,500 in November for work scheduled for December. At the November reporting date, no work has been performed. What is the initial accounting consideration?

Exercise 2: Accrued expense

At 31 May, electricity used during May is estimated at AED 720 but the invoice has not arrived. Write the illustrative adjusting entry if accrual recognition is appropriate.

Exercise 3: Depreciation

A business records monthly depreciation of AED 350. State the debit and credit for the monthly entry.

Exercise 4: Ratio

Current assets are AED 42,000 and current liabilities are AED 28,000. Calculate the current ratio.

Exercise 5: Review

Revenue rose 18% this month, but cash decreased and receivables increased sharply. Give three questions a reviewer should ask.

11. Answer Key

Answer 1

If the work has not been performed and the payment is an advance for future services, record bank and a customer advance/contract liability initially, then recognize revenue as the service is delivered under the applicable policy.

Debit Bank AED 4,500
Credit Customer Advances / Contract Liability AED 4,500

Answer 2

Debit Electricity Expense AED 720
Credit Accrued Expenses AED 720

Answer 3

Debit Depreciation Expense AED 350
Credit Accumulated Depreciation AED 350

Answer 4

Current ratio = AED 42,000 ÷ AED 28,000 = 1.5:1

Answer 5

- Have the additional sales been invoiced and collected, or are customers paying more slowly?
- Did sales terms, customer mix, credit limits or collection follow-up change?
- Did the business make large supplier payments, buy inventory, repay debt or incur other cash outflows?
- Are the revenue increase and receivables movement supported by valid transactions and correct cut-off?

Key Takeaways

- A useful accounting system is consistent, supported by source documents and proportionate to the business.
- Cash received or paid does not always determine when revenue or expense belongs in the accounts.
- A repeatable month-end close improves completeness, accuracy and accountability.
- Reconciliations should explain differences instead of hiding them.
- Financial reports are more useful when compared with budgets, prior periods and cash needs.
- AI can assist with organizing and analyzing information, but it must not replace evidence and review.

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CHAPTER 29

ACCOUNTING SOFTWARE, ERP SYSTEMS AND AI AUTOMATION

Learning Objectives

By the end of this chapter, you should be able to:

- Explain how accounting software and ERP systems support transaction processing.
- Describe the path from source document to ledger and financial report.
- Plan basic system controls, user access and approval workflows.
- Recognize automation opportunities and common implementation risks.
- Use AI as a controlled assistant for accounting tasks while preserving human review.

1. What Accounting Software Does

Accounting software organizes financial transactions so that a business can record activity, maintain balances, reconcile accounts and prepare reports. The system does not make a transaction valid simply because someone enters it. Good results still depend on accurate source information, suitable account mappings, appropriate permissions and review.

Common functions

- **General ledger:** maintains the accounts used to produce financial statements.
- **Accounts receivable:** tracks customer invoices, receipts, credit notes and outstanding balances.
- **Accounts payable:** tracks supplier invoices, credit notes, payments and amounts due.
- **Cash and bank:** records cash activity and supports bank reconciliation.
- **Inventory:** tracks quantities and values when the business holds stock.
- **Fixed assets:** records asset purchases, depreciation, transfers and disposals.
- **Payroll:** records salary costs and related liabilities where the system supports it.
- **Reporting:** turns posted transactions into ledgers, trial balances and management reports.

2. From Business Event to Financial Report

A useful way to understand a system is to follow one transaction from beginning to end. Each step should preserve enough information to trace the final number back to its supporting evidence.

- Business event: goods are received, a service is delivered, or a payment is made.
- Evidence: invoice, receiving record, contract, receipt or bank confirmation.
- Entry: a user or approved integration records the transaction.
- Validation: required fields, supplier/customer status, dates, tax codes and account mappings are checked.
- Approval: transactions above defined thresholds or of a sensitive type are reviewed by an authorized person.
- Posting: approved entries update the relevant subledger and general ledger.
- Reconciliation: balances are compared with independent records.
- Reporting: reviewed balances appear in financial and management reports.

An audit trail should make it possible to identify who created, changed, approved and posted a transaction, when each action occurred, and which supporting record was used.

3. Understanding ERP Systems

An Enterprise Resource Planning (ERP) system connects processes that might otherwise be managed in separate applications. Depending on the product and configuration, purchasing, inventory, sales, projects, payroll and finance may share data and workflows.

Example: purchase-to-payment

A department requests materials. Purchasing creates an approved purchase order. The receiving team records what arrived. Accounts payable checks the supplier invoice against the order and receipt. An authorized user approves the payable, and the payment is recorded when made. Each stage contributes evidence and control.

Why shared data matters

- A supplier master can reduce repeated data entry and inconsistent supplier names.
- Inventory receipts can update stock records and inform the payable review.
- Approved sales can flow into receivables and revenue accounts.
- Department or project codes can support more useful cost reporting.
- A common calendar and period status can reduce inconsistent reporting cut-off.

Integration does not eliminate errors. A wrong tax code, unit of measure, exchange rate, account mapping or master-data record can spread across several modules. Test changes and reconcile important interfaces.

4. Chart of Accounts, Master Data and Mapping

A chart of accounts defines the accounts available for recording financial activity. Master data includes recurring records such as customers, suppliers, products, tax codes, cost centers and payment terms. Mapping rules connect transaction types to ledger accounts.

Practical setup principles

- Use account names and codes that staff can distinguish consistently.
- Define which fields are mandatory for each transaction type.
- Keep customer, supplier and employee records appropriately separated.
- Restrict creation or amendment of bank details and sensitive master data.
- Document tax codes and account mappings, and have changes reviewed.
- Avoid excessive account duplication; use dimensions or reporting tags where appropriate.

Before changing a mapping, test representative transactions in a safe environment if available. Confirm the resulting journal, tax treatment, subledger balance and reports.

5. Access, Approvals and Separation of Duties

System controls should reflect the risk of the activity. The same person should not automatically have unrestricted ability to create a supplier, change its bank account, approve an invoice and release payment.

- Assign access according to job duties and least privilege.
- Use separate preparation and approval for material or sensitive transactions where practical.
- Require independent confirmation for supplier bank-detail changes.
- Review user access when staff change roles or leave.
- Use individual accounts rather than shared logins where the system supports them.
- Review privileged access and retain logs for sensitive changes.
- Create a documented alternative review for small teams where full separation is not possible.

A control that exists only in a policy document may not operate in practice. Test it periodically and retain evidence that the review occurred.

6. Automation Opportunities

Automation is most useful when a process is repeated, rules are clear, inputs are sufficiently consistent and exceptions can be routed to a person. Automating a poorly understood process can make errors happen faster.

Potential candidates

- Importing bank transactions for matching and review.
- Routing supplier invoices for approval based on amount and department.
- Checking invoice numbers for possible duplicates.
- Sending reminders for overdue customer balances.
- Preparing recurring journal templates for authorized review.
- Refreshing routine reports and producing exception lists.
- Matching purchase orders, receipt records and supplier invoices.

Design each workflow

For each proposed automation, define the trigger, required inputs, business rules, output, exception route, approval point, audit evidence, owner and rollback plan. Record how failures are detected and who resolves them.

7. AI Assistance for Accounting

AI can assist with summarizing transaction descriptions, suggesting account codes, drafting explanations of variances, creating test cases and converting a procedure into a checklist. It can misunderstand context, overlook an exception or confidently suggest an incorrect classification.

Example: suggested coding

A transaction description says “annual software renewal.” An AI assistant might suggest a software expense or a prepayment, depending on the service period, amount and accounting policy. The description alone may not provide enough evidence to decide. A person should check the contract, invoice date, coverage period, materiality and applicable policy.

Useful prompt pattern

Task + supplied data + permitted rules + required output + uncertainty handling + review requirement

Example prompt: “Using only the attached approved chart of accounts and transaction descriptions, suggest a possible account for each item. Give a short reason, flag missing evidence and mark uncertain items ‘Review required.’ Do not invent invoice details or post entries.”

Data protection

Do not submit passwords, authentication codes, full payment credentials or unnecessary personal data to an AI tool. Use only approved services and follow company policy, confidentiality duties and applicable law. Check whether the tool retains submitted information before using business records.

8. Testing Before Go-Live

A new accounting system, workflow or configuration change should be tested before it becomes part of live processing. The test plan should include ordinary transactions and realistic exceptions.

- Confirm opening balances and key master data against approved records.
- Test sales, purchases, receipts, payments, credit notes and journal entries.
- Test tax codes, currencies, exchange rates and period cut-off where relevant.
- Test approval limits, blocked users and sensitive master-data changes.
- Test duplicate, missing-field, rejected and failed-integration scenarios.
- Reconcile test subledgers to the general ledger and compare expected reports.
- Document defects, owners, fixes, retesting and approval to proceed.

A successful demonstration is not enough. Test whether the process remains correct when data is incomplete, an approval is rejected or an interface fails.

9. Mini Case: Invoice Automation

A distributor receives 120 supplier invoices each month. Staff manually enter invoice details. The business wants an automated process that extracts key fields and proposes ledger coding.

A controlled design

- Capture supplier, invoice number, date, currency, net amount, tax and gross amount.
- Check required fields and compare supplier identity with the approved supplier list.
- Flag possible duplicates using supplier, invoice number, amount and date.
- Compare with purchase-order and receipt data where the process requires it.
- Suggest an account code only from an approved mapping list.
- Route missing information, mismatches and high-risk items to a reviewer.
- Require authorized approval before posting or payment.
- Retain the original document, extracted values, corrections, decisions and processing log.

Measure results using error rate, exception rate, processing time, duplicate detections, rework and overdue invoices. A faster workflow is not necessarily better if it increases incorrect postings or missed exceptions.

10. Implementation and Change Management

- Map the current process before selecting an automation tool.
- Agree on process owners, data definitions and approval responsibilities.
- Clean duplicate or outdated master records before migration.
- Define opening balances, historical data requirements and reconciliation tests.
- Train users with examples from their real responsibilities.
- Provide a way to report problems and obtain support.
- Review performance after launch and update procedures when risks or business needs change.

Keep the process understandable. A workflow that only one person can troubleshoot creates operational risk.

11. Practice Exercises

Exercise 1: ERP flow

A supplier invoice is entered and paid without checking whether the goods were received. Identify one control that could reduce this risk.

Exercise 2: AI coding

An AI tool classifies an annual insurance payment as a full current-month expense, but the policy covers the next twelve months. What should the accountant do before accepting the suggestion?

Exercise 3: Duplicate invoices

Two invoices have the same supplier and invoice number but different file names. What should the system do?

Exercise 4: User access

One employee can create suppliers, edit supplier bank details, approve invoices and release payments. Explain the risk and suggest a practical improvement.

Exercise 5: Automation metrics

An automation reduces average processing time but increases the number of incorrect postings. Name two measures the business should monitor and explain why.

12. Answer Key

Answer 1

Require a receipt record or documented exception review, and match the invoice to the purchase order and receipt where applicable before approval.

Answer 2

Review the policy period, invoice, amount, accounting policy and materiality. If the payment relates to future periods, determine whether a prepayment and periodic expense allocation are required. Correct the AI suggestion and retain support.

Answer 3

Flag the invoices as a possible duplicate and stop automatic posting or payment until a reviewer checks the original documents and transaction history.

Answer 4

The employee could create a fictitious supplier, divert payments and approve the resulting transaction. Separate supplier setup, bank-detail amendment, invoice approval and payment release where practical; independently verify changes and review system logs.

Answer 5

Monitor the incorrect-posting rate and exception/rework rate alongside processing time. Also track the value and type of errors, because a small number of high-value mistakes may matter more than many low-value ones.

Key Takeaways

- Accounting software records and organizes activity; it does not replace evidence or judgment.
- ERP integration can improve visibility while allowing data errors to spread if controls are weak.
- Access, approval, audit trails and reconciliation should be designed into the process.
- Automate clear, repeatable work and route uncertain cases to qualified reviewers.
- Test normal and exception scenarios before go-live and after significant changes.
- AI suggestions require verification, suitable data protection and accountable human approval.

Originality and Learning Note

This chapter was drafted independently for this learning series. The fictional case, workflow design, prompts, exercises and answer key were created for this chapter rather than intentionally copied from a named author, textbook or website. Accounting software and internal-control practices use established concepts and standard terminology, so common phrases may naturally resemble material elsewhere. No claim is made that every phrase or idea is globally unique. Adapt controls to the system, business risks, applicable accounting framework and professional requirements.

CHAPTER 30

INTERNAL CONTROLS, RISK MANAGEMENT, AUDIT READINESS AND ACCOUNTING DOCUMENTATION

Learning Objectives

After studying this chapter, you should be able to:

- Identify common financial reporting and transaction risks.
- Choose controls that prevent, detect or correct errors and misuse.
- Organize accounting evidence so transactions can be traced and reviewed.
- Prepare practical schedules and explanations for an audit or internal review.
- Use AI to help organize documentation without replacing evidence or professional judgment.

1. Risk Starts with Understanding the Process

A control is a deliberate step that helps a business achieve a defined objective. Before choosing a control, describe the activity, what could go wrong, the possible consequence and how the problem would be noticed. A control should address a real risk rather than exist only because a checklist contains it.

A simple risk assessment

- **Process:** What activity is being performed, and by whom?
- **Risk event:** What error, omission, delay or misuse could occur?
- **Impact:** Could it affect cash, assets, reporting, tax, customers or compliance?
- **Likelihood:** How plausible is the event given current processes and history?
- **Control:** What action could reduce the risk or reveal it quickly?
- **Evidence:** How will the business show that the control actually operated?

Prioritize risks by considering both likelihood and potential impact. A low-frequency event can still deserve strong attention when its possible consequences are severe.

2. Preventive, Detective and Corrective Controls

Preventive controls

These aim to stop an error or unauthorized action before it occurs. Examples include approval limits, restricted system access, required fields, supplier verification and purchase orders.

Detective controls

These aim to identify a problem after or while it occurs. Examples include bank reconciliations, duplicate-invoice reports, review of unusual journals and comparison of actual results with a budget.

Corrective controls

These address a problem that has been found and help reduce recurrence. Examples include correcting an entry with documented approval, recovering an improper payment, fixing a system rule and retraining staff.

A well-designed process often uses more than one type. For example, invoice approval may be preventive, duplicate detection may be detective, and correction of a faulty matching rule may be corrective.

3. Common Accounting Risks and Responses

- **Unauthorized payment:** use approval limits, controlled payment access and independent review of payment batches.
- **Fictitious or altered supplier:** restrict supplier setup and bank-detail changes, verify changes independently and inspect audit logs.
- **Duplicate invoice:** check supplier and invoice identifiers, amount and date; route possible duplicates for review.
- **Unrecorded liability:** review post-period invoices and payments, open purchase orders and goods received but not invoiced.

- **Incorrect revenue cut-off:** test transactions around period-end against delivery or service evidence and the applicable recognition policy.
- **Inventory loss or misstatement:** use controlled stock movements, counts, variance investigation and approved write-offs.
- **Manipulated journal entry:** restrict posting rights, require support and approval, and review unusual entries and post-close changes.
- **Lost accounting evidence:** use access-controlled storage, consistent file naming, backups and a retention schedule.

4. Separation of Duties and Small-Team Alternatives

Where possible, divide incompatible tasks so one person cannot initiate, approve, execute and conceal the same transaction. In a small business, staffing limits may make full separation difficult. The response should be a documented compensating review, not an assumption that risk has disappeared.

Example

One employee prepares supplier payments and uploads the payment file. A manager who does not prepare the file independently checks the supplier, amount, due date, bank details and supporting approval before releasing the payment. The manager's review is recorded.

A review is stronger when it is performed by someone with enough knowledge, based on the underlying evidence, with differences followed up and completion documented.

5. Documentation: Make the Transaction Traceable

Accounting documentation should let a knowledgeable reviewer understand what happened, why it was recorded, how the amount was determined, who approved it and where the entry appears in the ledger.

A useful transaction file may contain

- Source document and a unique reference.
- Business purpose and transaction date.
- Calculation or allocation supporting the amount.
- Account, department, project and tax coding where relevant.
- Required approval and evidence of approval.
- Related receipt, delivery record, contract or bank confirmation.
- Journal or system reference and reconciliation link.
- Follow-up notes for exceptions or later corrections.

The documentation needed depends on the transaction and risk. Do not create paperwork that adds no useful evidence, but do not rely on memory or undocumented verbal explanations for material items.

6. File Naming and Evidence Management

A consistent filing method reduces the time needed to retrieve support. Use a structure that makes the period and transaction type easy to identify while following company privacy and security rules.

Illustrative naming pattern

YYYY-MM-DD_DocumentType_EntityOrSupplier_Reference

Example: “2026-03-31_UtilityInvoice_SupplierA_INV1048”. The example is fictional. Avoid placing sensitive personal information in file names.

Good evidence-management habits

- Store records in approved locations with role-based access.

- Preserve original files and clearly label reviewed or amended versions.
- Use version history or a controlled change log where available.
- Back up records and test that restoration works.
- Keep a retention and disposal schedule that meets legal and business requirements.
- Restrict deletion and document exceptions to normal retention rules.

7. Audit Readiness

Audit readiness means that important balances and transactions can be explained and supported without a last-minute search for evidence. It does not mean every balance will be accepted without questions, nor does it guarantee a particular audit conclusion.

Prepare key schedules

- Bank reconciliations and bank confirmations where applicable.
- Receivables aging, customer balance reconciliations and significant subsequent receipts.
- Payables aging, supplier reconciliations and post-period payment or invoice reviews.
- Inventory listing, count evidence, valuation method and adjustments.
- Fixed-asset register, additions, disposals and depreciation calculations.
- Loan schedules, interest calculations and covenant information where relevant.
- Payroll reconciliations and supporting summaries with access restricted.
- Tax control-account reconciliations and filed-return support where applicable.
- Trial balance, material journal listing and explanations for significant movements.

Each schedule should state its reporting date, source, preparer, reviewer, unresolved differences and link to the relevant ledger balance.

8. Responding to Audit or Review Questions

A clear response answers the question asked, identifies the supporting evidence and explains any limitation. If a record is missing or a difference remains unresolved, state that directly and describe the next action. Do not alter, backdate or manufacture evidence to make a file appear complete.

A response structure

- Question or balance being examined.
- Short factual explanation.
- Supporting document references.
- Reconciliation or calculation used.
- Known exception and its current status.
- Responsible person and expected follow-up, if needed.

9. Fraud Indicators and Escalation

An indicator is a reason to investigate, not proof that fraud has occurred. Examples include unexplained supplier changes, repeated payments just below approval limits, unusual manual journals, missing documents, conflicting bank details, unexpected access changes or pressure to bypass normal review.

Follow the organization's reporting procedure. Preserve relevant records, limit disclosure to authorized people and avoid making unsupported accusations. A suspected incident may require management, compliance, legal, security or external professional support depending on the facts and local requirements.

10. AI for Documentation and Control Reviews

AI may help classify files, draft a checklist, summarize a reconciliation, compare supplied lists or identify gaps in a document pack. Its output should be checked against the original evidence and approved policy.

Prompt: audit-preparation checklist

“Using the account list and reporting date I provide, prepare a schedule of supporting records to gather. For each item, show the purpose, expected evidence, owner, status and open question. Do not state that a record exists unless it appears in the supplied list.”

Prompt: exception summary

“Review these reconciliation notes and group unresolved items by type, amount, age and next action. Keep factual observations separate from possible explanations. Flag missing evidence and do not invent causes.”

Prompt: control walkthrough

“Turn this documented process into a walkthrough checklist. Identify the preparer, approver, system record, evidence of completion and possible failure points. Label assumptions clearly and ask questions where the process description is incomplete.”

Before using AI, remove unnecessary personal, bank, payroll and customer data. Use only services approved for the information involved, and follow confidentiality and data-protection requirements.

11. Worked Scenario: A Payment Difference

A supplier statement shows AED 12,400 outstanding, while the accounts payable ledger shows AED 10,900. The difference is AED 1,500.

Difference = Supplier statement AED 12,400 − Ledger AED 10,900 = AED 1,500

The accountant should not post AED 1,500 merely to make the balances match. Instead, obtain the statement and ledger detail, compare invoice and credit-note references, inspect goods received and payments around period-end, and check whether a document was missed, duplicated or recorded in the wrong period.

If a valid unrecorded invoice is identified, record it in the appropriate period under the applicable policy, with approval and support. If the supplier statement includes an item not owed by the business, request clarification and retain the correspondence. Document the resolution and reconcile the remaining balance.

12. Practice Exercises

Exercise 1: Supplier bank change

A supplier emails new bank details and asks for urgent payment. Name two control steps before changing the record or releasing payment.

Exercise 2: Missing invoice

Goods were received before month-end, but the supplier invoice has not arrived. What should the accountant check before deciding whether an accrual or other entry is required?

Exercise 3: Audit evidence

A journal entry has a description but no calculation, source document or approval. What should happen before it is accepted as properly supported?

Exercise 4: Small-team control

The same person records receipts and reconciles the bank. Suggest a compensating control if duties cannot immediately be separated.

Exercise 5: AI summary

AI says an unexplained balance is “probably a timing difference.” What should the reviewer do?

13. Answer Key

Answer 1

Verify the change using a trusted contact method already on file rather than relying only on the email's contact details. Require authorized approval and independently review the payment details before release.

Answer 2

Inspect the purchase order, receiving record, contract, supplier correspondence and period-end policy. Determine whether the business has received the goods or service and whether the amount can be reasonably established. Record an accrual only when appropriate and supported.

Answer 3

Request the calculation, source evidence and required approval. Investigate the purpose and accounting treatment. Do not treat a description alone as adequate support for a material entry.

Answer 4

Have an independent manager review the bank statement, cash ledger, reconciling items and subsequent clearance, with evidence of review and documented follow-up.

Answer 5

Treat the statement as an unverified hypothesis. Examine transaction dates and supporting records, establish whether the difference clears later, and document the actual cause. If evidence is insufficient, leave the item unresolved and escalate as needed.

Key Takeaways

- Controls should address specific risks and have evidence that they operated.
- Use preventive, detective and corrective controls together where appropriate.
- Separate incompatible duties when possible and use documented compensating reviews when not.
- Keep accounting records traceable from source evidence through the ledger to reports.
- Audit readiness comes from routine reconciliations and orderly documentation, not last-minute file collection.
- Indicators require investigation; they are not proof on their own.
- AI can organize evidence and surface questions, but it cannot replace original records, accountable review or professional judgment.

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